

GLOBAL FORUM ON
**TRANSPARENCY AND EXCHANGE OF
INFORMATION FOR TAX PURPOSES**

**Peer Review on Transparency and Exchange of
Information on Request**

COOK ISLANDS

2026 (Second Round)

Global Forum on Transparency and Exchange of Information for Tax Purposes: Cook Islands 2026 (Second Round)

Peer Review on Transparency and Exchange of Information on
Request

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Abbreviations and acronyms

Abbreviation	Definition
2016 Terms of Reference	Terms of Reference related to EOIR, as approved by the Global Forum on 29-30 October 2015
AML	Anti-Money Laundering
AML/CFT	Anti-Money Laundering / Countering the Financing of Terrorism
APGML	Asia Pacific Group on Money Laundering
BTIB	Business Trade and Investment Board
CA	Companies Act 2017
CDD	Customer Due Diligence
DTC	Double Taxation Convention
EOI	Exchange of Information
EOIR	Exchange of Information on Request
EUR	Euro, official currency of the 20 Member States of the European Union that are part of the Economic and Monetary Union
FATF	Financial Action Task Force
FIU	Financial Intelligence Unit
FIUA	Financial Intelligence Unit Act
FSC	Financial Supervisory Commission
FTRA	Financial Transactions Reporting Act 2017
Global Forum	Global Forum on Transparency and Exchange of Information for Tax Purposes
GDP	Gross Domestic Product
ICA	International Companies Act
IPA	International Partnership Act
ISA	Incorporated Societies Act
ITA	Income Tax Act
LLCA	Limited Liability Companies Act
MoJ	Ministry of Justice
Multilateral Convention	Convention on Mutual Administrative Assistance in Tax Matters, as amended in 2010
NZD	New Zealand dollar
PA	Partnerships Act
RMD	Revenue Management Division
TIEA	Tax Information Exchange Agreement
VAT	Value Added Tax

Executive summary

1. This report presents the Global Forum's analysis of the Cook Islands' compliance with the standard on transparency and exchange of information on request (the standard) and concludes that the Cook Islands continues to be rated as overall largely Compliant with the standard. This conclusion is based on an assessment of the Cook Islands' legal and regulatory framework in force as on 7 May 2026 and its practical implementation, including in respect of exchange of information (EOI) requests sent and received during the review period from 1 April 2022 to 31 March 2025 (see Annex 3 for details).

Comparison of determinations and ratings for First Round Report and Second Round Report

Element		First Round Report (2015)		Second Round Report (2026)	
		Determinations	Ratings	Determinations	Ratings
A.1	Availability of ownership and identity information	In place	Compliant	Needs improvement	Largely Compliant
A.2	Availability of accounting information	Needs improvement	Largely Compliant	Needs improvement	Largely Compliant
A.3	Availability of banking information	In place	Compliant	Needs improvement	Largely Compliant
B.1	Access to information	In place	Compliant	In place	Compliant
B.2	Rights and Safeguards	In place	Compliant	In place	Compliant
C.1	EOIR Mechanisms	In place	Compliant	In place	Compliant
C.2	Network of EOIR Mechanisms	In place	Compliant	In place	Compliant
C.3	Confidentiality	In place	Compliant	In place	Compliant
C.4	Rights and safeguards	In place	Compliant	In place	Compliant
C.5	Quality and timeliness of responses	Not applicable	Largely Compliant	Not applicable	Compliant
Overall rating		Largely Compliant		Largely Compliant	

Note: The three-scale determinations for the legal and regulatory framework are In place, In place but certain aspects of the legal implementation of the element need improvement (needs improvement), and Not in place. The four-scale ratings on compliance with the standard (capturing both the legal framework and practice) are Compliant, Largely Compliant, Partially Compliant, and Non-Compliant.

Progress made since previous review

2. The 2015 Report concluded that the legal and regulatory framework of the Cook Islands was in place but needed improvement, with a few recommendations made in relation to the availability of accounting information, which have not been addressed yet. There remains a lack of an obligation on limited liability companies, international trusts and foundations to maintain all underlying source documentation of accounting records and a lack of penalty for failure of a foundation to maintain reliable accounting records for at least five years.

3. The standard was strengthened in 2016 to add requirements in respect of the availability of beneficial ownership information. The Cook Islands strengthened its transparency framework in 2019 with the introduction of the obligation for all domestic companies to keep a register of their beneficial owners.

This added to requirements already present in AML law which covers other types of legal entities and arrangements that must have a relationship with an AML obliged person. In 2024, the Cook Islands made further changes to both company law and AML law that strengthened and clarified requirements around the availability of beneficial ownership information. However, some gaps remain for some types of partnerships and trusts that do not have a relationship with an AML-obliged person, and foundations. Gaps also remain in relation to nominees and specifying any frequency with which AML-obliged persons must update their customer due diligence.

4. The Cook Islands signed the Multilateral Convention on Mutual Administrative Assistance in Tax Matters on 28 October 2016 and ratified it on 29 May 2017 with entry into force date on 1 September 2017. The Multilateral Convention significantly extended the EOI network of the Cook Islands.

Key recommendations on transparency

5. As noted above, the recommendations related to the maintenance of all underlying documentation for accounting records for limited liability companies, international trusts and foundations have not been addressed. There is no penalty for failure to maintain accounting records and underlying documentation for foundations. The recommendations continue to apply. In addition, the accounting records retention requirements are unclear and incomplete in the case of domestic companies that cease to exist. While a company that is liquidated will have records available for at least one year after liquidation (with the liquidator), it is not clear who is the person responsible for keeping the accounting records and the underlying documentation of liquidated companies between one and five years. Companies that cease to exist without undergoing a liquidation process have no specified person responsible for their records after ceasing to exist.

6. Also as indicated above, the AML framework is the main information source relied upon for beneficial ownership information for some types of partnerships and trusts, specifically domestic partnerships and trusts that are not international trusts, however these do not necessarily have a relationship with an AML-obliged person in the Cook Islands and therefore availability of information is not ensured. These gaps are the subject of recommendations. More generally, there is no specified frequency for updating the CDD information (including beneficial ownership information) by AML-obliged persons when no event triggers an update. Therefore, beneficial ownership information of relevant legal entities and arrangements kept by AML-obliged persons may not always be adequate, accurate and up to date (Elements A.1 and A.3).

7. International companies may be restored after being struck off without limit of time, and there is no explicit obligation to maintain and provide ownership information during the entire period. The Cook Islands is recommended to ensure the availability of ownership information upon the restoration of an international company following the strike off from the register, as well as establishing a time limit for the revival of international companies following their dissolution. In practice, international companies that have been struck off and subsequently restored were almost always restored with the elapse of less than a year after strike off and this is well within the period in which the trustee company at the time of strike off is required to retain records on the client. This gap has therefore been of low impact so far.

8. Nominee shareholding is allowed in the Cook Islands, but the Companies Act does not set any specific obligations on nominees and nominators that would ensure that companies that have nominee shareholders obtain information on the nominee arrangements. The tax and anti-money laundering requirements also do not ensure that information on nominees and nominators would be available. The Cook Islands should ensure that ownership and identity information is available in respect of nominee shareholdings.

9. In terms of effective implementation, there are significant gaps in oversight and enforcement of domestic companies by both the Registrar of Companies and the tax authority, that may affect the

availability of legal and beneficial ownership for these entities. The tax authority's oversight and enforcement of filing obligations for trusts is also insufficient to ensure availability of identity and ownership information for these arrangements. A recommendation has been made on these aspects.

10. Finally, the monitoring and enforcement of record keeping obligations by the tax authority is insufficient to ensure the availability of accounting information for some types of legal entities and arrangements and a recommendation has been made to strengthen this.

Exchange of information in practice

11. The Cook Islands received seven exchange of information (EOI) requests from four partners between 1 April 2022 and 31 March 2025. Responses were provided, and all partners were satisfied with the information. During the same period, the Cook Islands made six EOI requests.

Overall rating

12. The Cook Islands is rated Compliant for Elements B.1, B.2, C.1, C.2, C.3, C.4 and C.5, and Largely Compliant for Elements A.1, A.2 and A.3. Overall, the Cook Islands is rated Largely Compliant.

13. This report was approved at the Peer Review Group of the Global Forum on 24 June 2026 and was adopted by the Global Forum on 23 July 2026. A self-assessment report on the steps undertaken by the Cook Islands to address the recommendations made in this report should be provided to the Peer Review and Monitoring Group in accordance with the methodology for enhanced monitoring.

Summary of determinations, ratings and recommendations

Determinations and ratings	Factors underlying Recommendations	Recommendations
Jurisdictions should ensure that ownership and identity information, including information on legal and beneficial owners, for all relevant entities and arrangements is available to their competent authorities (Element A.1)		
The legal and regulatory framework is in place but needs improvement.	There is no time limit for the restoration of an international company once struck off, nor is there an explicit obligation to maintain and provide ownership information during the entire period the company is struck off.	The Cook Islands is recommended to ensure that ownership information is available for restored international companies in line with the standard.
	The legal requirements in tax and anti-money laundering law do not require nominees to disclose their nominee status and information on their nominator.	The Cook Islands should ensure that ownership and identity information is available in respect of nominee shareholdings.
	The Cook Islands relies upon a combination of the AML framework and tax law for availability of beneficial ownership of partnerships and trusts. However, there is no requirement for domestic and foreign partnerships and domestic and foreign trusts with a resident trustee to engage an AML-obliged person. Tax law also does not comprehensively require beneficial ownership for those legal arrangements. Consequently, there may be situations where their beneficial ownership information would not be available. In the case of domestic companies, there is reliance on company law for the availability of beneficial ownership, however no legal mechanism has been provided under which the company can obtain that information or through which persons with that information are obliged or can be compelled to provide it. Finally, the availability of beneficial ownership information for international companies, limited liability companies and foreign companies is dependent on customer due diligence obligations of AML-obliged persons consisting of banks and other financial institutions. However, there is no specified frequency for them to update their customer due diligence, including beneficial ownership information on these legal entities and arrangements.	The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information is available for all relevant legal entities and arrangements in line with the standard.
Rating: Largely Compliant	For legal ownership information on domestic companies created under the Companies Act, the Cook Islands would rely on tax return records, the Registrar of Companies, or the company itself if the company remains in existence. For beneficial ownership information it would rely on the companies themselves. However, the low filing rates of annual returns for both company law and tax law purposes causes uncertainty over whether the most recently filed information, if any, would have up-to-date legal ownership information or current contact details to use to seek legal or beneficial ownership information from the company. There is minimal or no monitoring and enforcement by the Registrar of Companies to ensure companies file annual returns and maintain beneficial ownership as required. Tax law obligations are also relied upon for the availability of beneficial ownership information on domestic trusts, and the low filing rates of tax returns for domestic trusts similarly	The Cook Islands is recommended to implement effective oversight and enforcement measures to ensure the availability of legal and beneficial ownership information for all relevant legal persons and arrangements.

	causes uncertainty over the availability of that information or current contact details to seek that information from the trustee.	
Jurisdictions should ensure that reliable accounting records are kept for all relevant entities and arrangements (Element A.2)		
The legal and regulatory framework is in place but needs improvement.	Limited liability companies, international trusts and foundations are not explicitly required to keep all underlying documentation.	The Cook Islands is recommended to ensure that all relevant legal entities and arrangements to keep all underlying documentation in line with the standard.
	No penalty exists for failure of a foundation to maintain reliable accounting records for at least five years. The law also does not specify any persons responsible for retaining a foundation's accounting records after the foundation is wound up.	The Cook Islands is recommended to ensure that the failure to maintain all accounting records and underlying documentation of a foundation for at least five years, including after it ceases to exist, is subject to effective enforcement measures.
	For domestic companies, it is not clear who would be legally responsible to keep accounting records and underlying documentation when these entities cease to exist. A domestic company's accounting records are required to be kept by a liquidator for one year after the liquidation is completed, but this does not meet the retention period under the standard. Furthermore, a liquidator is not required in all cases of winding up a domestic company. While tax law imposes record keeping obligations on domestic companies, it does not specify who would be responsible for retaining these records after a company ceases to exist.	The Cook Islands is recommended to ensure that accounting records and underlying documentation be kept for five years after domestic companies cease to exist or cease to be registered in the Cook Islands.
Rating: Largely Compliant	Assuring compliance with filing by all relevant taxpayers is a necessary prerequisite towards ensuring that financial statements are filed when required and that the scope of active taxpayers required to maintain documentation can be scrutinised. There are significant shortcomings in the Revenue Management Division's monitoring of registrations of taxpayers and ensuring that they file tax returns as required. Furthermore, while the Revenue Management Division has an established tax audit programme and it has provided some information on the extent to which its activities have verified compliance with record keeping requirements under tax law, it has not provided details of compliance found, other than to record that specific penalties for any non-compliance with these obligations have not been imposed. This leads to doubts on the adequacy of enforcement of record keeping obligations in practice.	The Cook Islands is recommended to enhance supervision, including the use of enforcement powers, in respect of compliance with the tax law requirements on companies, partnerships and trusts.
Banking information and beneficial ownership information should be available for all account-holders (Element A.3)		
The legal and regulatory framework is in place but needs improvement.	While the AML framework requires an ongoing and effective monitoring of information held for the purpose of customer due diligence to ensure that it is up to date and appropriate, there is no guidance on the frequency of updates of the beneficial ownership information.	The Cook Islands should ensure that information on beneficial owners of bank accounts is up to date in line with the standard.
Rating: Largely Compliant		
Competent authorities should have the power to obtain and provide information that is the subject of a request under an exchange of information arrangement from any person within their territorial jurisdiction who is in possession or control of such information (irrespective of any legal obligation on such person to maintain the secrecy of the information) (Element B.1)		
The legal and regulatory framework is in place		
Rating: Compliant	While sanctions are available in case of a failure to comply with the Competent Authority's access powers to obtain information, these require prosecution and conviction by the Court. The possibility of engaging the Court to compel provision of information is also available either as the main course of action or if an information holder initially fails to cooperate with a notice from the Competent Authority. Under the administrative structure supporting the Competent Authority throughout the review period, recourse to the Court has not been possible. To date this has not affected inward requests for EOI, as information holders have been consistently cooperative. However, it did affect EOI in relation to one outgoing request during the review period. A risk therefore remains that the current administrative framework and practice could affect the exercise of access powers to obtain	The Cook Islands is recommended to ensure that appropriate enforcement actions, including sanctions, are taken in cases of non-compliance or delays by information holders.

	information for EOI purposes in the future.	
The rights and safeguards (e.g. notification, appeal rights) that apply to persons in the requested jurisdiction should be compatible with effective exchange of information (Element B.2)		
The legal and regulatory framework is in place		
Rating: Compliant		
Exchange of information mechanisms should provide for effective exchange of information (Element C.1)		
The legal and regulatory framework is in place		
Rating: Compliant		
The jurisdictions' network of information exchange mechanisms should cover all relevant partners (Element C.2)		
The legal and regulatory framework is in place		
Rating: Compliant		
The jurisdictions' mechanisms for exchange of information should have adequate provisions to ensure the confidentiality of information received (Element C.3)		
The legal and regulatory framework is in place		
Rating: Compliant		
The exchange of information mechanisms should respect the rights and safeguards of taxpayers and third parties (Element C.4)		
The legal and regulatory framework is in place		
Rating: Compliant		
The jurisdiction should request and provide information under its network of agreements in an effective manner (Element C.5)		
Legal and regulatory framework:	This element involves issues of practice. Accordingly, no determination on the legal and regulatory framework has been made.	
Rating: Compliant		

Overview of the Cook Islands

14. This overview provides some basic information about the Cook Islands that serves as context for understanding the analysis in the main body of the report. The Cook Islands consist of 15 islands scattered over 2.2 million square kilometres of the Pacific Ocean, Northeast of New Zealand. The total resident population of the Cook Islands, as at June 2025, was 17 300.¹ It is estimated that an additional 80 000 Cook Islanders live in New Zealand (2020 figures).²

15. The Cook Islands' GDP is derived principally from tourism, with financial services making a contribution amounting to approximately 7.7% of GDP as per June 2025.³ The Cook Islands' main trading partners are Australia, People's Republic of China, Fiji, Japan, New Zealand and the United States.⁴

Legal system

16. The Cook Islands' Government is both a Constitutional Monarchy and a Parliamentary Democracy. The Head of State is the King in Right of New Zealand, King Charles the Third. The system of Government is based on the Westminster model, which provides for a separation of powers between the Legislature, the Executive and the Judiciary.

17. Prior to 1965 (when the Cook Islands was a dependent territory of New Zealand), the legal system was established by means of a New Zealand enactment, the Cook Islands Act 1915, which provided that the English system of common law was to apply. The Act also listed a select number of New Zealand statutes that, suitably modified, were to apply in the Cook Islands.

18. On independence in 1965, the Constitution conferred full law-making powers on the Cook Islands, but also provided that existing law was to continue to apply. Hence, the Cook Islands Act 1915 remained in effect, as did common law and those New Zealand enactments specified in the Cook Islands Act, such as the Partnership Act 1908 and the Trustee Act 1956. Since 1965, many provisions of the Cook Islands Act have been progressively repealed as the Cook Islands has developed its own statute law. For instance, company law was reformed to streamline and customise for a jurisdiction the size of the Cook Islands.

19. The Legislature (the Parliament of the Cook Islands) is unicameral and consists of 24 Members elected every four years. The Executive initiates and administers the law by deciding policy, drafting Bills

¹ Cook Islands Vital Statistics and Population Estimate, June quarter 2025, <https://stats.gov.ck/vital-statistics-and-population-estimates/>

² See <https://www.mfat.govt.nz/assets/Aid/4YPs-2021-24/Cook-Islands-4YP.pdf>

³ Cook Islands Statistics Office: <https://stats.gov.ck/national-accounts/#37-517-wpfd-2025-national-accounts-gross-domestic-product>.

⁴ Cook Islands Ministry Statistics Office: <https://stats.gov.ck/overseas-trade/#40-491-wpfd-2025-international-merchandise-trade-statistics>

and administering Acts. It is exercised on behalf of the King by the King's Representative who, in turn, appoints a Cabinet comprising the Prime Minister and Ministers.

20. The Cook Islands Constitution Act 1964 is the supreme law of the Cook Islands. The hierarchy of the laws is, in decreasing order of rank: (i) the Constitution, (ii) legislation enacted by Parliament, (iii) subsidiary legislation, (iv) common law in accordance with section 615 of the Cook Islands Act 1915 and as declared by the Courts from time to time, and (v) Cook Islands custom in relation to customary land, titles and succession. Under section 68 of the Cook Islands Constitution, taxation may only be imposed by law (that is, by or under an Act of Parliament). Once an EOI agreement has entered into force, its provisions have effect “according to their tenor”, i.e. meaning and content, and prevail over any enactments (Income Tax Act, s. 86(1)).

21. The judiciary consists of the High Court and a Court of Appeal. Appeals from the Court of Appeal may be made to the Judicial Committee of the (British) Privy Council. The High Court has Civil, Criminal and Land Divisions. Prosecutions for tax offences are heard at first instance by the High Court.

Tax system

22. Taxes in the Cook Islands are all levied at a national level. They consist of an income tax, a value added tax (VAT⁵), customs duties, import levies and departure tax, all of which are administered by the Revenue Management Division of the Ministry of Finance and Economic Management. The Cook Islands generally does not tax capital gains. However, some capital gains may be taxed under ordinary income tax rules (such as income from property purchased for the purpose of resale). There are no export incentives or investment holidays in the Cook Islands tax system. Tax credits are allowed for foreign taxes paid (Income Tax Act, s. 85) and charitable donations (Income Tax Act, s. 70).

23. All income tax is imposed under the Income Tax Act 1997. The rules for determining taxable income are generally the same for both individuals and companies. Residents are taxed on their worldwide income, but non-residents are taxable only on their Cook Islands sourced income (Income Tax Act, s. 80). An individual is resident in the Cook Islands for tax purposes if the individual's home is in the Cook Islands and the person is personally present in the Cook Islands for 183 days in a 12-month period (Income Tax Act, s. 82).

24. In 2019, an amendment was made to the International Companies Act 1981-82 which removed the tax exemption for international companies, beginning 1 January 2022. The company residence rules in the Income Tax Act were also amended so that a company is resident in the Cook Islands for tax purposes if: a) the directors exercise control of the company from within the Cook Islands, even if the directors' decision-making also occurs outside the Cook Islands;⁶ or b) the place of effective management is in the Cook Islands; or c) the company is a Cook Islands company and, at any moment in time during the income year, three or more of its directors are resident in the Cook Islands. In short, a company (including an international company) is now only a taxpayer if there is an economic or management nexus with the Cook Islands or it has Cook Islands source income. Progressive tax rates are applied for individuals: 0% to 30% for residents and non-residents (Income Tax Act, First Schedule). The company tax rate is 20% for resident companies and 28% for non-resident companies. Partnerships are treated as transparent for tax purposes (Income Tax Act, s. 11). Trustees are taxed on trust income at 30% (Income

⁵ VAT is imposed under the Value Added Tax Act 1997. VAT is based on the standard European model, but with a single rate of tax and few exemptions. The tax rate is 15%.

⁶ In case the directors' decision-making occurs outside the Cook Islands, the control test is based on where board meetings take place and the decision making takes place.

Tax Act, First Schedule). Foundations, international partnerships, international trusts and limited liability companies are exempt from Cook Islands income tax.

25. Final withholding tax at 15% rate is generally imposed on certain income (dividends, interest and royalties) derived from the Cook Islands by a non-resident (Income Tax Act, s 100). Otherwise, the requirements for non-residents to file tax returns are the same as for residents. Withholding tax applies for a resident only if banking interest is paid to the resident and they have not registered their Revenue Management Division (RMD) number with the bank. The RMD number is a unique number issued to all taxpayers (whether individual or non-individual). The number applies for VAT as well as income tax purposes.

Domestic and international financial services sector

26. The Cook Islands has no Central Bank, and it uses the New Zealand dollar as its official currency.⁷

27. The Cook Islands' financial sector is divided into two parts: domestic and international. The financial sector is relatively small compared to international standards.

28. There are three domestically oriented commercial banks (one of which is a government-owned bank), one private investment bank with an international client orientation, one insurer, four approved external insurers, six insurance intermediaries (agents or brokers),⁸ six captive insurance companies, three Money or Value Transfer Services providers (which provide money changing and remittance services), seven trustee companies and one national superannuation fund. They are all licensed and supervised by the Financial Supervisory Commission (FSC) except for the national superannuation (pension) fund which is supervised by a Board established under the Cook Islands National Superannuation Fund Act 2000.

29. The primary business of the three commercial banks is retail services for the domestic market, including deposit taking, savings and lending services. While three banks hold an international banking licence, since mid-2014 only the private investment bank utilises its international banking licence to service international clients and operate in the international sector. It provides custodian and asset management services for international clients. The other participants in the international finance sector are the trustee companies which provide trust and corporate services to international clients and captive insurance companies which provide insurance products to their own parent or related companies. Total assets held by banks is approximately NZD 1 920 million (EUR 968 million) as per 31 December 2025.

30. Trustee companies are licensed and supervised by the FSC in accordance with the Trustee Companies Act 2014. Trustee companies must be licensed to provide services relating to foundations, international companies, international trusts, international partnerships, and limited liability companies. The primary market for trustee companies (90%) remains asset protection trusts for high-net-worth clients from the United States.

31. Money changing (forex) and remittance businesses is a small sector in the Cook Islands with five licensees, most cross border transactions being conducted through the formal banking sector.

⁷ Exchange rate on 5 May 2026, NZD 1 = EUR 0.5040; Source: www.xe.com. The Cook Islands also has its own currency, the Cook Islands dollar, which is in circulation alongside the New Zealand dollar and pegged to it, but it is not legal tender outside the jurisdiction.

⁸ The majority of insurance agents and insurance brokers are based in New Zealand and provide access for the commercial sector (resorts, construction projects, etc.) with more complicated or higher risk insurance coverage. While there are no life insurance companies in the Cook Islands, residents are serviced by an insurance agent of a New Zealand licensed and operating insurance company.

32. Captive insurers and insurance managers are licensed and supervised by the FSC under the Captive Insurance Act 2013. Captive insurers can be either foreign companies or domestic companies. There are 24 licensed captive insurers with the majority based in New Zealand.⁹

33. Cook Islands practising lawyers are administered by the Cook Islands Law Society pursuant to the Law Practitioners Act 1993/94. They serve mainly the domestic market for legal advice and representation in land, commercial and criminal matters. A number of lawyers work in the trust and corporate service providers; however, they are captured as employees of a licensed financial entity and are not treated separately. There are currently no entry requirements for accountants. They provide most accountancy services to local businesses, and some provide auditing services to licensed financial institutions.

Anti-Money Laundering framework

34. The primary legislation for anti-money laundering and countering the financing of terrorism (AML/CFT) in the Cook Islands is the Financial Transactions Reporting Act (FTRA) 2017 and regulations along with the Financial Intelligence Unit Act 2015 (FIUA 2015). The FIU is an administrative part of the FSC; it is operationally independent and is responsible for the administration and enforcement of the FTRA 2017.

35. The Cook Islands underwent its third-round mutual evaluation assessment of the FATF Recommendations by the Asia Pacific Group on Money Laundering (APGML) in 2017-2018.¹⁰ The report was concluded as positive for the Cook Islands, with it being placed on regular follow up. Two follow up reports have since been issued, in which no re-ratings were requested or given. The Cook Islands was rated Largely Compliant on Recommendations 10 (Customer due diligence), 24 (Transparency and beneficial ownership of legal persons) and 25 (Transparency and beneficial ownership of legal arrangements), and the report concluded a substantial level of effectiveness for Immediate Outcome 5 (Legal persons and arrangements).

36. On transparency of legal persons and arrangements, it was concluded that competent authorities are able to obtain access to basic and beneficial ownership information on almost all legal persons and arrangements in a timely manner through customer due diligence (CDD) collected by reporting institutions. However, understanding of beneficial ownership varied across competent authorities and reporting institutions (Recommendations 24 and 25).

Recent developments

37. The Cook Islands amended the Companies Act 2017 and the Financial Transactions Reporting Act and its Regulations in December 2024 to clarify the definition of ultimate principal (beneficial owner) and the requirements to identify such persons applicable in each law. The Banking Act was also amended at the same time to provide for record retention by specified persons in the event that a licensed bank is wound up. These developments are analysed in this report.

⁹ Source: <https://www.fsc.gov.ck/public/content.aspx?cn=Insurers> (accessed on 1 April 2026)

¹⁰ APG (2018), Anti-money laundering and counter-terrorist financing measures – Cook Islands, Third Round Mutual Evaluation Report, APG, Sydney, <https://www.apgml.org/documents?category=139>

A Availability of information

38. Sections A.1, A.2 and A.3 evaluate the availability of ownership and identity information for relevant entities and arrangements, the availability of accounting information and the availability of banking information.

A.1 Legal and beneficial ownership and identity information

Jurisdictions should ensure that legal and beneficial ownership and identity information for all relevant entities and arrangements is available to their competent authorities.

39. The 2015 Report had found that information on the legal ownership of legal entities and arrangements in the Cook Islands was generally available. There were no recommendations issued on this aspect.

40. Not discussed in the 2015 Report, but now an integral part of the standard as strengthened in 2016, is the availability of beneficial ownership information on all relevant entities and arrangements. In 2017, the Cook Islands introduced requirements on domestic companies to maintain records of their beneficial ownership. Domestic companies are generally not required to provide this information to the Registrar of Companies, and therefore there is no register of this information maintained by the Registrar. At the same time, the AML law was also amended to include requirements on relevant persons to maintain beneficial ownership information of clients, and this obligation applies to certain persons providing services to international companies, limited liability companies, international and limited partnerships, and international trusts. The AML framework is the only comprehensive source of beneficial ownership information on these international entities and arrangements. They are always required to have a relationship with an AML obliged person. Until 4 December 2024 some definitional gaps existed in both company law and AML law that could have caused the availability of beneficial ownership for companies to fall short of the standard, however amendments in effect from that date have fully resolved those issues. The same amendments to AML law have also improved the availability of beneficial ownership information for domestic partnerships, domestic trusts and foreign trusts with a resident trustee, however there are no requirements that would cause these legal arrangements to always have a relationship with an AML-obliged person. Tax law requirements will only partially mitigate the gap. Additionally, there is no specified frequency for updating the CDD information (including beneficial ownership information) by AML-obliged persons when no event triggers an update. Therefore, beneficial ownership information of relevant legal entities and arrangements kept by AML-obliged persons may not always be adequate, accurate and up to date.

41. This report also analyses the ways in which a company ceases to exist. International companies may be restored after being struck off without limit of time, and there is no explicit obligation to maintain and provide ownership information for relevant prior years in line with the standard.

42. Finally, nominee shareholding is allowed in the Cook Islands, but the Companies Act does not set any specific obligations on nominees or nominators to provide information to the authorities or the company

in which they have an interest. The tax and anti-money laundering requirements do not ensure that information on nominees would be available.

43. With respect to exchange of information in practice, the requests that the Cook Islands receives are consistently in connection with the international sector and are generally recognisable as such on receipt. It has been able to respond to these requests seeking legal and beneficial ownership and identity information. There were no requests made or identified as being in connection with the domestic sector during the review period. If this were to happen, the Cook Islands would rely on filed tax returns for identity and ownership information for partnerships and trusts that are not created under the relevant international partnership and trust laws of the Cook Islands. Alternatively, it may rely on availability with AML-obliged persons (specifically banks) to the extent that the relevant legal arrangement in question has a relationship with an AML-obliged person, which is not required in all cases. Company tax returns may be used as a source of information on domestic companies that have ceased to exist. However, while requests for information on these entities and legal arrangements have not been received in recent years, if ever, doubts arise on whether the information would be available in practice if requested as there is a lack of verification and enforcement activity to ensure compliance with each of the filing obligations, leading to low rates of filing in practice. In relation to beneficial ownership information, if this was to be requested in connection with the domestic sector, the Cook Islands may rely on company law obligations on companies to hold such information, but the lack of supervision of these obligations leaves a lack of assurance that it would be available in practice. The Cook Islands could also resort to the AML framework as a source of information for companies and would solely rely on the AML framework in the case of legal arrangements, but a relationship with an AML-obliged person is not required in all cases.

44. The Cook Islands is recommended to remedy these gaps.

45. During the review period, the Cook Islands successfully answered seven requests for legal and beneficial ownership information, all of which were in relation to international companies and international trusts.

46. The conclusions are as follows:

Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

Deficiencies identified/ Underlying Factor	Recommendations
There is no time limit for the restoration of an international company once struck off, nor is there an explicit obligation to maintain and provide ownership information during the entire period the company is struck off.	The Cook Islands is recommended to ensure that ownership information is available for restored international companies in line with the standard.
The legal requirements in tax and anti-money laundering law do not require nominees to disclose their nominee status and information on their nominator.	The Cook Islands is recommended to ensure that ownership and identity information is available in respect of nominee shareholdings.
The Cook Islands relies upon a combination of the AML framework and tax law for availability of beneficial ownership of partnerships and trusts. However, there is no requirement for domestic and foreign partnerships and domestic and foreign trusts with a resident trustee to engage an AML-obliged person. Tax law also does not comprehensively require beneficial ownership for those legal arrangements. Consequently, there may be situations where their beneficial ownership information would not be available. In the case of domestic companies, there is reliance on company law for the availability of beneficial ownership, however no legal mechanism has been provided under which the company can obtain that information or through which persons with that information are obliged or can be compelled to provide it. Finally, the availability of beneficial ownership information for international companies, limited liability companies and foreign companies is dependent on customer due diligence obligations of AML-obliged persons consisting of banks and other financial institutions. However, there is no specified frequency for them to update their customer	The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information is available for all relevant legal entities and arrangements in line with the standard.

due diligence, including beneficial ownership information on these legal entities and arrangements.

Practical implementation of the standard: Largely Compliant

Deficiencies identified/ Underlying Factor	Recommendation
For legal ownership information on domestic companies created under the Companies Act, the Cook Islands would rely on tax return records, the Registrar of Companies, or the company itself if the company remains in existence. For beneficial ownership information, it would rely on the companies themselves. However, the low filing rates of annual returns for both company law and tax law purposes causes uncertainty over whether the most recently filed information, if any, would have up-to-date legal ownership information or current contact details to use to seek legal or beneficial ownership information from the company. There is minimal or no monitoring and enforcement by the Registrar of Companies to ensure companies file annual returns and maintain beneficial ownership as required. Tax law obligations are also relied upon for the availability of beneficial ownership information on domestic trusts, and the low filing rates of tax returns for domestic trusts similarly causes uncertainty over the availability of that information or current contact details to seek that information from the trustee.	The Cook Islands is recommended to implement effective oversight and enforcement measures to ensure the availability of legal and beneficial ownership information for all relevant legal persons and arrangements.

A.1.1 Availability of legal and beneficial ownership information for companies

Types of Companies

47. There are three types of companies which may be formed in the Cook Islands: (i) domestic companies; (ii) international companies, and (iii) limited liability companies.

48. **Domestic companies** are essentially companies which trade locally or that have local shareholders. They must be incorporated under the Companies Act (CA). A company must have one or more shares; one or more shareholders, having limited or unlimited liability for the obligations of the company; and one or more directors, of whom at least one must (i) live in the Cook Islands or (ii) live in New Zealand and be a director of a company that is registered (except as the equivalent of a foreign company) in New Zealand (CA 2017, s. 6).

49. **International companies** may be incorporated for any lawful purpose under the International Companies Act 1981-82 (ICA). Natural persons who are residents or citizens of, or domiciled in, the Cook Islands are prohibited from holding a beneficial interest in an international company. Section 13(3) of the ICA provides for the incorporation of the following types of international company:

- company limited by shares
- no-liability company¹¹
- company limited by guarantee
- company limited by both shares and by guarantee
- unlimited company or
- mutual company.

50. **Limited liability companies** may be incorporated for any lawful purpose under the Limited Liability Companies Act 2008 (LLCA, s. 6). A limited liability company can only be formed through a trustee company acting on behalf of persons who do not reside in the Cook Islands. The person or persons on whose behalf the trustee company acts need not be members of the limited liability company after the company is formed (LLCA, s. 11). The trustee company is always recorded as an initial member at the time of formation (alone or together with other members). The membership is then transferred to the client

¹¹ In the case of a no-liability company, members have no liability to the international company (ICA, s. 18).

or a representative of the client. The client may choose to keep the trustee company as a nominee member, similar to a nominee shareholder. This form of corporate vehicle offers simpler provisions for determining rights between members, which are allocated a share of company profits, losses or distributions on the basis of the value of their contributions. The limited liability company legislation also contains asset protection features. The Cook Islands authorities explain that limited liability companies are typically set up to limit the ability of creditors to access the assets held within the structures.

51. In this report, a **foreign company** means a company incorporated outside of the Cook Islands. If a foreign company (also defined by the CA 2017 as an “overseas company”) is resident in the Cook Islands for tax purposes by virtue of its centre of management and control, it is subject to the general return filing requirement for resident companies. Furthermore, foreign companies deriving income from the Cook Islands (whether resident there or elsewhere) are assessable for income tax in the Cook Islands (Income Tax Act 1997, ss. 80(2) and 83).

Statistics on companies registered in the Cook Islands

Type of company	Description	Governing law	Number	Source of the data
Domestic companies	Refer 2015 Report, para. 55	Companies Act 2017	1 613	Company Register, at 31 March 2025
International companies	Refer 2015 Report para. 67	International Companies Act 1981-82	413	Financial Supervisory Commission, at 31 March 2025
Limited Liability Companies	Refer 2015 Report para. 74	Limited liability Companies Act 2008	695	Financial Supervisory Commission, at 31 March 2025
Foreign Companies operating in the Cook Islands	Refer 2015 Report para. 79	Income Tax Act, Companies Act 2017, Development Investment Act	9	Registrar of Companies, at 31 March 2025

52. The 2015 Report recorded that there were 1 052 *active* domestic companies. The domestic registered company figure provided by the Cook Islands for this report (1 613 at 31 March 2025) may include both active and inactive companies, for which separate figures have not been provided. See also paragraph 97 on this subject.

Legal ownership and Identity Information Requirements

53. Legal ownership and identity information is required to be available to the competent authority based on registration and filing requirements under the laws governing the creation and ongoing legal requirements of legal entities. The 2015 Report concluded that all domestic, international, foreign and limited liability companies are obliged to maintain up-to-date ownership information and the conclusions and reasons on this are substantially the same in this report. The legal ownership and identity requirements for companies are found mainly in company law, i.e. the Companies Act 2017 (CA), the International Companies Act 1981-82 (ICA) and the Limited Liability Companies Act 2008 (LLCA). The following table shows a summary of the legal requirements to maintain legal ownership information in respect of companies:

Companies covered by legislation regulating legal ownership information¹²

Type	Company Law	Tax Law	AML Law
Domestic companies	All	All	Some
International companies	All	All	All
Limited Liability Companies	All	None	All
Foreign companies (tax resident)	Some	All	Some

Company law requirements on domestic companies

54. Domestic companies are required to maintain various records including the company's certificate of incorporation, certificate of re-registration (in case a company was registered prior the Companies Act 2017 implementation), the constitution of the company, the share register, the full names and residential and postal addresses of the current directors, and details of the company's registered office and postal address (CA 2017, s. 144). The share register must be maintained for seven years (see para. 56). The minutes of all meetings and resolutions of shareholders and directors, copies of all written communications to all shareholders, copies of all financial statements, accounting records and other documentation occurring or relevant to the last seven years must also be kept (CA 2017, s. 144).

55. A company must keep the company records at (i) its registered office in the Cook Islands¹³ or (ii) another place in the Cook Islands, provided the company has filed with the Registrar a notice of the location of the records within 10 working days after the records are first kept there (CA, s. 145). It is an offence if company records (including the share register) are not kept in the Cook Islands (CA 2017, s. 145).

56. The entry of the name of a person in the share register as holder of a share is evidence that legal title to the share vests in that person (CA 2017, s. 50). The share register must include (i) the names and the last known address of each person, who is, or has within the last seven years been, a shareholder; (ii) the number of shares of each class held by each shareholder within the last seven years; (iii) the date of each transaction (the issue of shares, the repurchase or redemption of shares from a shareholder, the transfer of shares) within the last seven years; (iv) in relation to the transfer of shares by or to a shareholder, the name of the person to or from whom the shares were transferred (CA 2017, s. 49). The share register may be maintained by an agent on behalf of the company (CA 2017, s. 49). Although there is no explicit requirement for the agent to be in the Cook Islands, the registered office of the agent must be in the Cook Islands (CA 2017, s. 142(1)).

57. Any person may apply for the registration of a company under the Companies Act (CA 2017, s. 7). To file an application to incorporate a new company, first a person must have a client account with the Cook Islands Companies and Incorporated Societies Registry.¹⁴ Then, the person can complete an online application to incorporate a company or to register a foreign company. The forms have tabs for the types of information (company name and contact details, the names of company's directors and shareholders, company constitution, primary business activity, etc.¹⁵). Upon review and approval of the application, the

¹² The table shows each type of entity and whether the various rules applicable require availability of information for "all" such entities, "some" or "none". "All" means that the legislation, whether or not it meets the standard, contains requirements on the availability of ownership information for every entity of this type. "Some" means that an entity will be covered by these requirements if certain conditions are met.

¹³ A company must always have a registered office and postal address in the Cook Islands (CA 2017, s. 142).

¹⁴ The Cook Islands Companies and Incorporated Societies Registry website provides for online searching and registration of companies and incorporated societies.

¹⁵ Cook Islands Ministry of Justice, Incorporate a New Company or Register an Overseas Company <https://registry.justice.gov.ck/public/howto.aspx?cn=RegisterCompany&ctk=CompanyHowTo>

Registrar issues a Certificate of Incorporation stating that all the requirements under the Companies Act have been complied with and, from the date of incorporation stated on the certificate, the company is incorporated under the Companies Act (CA 2017, s. 9).

58. Companies must also disclose ownership information to the Registrar of Companies upon registration and then on an annual basis in an annual return. The annual return requires, in respect of each shareholder, their name, gender, nationality, date of birth, residential address and the number of shares held. There is no requirement to inform the Registrar of any changes in these details between the filing of annual returns, although the company may choose to do so through the online facility. The Registrar is part of the Ministry of Justice (MoJ).

Company law requirements on international companies

59. All international companies created in accordance with the ICA are registered with the Financial Supervisory Commission (FSC).

60. Registrations of international companies with the FSC must be conducted through a trustee company¹⁶ (ICA, s. 9). An international company must have a resident secretary, who is responsible for compliance by the company with lodging all documents required to be lodged with the FSC and the maintenance of the company's records at the registered office of the company. The secretary must be a trustee company or an officer of a trustee company. The international company must keep at its registered office a register of its directors, resident directors and secretaries (ICA, s. 91). The registered office of the international company must be the principal office of the trustee company acting as secretary (ICA, s. 81). The international company must, within one month of incorporation, file details of the directors, resident directors and secretaries with the Registrar. If any person ceases or commences to hold any of these roles, the international company must file a notification to inform the Registrar of the updated details.

61. International companies are required to record their members in a register to be kept at the registered office of the company in the Cook Islands (ICA, s. 106). Only the name and address of the members, the number of shares held, and the date acquired or allotted must be recorded. These details must be held for seven years after ceasing to be a member (ICA, s. 105).

62. As explained in paragraphs 76 to 83, trustee companies have AML obligations under the FTRA. In practice, the trustee company's obligations under the FTRA to ensure that its CDD is up to date and appropriate, and the client international company's obligation to maintain a register of members with a trustee company fulfilling these obligations for it, are self-reinforcing and, in some respects the AML requirements add to the requirements of the ICA. For example, CDD obligations require collection of additional identity information and documents on beneficial owners of the company (see paragraph 142). A common structure in practice is that all shares in an international company are held by the trustee of an international trust that is also serviced by the same trustee company, so that CDD requirements in relation to the international trust would cover the shareholder in the international company. Alternatively, the structure commonly involves one or two shareholders that are either an individual who is an ultimate principal or a corporate entity to which ultimate principal(s) are related, and the CDD requirements under the FTRA will also be applied. The FSC has not identified any instances in its inspections where a shareholder of an international company would not be subject to this CDD, so that the additional identity and documentation required under the FTRA is always held in practice.

¹⁶ A trustee company must be a company (not a trust) and may be an international or domestic company or incorporated in any other country (and, regardless, must be licensed in the Cook Islands to carry on trustee company business).

63. The FSC is the Registrar under the ICA and also supervises compliance with the FTRA. Consequently, the verification and enforcement framework for the FTRA over trustee companies assists in ensuring the compliance of international companies with the ICA.

Company law requirements on limited liability companies

64. Limited liability companies are required to keep at their registered office (which is the office of the trustee company acting as registered agent, LLCA, ss. 2 and 18) a current list of the full name and business, residence or mailing address of each member and manager, including copies of the articles of association and operating agreement (LLCA, s. 32). These records must be maintained by the trustee company for six years after dissolution of the limited liability company.

65. In addition, these entities must be established through a Cook Islands trustee company, which is subject to comprehensive FTRA obligations, including customer due diligence requirements.

66. All limited liability companies are registered with the Registrar of Limited Liability Companies (LLCA, s. 3), which is part of the FSC. Limited liability companies must file with the Registrar articles of association which include: (i) the name of the limited liability company; (ii) the name and business address of the registered agent; (iii) the period of the duration of the limited liability company, which may be perpetual (LLCA, s. 12). No identification of members or owners is required as part of the registration process, or when the company files its annual report (LLCA, ss. 11(1) and 20).

67. As explained in paragraphs 76 to 83, trustee companies have AML obligations under the FTRA. In practice, the trustee company's obligations under the FTRA to ensure that its CDD information is up to date, appropriate and retained for six years will assist in ensuring that a client limited liability company's records of members is available and is kept up to date. Consequently, the verification and enforcement framework for the FTRA over trustee companies also assists in ensuring the compliance of limited liability companies with the LLCA. For example, CDD obligations require collection of additional identity information and documents on beneficial owners of the company (see paragraph 142). According to the FSC, the same observations described in paragraph 63 on structures for international companies apply to limited liability companies and it has not identified any instances in its inspections where a shareholder of a limited liability company would not be subject to CDD under the FTRA, so that the additional identity and documentation required under the FTRA is always held in practice.

Company law requirements on foreign companies

68. Foreign companies (described as overseas companies in the Companies Act) carrying on business in the Cook Islands are required, within 20 working days of commencing business in Cook Islands, to provide the Registrar of Companies with a certified copy of the instrument constituting or defining the constitution of the company (CA 2017, s. 358). There is no legal requirement for the registration of a foreign company through a service provider or a legal practitioner. Therefore, in such instances, the availability of ownership information will depend on the law of the jurisdiction in which the company is incorporated (but see tax law requirements below). Nevertheless, upon registration, they must disclose the full name and address of each director, as well as of one or more persons in the Cook Islands authorised to accept service of documents on behalf of the company (CA 2017, s. 364). The Registrar of Companies is to be notified of any change in the directors of the company (name, residential address or postal address). In the case of change of director, the notice must be filed within 20 days of the appointment or resignation. In the case of death of a director or change in name or address, it must be filed within 20 days of the company first becoming aware of the change. Sanctions apply for non-compliance (a late filing fee to the Registrar and a fine not exceeding NZD 4 000 (EUR 2 016) (CA 2017, s. 364)).

69. Under section 18 of the Development Investment Act, any foreign enterprise (whether or not a company) with more than one third foreign ownership and wishing to invest in or carry on a business in the

Cook Islands must register with the Business Trade and Investment Board. Carrying on a business does not include the passive holding of assets such as real estate. The information to be filed on registration, and annually thereafter, includes detailed ownership information, such as the names, addresses and passport numbers of all legal owners of the shares (Development Investment Act, s. 34 and Regulation 3(d) of the Development Investment Regulations 1996) and the beneficial owners of the shares. The same details are required in the annual return. These filing requirements are independent of any requirements under tax law, so that tax resident and non-resident companies are required to file annual returns with the BTIB containing legal ownership information. There were nine foreign companies registered with the Registrar of Companies as of 31 March 2025 and all nine were also registered with the Business Trade and Investment Board (as they were all more than one third foreign owned).

Tax law requirements

70. There are no direct registration requirements for companies to register with the RMD. The Income Tax Act requires that every taxpayer has an RMD number (tax identification number, s. 218), which may be seen as fulfilling the function of a registration system. The wording of the requirement is unclear on whether each taxpayer must *apply* for such a number or only that the Collector (the head of the RMD) must issue a number to each taxpayer. In general, every person deriving assessable income in the Cook Islands must file an annual tax return, so that the end result is that such persons are required to have an RMD number before or through filing a first return. Not having an RMD number may be an impediment to conducting some activities, such as importing goods to the Cook Islands (as the RMD is also the customs authority), but other than this and when filing a tax return, no comprehensive compulsion has been identified to apply for an RMD number. No penalty has been identified in the Income Tax Act that would be available in the event that a taxpayer fails to apply for an RMD number, but there are penalties for failing to file a tax return (see paragraph 100).

71. The RMD has two forms available for taxpayers that can result in the issuance of an RMD number, one for individuals *not* in business, which is clearly titled as an application for an RMD number. The second form is for businesses and is more generally titled as a business application to be used by companies and other persons or arrangements. The form can serve multiple purposes, including registering for VAT and as an employer for employment related tax obligations. The term "business" is not defined on this application form but is taken to mean deriving any income for which a tax return would ultimately need to be filed (i.e. deriving assessable income, including passive income). In the case of a company, the business form requires a copy of the certificate of incorporation. Instructions require that all directors be identified, but shareholders and executive office holders need only be identified if the company wishes such persons to be additional contacts for the company. Each director and, if relevant, shareholder and executive office holder listed must be verified with identity documents being either a passport, a Cook Islands driver's licence or a birth certificate in the case of individuals, or a certificate of incorporation or trust deed in the case of companies and trusts, respectively. There are 1 847 domestic companies registered with the RMD as of December 2025 (see paragraph 101 on the difficulty in reconciling this to registrations under company law). With respect to international companies, 256 have registered with the RMD as on 18 February 2026, out of 413 registered with the Registrar of the Financial Supervisory Commission. The discrepancy has not been explained by the RMD, other than to indicate that its registrations would include some companies automatically struck off under the clean-up process following enactment of the CA 2017 (see paragraph 96).

72. In practice, the legal ownership information is often collected by the RMD as part of the application for an RMD number; with supporting evidence, as most companies are closely held and the directors and office holders will also be shareholders. However, it is not ensured. The prescribed company tax return nominally requires the shareholders to be listed with names and addresses and an RMD number if available so that shareholders may be identified at the filing of the first tax return, however the RMD advises

that return processing procedures do not compel the provision of the RMD number for shareholders and it is therefore not provided in all cases.

73. Limited liability companies are not subject to Cook Islands taxation and are therefore under no requirement to register or furnish returns of income (LLCA, s. 76(1)). International companies are subject to Cook Islands taxation if tax resident or deriving income with a Cook Islands source. In practice, this is rarely the case. International companies are subject to withholding tax on dividends and interest paid to non-residents, subject to tax treaties. They are also required to register with the RMD and file tax returns.

74. If a foreign company is resident in the Cook Islands for tax purposes by virtue of its management and control, it is subject to the same general return filing requirement for resident companies including providing in the annual tax return the full name, address and RMD number of each shareholder. On 15 May 2026, there were no foreign companies registered with the RMD that were considered to be resident. In addition, all foreign companies deriving income from the Cook Islands (whether resident there or elsewhere) are assessable for income tax in the Cook Islands (Income Tax Act 1997, ss. 80(2), and 83). Such foreign companies are also required to furnish an annual return of income including the full name, address and RMD number of each shareholder (Income Tax Act, ss. 2 and 8).

75. There is no explicit obligation on the RMD to retain these records for a specified period. It has for some time considered the six-year period in the Public Records Act as strong guidance, if not directly applicable. The time bar limit on standard tax assessments of four years for non-criminal matters and ten years for criminal matters would also be a consideration. However, in practice the RMD keeps all paper records for at least 20 years and electronic records indefinitely.

Obligations under anti-money laundering legislation

76. The AML framework is primarily provided by the FTRA 2017 and the regulations made under that Act. Section 25 of the FTRA requires reporting institutions to establish, maintain and operate procedures to ensure that they conduct customer due diligence (CDD) before entering into an ongoing business relationship or an isolated transaction with or on behalf of a customer.

77. A reporting institution is defined (in FTRA 2017, s. 5) to mean:

- a licensed financial institution
- a person who, in the course of carrying on business, enters into transactions with or on behalf of customers in respect of one or more specified activity
- any other person that may be prescribed.¹⁷

78. The FTRA Regulations prescribe a range of specified activities that will cause a person to be a reporting institution. It includes acting as a trust and company service provider and therefore brings into scope all seven licensed trustee companies mentioned in paragraphs 61 to 66.

79. Reporting institutions are required to have an AML/CFT compliance programme overseen by a Money Laundering Reporting Officer. It needs to set out in detail how the reporting institution complies with the FTRA 2017, and internal policies relating to auditing of their AML/CFT compliance programme, vetting of new staff and training staff for their AML/CFT compliance programme.

80. Reporting institutions are required to undertake risk assessments for their business as a whole, and for each of their customers prior to establishing an ongoing relationship, and a technology risk assessment when implementing new technology in relation to their operations. In addition, reporting

¹⁷ In practice, the definition of specified activity in the FTRA Regulations is the only mechanism that has been used to prescribe additional persons as reporting institutions, none have been prescribed separately. Specified activities cover a range of financial services activities and also includes real estate dealing, gambling, acting as a lawyer and acting as an accountant.

institutions are required to have procedures in place to undertake customer due diligence prior to establishing a relationship or conducting a one-off transaction.

81. When dealing with a customer that is not a natural person, reporting institutions must verify the legal status of the customer, using relevant information obtained from a reliable independent source, and obtain sufficient information to understand the nature of the customer's business and its ownership and control structure. Reporting institutions must carry out ongoing and effective monitoring, including review of information held for the purpose of CDD to ensure that it is up to date and appropriate (FTRA 2017, s. 32).

82. The AML framework covers all international companies and limited liability companies as a result of the requirement for every such company to have a relationship with a reporting institution, specifically a trustee company. As explained in paragraphs 62 and 67, the AML framework and the company law requirements governing international companies and limited liability companies have overlapping requirements so that the companies are required to maintain ownership information with a trustee company and the trustee company is required to hold that information. However, in the case of domestic companies there is no requirement to have a relationship with an AML-obliged person in all cases. A domestic company may have an account with a Cook Islands bank but is not required to.

83. Reporting institutions must maintain records for six years after the completion of an isolated transaction, the end of ongoing business relationship, or in the absence of any formal end to an ongoing business relationship, the completion of the last transaction in that relationship (FTRA 2017, s. 41). A reporting institution that breaches these requirements commits an offence and is liable to the penalty not exceeding NZD 1 000 000 (EUR 504 000) (FTRA, s. 63).

Companies that cease to exist

84. A **domestic company** ceases to exist when removed from the Cook Islands register. A domestic company in the Cook Islands may be removed from the register due to: (i) liquidation; (ii) request of a shareholder or another authorised person if the company has ceased business;¹⁸ or (iii) failing to file its annual return or to meet other specified requirements. Liquidation of a domestic company begins with the appointment of a liquidator (CA, s. 202). The Companies Act details how liquidation must proceed and the periodic filings that a liquidator must make with the court (CA, ss. 200 to 295). The liquidator must prepare an initial report soon after appointment and subsequently prepare six-month reports advising interested parties of the progress of the liquidation and file these with the Registrar.

85. A company can be automatically removed from the register for failure to file an annual return (CA 2017, s. 338). No one may object to this removal. Any third party seeking to know the status of a company can see if it is registered or struck off. There is no intermediary status as "inactive". The Registrar did not strike off any companies during the review period, despite substantial numbers of companies failing to file annual returns – see paragraph 97.

86. The company's historical ownership information filed through the online Registry is kept indefinitely, whatever the reason that led to formal removal of the company from the register.

87. A domestic company may be restored to the register if it was removed therefrom for failing to file an annual return. In case of removal for a failure to file an annual return, the application for restoration

¹⁸ A company may request to be removed from the register when it is finished doing business. The request may be made by a shareholder, a person authorised to make the request under a special resolution, or by a director if the constitution allows this. The request can be made on the grounds that the company has: i) ceased doing business, discharged in full its liabilities, and distributed its assets; or ii) no surplus assets after paying its debts in full or in part, and no creditor has sought to put the company into liquidation. The request for removal is filed with the Registrar (CA 2017, s. 339).

must be filed with the Registrar within two years after its removal, together with overdue annual returns and all pending and late filing fees (CA, s. 350). Thus, the latest ownership information is available with the Registrar within the two-year period after the company's removal from the register.

88. If the removal was for a reason other than the failure to file an annual return, or if it has been more than two years since a removal for failure to file an annual return, then the party seeking restoration must seek a court order (CA 2017, s. 351). The court can order to restore the company to the register for any reason that is just and equitable (e.g. at the time of removal the company was still carrying on business, there are other reasons for it to continue its existence, the company was a party to a legal procedure) (CA 2017, ss. 350 to 351). The court may make restoration conditional on compliance with any provisions of the Companies Act or of regulations made under the Companies Act if the company had failed to comply with those provisions before it was removed from the register (CA 2017, s. 351 (3)). In these cases, the filing of outstanding returns is not prescribed by law, although it is open to the court to require this. A company is restored to the register when the Registrar receives a notice stating that the company is restored to the register. The restored company is treated as if it has not been removed from the register and as having continued in existence (CA 2017, s. 352). In practice, no applications for restoration have been made and so there are no cases from which court practices can be observed.

89. An **international company** may be struck off the register at the request of the company. It may also be struck off if the company or an officer of the company informs the Registrar that it does not intend to renew its annual certificate of incorporation. Alternatively, the Registrar may, of their own motion and following a procedure that requires at least two months' notice, strike a company off if the Registrar has reason to believe that the company does not hold a current certificate of incorporation. An international company that has been struck off no longer has legal personality. When an international company is struck off the register, any remaining assets vest with the Registrar. Where an international company is struck off, the resident secretary must ensure that the books and papers of the company – including its register of members – are retained by a trustee company for a period of six years from the striking off (ICA, s. 197(6)).

90. An international company may be restored to the register if the Registrar is satisfied that no person will be prejudiced and that due cause has been shown (ICA, s. 197(3)). The restored international company is deemed to have continued in existence as if its name had not been struck off, and unless the Registrar at the time of restoration orders to the contrary, the international company and all other persons are deemed to be in the same position as nearly as may be as if the international company had not been struck off (ICA, s. 197(3A)).

91. There is no time limit for the restoration of an international company after being struck off the register by the Registrar. In the case of struck off companies, there is a risk that an adequate retention of ownership information will not be ensured as there is no explicit obligation to maintain and provide ownership information at that time. Since the retention period after strike-off is six years, at which time the Act allows the resident secretary to destroy the records, any reinstatement after that date does not provide for the availability of ownership information for years prior to restoration in line with the standard. Therefore, **the Cook Islands is recommended to ensure that ownership information is available for restored international companies in line with the standard.**

92. During the review period, there were 32 international companies that had been deregistered and were restored to the register through this process. In all cases but one, the period of deregistration was less than one year. In the one case that was more than one year the period of deregistration was five years and seven months, thus within the retention period applicable to the trustee company. A gap nonetheless remains in the legal framework.

93. A **limited liability company** can be dissolved upon the occurrence of any of the following events: (i) by the unanimous written agreement of all members and managers, (ii) at the time or upon the occurrence of events specified in writing in its articles of organisation or operating agreement (LLCA, s. 49),

or (iii) automatically by operation of law, one year after failing to pay fees or file appropriate reports. Irrespective of the cause for dissolution, all records of the limited liability company must be kept at the registered office (the office of the last registered agent in the Cook Islands) for six years following the dissolution (LLCA, s. 32). There are no legal provisions in the Cook Islands for restoration of a dissolved limited liability company.

94. A **foreign company** can be revoked and removed from the register as a result of a successful prosecution of the company for breaching the law, failing to comply with the conditions of the Business Trade and Investment Board's (BTIB) approval, going into liquidation or bankruptcy or ceasing to do business in the Cook Islands. Deregistration also occurs where the foreign enterprise is no longer a foreign enterprise because the foreign investors have become Cook Islanders (granted Permanent Residence status) or Cook Islanders beneficially own and control more than two thirds of the enterprise (Development Investment Act, s. 26). A foreign company may apply or be required to be re-registered if it subsequently meets the conditions required to do so. The availability of legal ownership information for foreign companies that no longer have a presence in the Cook Islands relies on the tax returns filed with the RMD which retains these for at least 20 years, see paragraph 75.

Legal ownership information – Enforcement measures and oversight

95. The authorities ensuring compliance with the requirements to keep legal ownership information for all domestic, international, limited liability and foreign companies are: i) the Registrar of Companies through the Ministry of Justice (MoJ), ii) the RMD, iii) the FSC and iv) the BTIB. The MoJ oversees the application of company law to domestic companies. The RMD is responsible for monitoring all companies for their tax obligations except for limited liability companies, which are not subject to taxation in the Cook Islands. The BTIB oversees foreign companies if more than one third owned or controlled by non-Cook Islanders. The FSC is responsible for the ongoing monitoring or supervision of international companies and limited liability companies, as well as supervising the reporting institutions with whom by law they must have a relationship (i.e. trustee companies).

Domestic and foreign companies

96. After the implementation of the Companies Act in 2017, all previously registered domestic and foreign companies were obliged to re-register latest by 9 December 2020. The re-registration process required the submission of the same data elements as would be required for a new company formed under the new law. In this way, all active existing companies had both the opportunity and the requirement to provide legal ownership information into the registry that was up to date and in compliance with the new law. At the time the deadline passed, 887 companies had re-registered. This deadline was extended to 31 March 2022, by an amendment to the Act in November 2021 because the COVID-19 pandemic slowed down registrations; this allowed an additional 176 companies to re-register. This process also had the positive effect of aging-off companies that were no longer active as failure to re-register resulted in the company being struck off the registry, although the number that were struck off as a consequence is not available.¹⁹ No further extension was provided and no companies deregistered in this process have been restored to the register.

97. On 31 March 2025, there were 1 613 domestic companies registered. However, the number of companies filing annual returns (which is a requirement for all domestic companies) has declined from 832 in 2022, to 604 in 2024. This raises the possibility that economically inactive companies may again be accumulating on the register. The MoJ states that all registered companies are presumed to be active, although no objective basis for this presumption has been provided and it may simply reflect an absence of knowledge to the contrary. There is no formal status of "inactive" in the Companies Act. The Registrar

¹⁹ https://registry.justice.gov.ck/documentation/ck/Company_Act_Registry_Reform_Highlights_Dec10_2019.pdf

has the power to strike off companies for failing to file annual returns (see paragraph 85) but did not use this power during the review period. No routine inspections or audits were conducted during the review period. Overall, the only verification and enforcement activities stated to have been carried out by the MoJ are some reviews of annual returns when filed, with between 5% and 15% of returns rejected for incomplete information. It appears that at least some of these rejections are automatic validations on whether fields have been completed rather than an evaluation of the content of the returns. Penalties have been applied for late filing, but no statistics have been provided on the total cases or amounts, or whether any of the penalties were not simply automatically imposed when companies voluntarily filed, without prompting action from the MoJ.

98. Domestic companies are required to keep a register of their shareholders (CA, s. 49, see paragraph 56). A company that fails to comply with this requirement commits an offence and is liable on conviction to a fine not exceeding NZD 4 000 (EUR 2 016) (CA 2017, s. 49(4)). However, during the review period, the Registrar of Companies carried out little to no activities relevant to ensuring compliance by domestic companies with this obligation.

99. Nine foreign companies were registered with the Registrar of Companies as of 31 March 2025. Four of these are banks that have been operating in the Cook Islands for some time. The balance of foreign companies tends to have a relatively short-term presence in the Cook Islands, being for various projects that come to a conclusion in due course.

100. In practice, there is reliance on the RMD to ensure the availability of legal ownership information on domestic companies and foreign companies through initial registration and then subsequently through the information filed in annual tax returns, albeit that this information may not reflect changes that may occur in the period between filing of tax returns. Under tax law, a person who fails to file a tax return is liable to a fine not exceeding NZD 10 000 (EUR 5 040) and not less than NZD 500 (EUR 252) (ITA, s. 206). Wilfully or negligently providing false information may on conviction be subject to imprisonment for a term not exceeding 2 years or a fine not exceeding NZD 100 000 (EUR 50 400), or both.

101. The RMD has 1 847 companies registered for tax purposes and this is not reconcilable to those registered with the Registrar of Companies (1 613, see paragraph 51) even after accounting for timing differences. The RMD is aware that many of the registrations are likely to include companies that have been struck off or are now economically inactive, although it is unable to categorise these in any detail. Only 407 of the companies registered with the RMD (22%) filed an income tax return for the most recent tax year (2024). While the RMD advises that it carries out a range of compliance activities, it has not provided information on whether these activities relate to ensuring that tax returns are filed as required. The RMD notes that the imposition of sanctions for late filing currently can only be done following prosecution and conviction by the court, which is administratively burdensome and limits enforcement in practice. Precise statistics on audits of taxpayers that do file tax returns and the extent to which these audits verify information are not available, however the RMD advises that 397 tax related audits were conducted during the review period and based on a material sample of these cases, around a quarter would have reviewed the correctness of ownership information filed. The RMD has also stated that company tax returns are sometimes filed and accepted without the schedule of ownership information having been completed. While it notes that ownership information would instead be included in the financial statements, it is also not always the case that financial statements are filed with the tax return (see Element A.2). No penalties or other sanctions were imposed for any non-compliance.

102. No requests for ownership information were made during the review period relating to domestic or foreign companies. In the event that such a request is received, the source of information would be either the RMD's tax return records, the company itself if the company remains in existence, or the domestic company Registrar. However, the low filing rates of annual returns for both company law and tax law purposes causes uncertainty over whether registered companies remain active or would have current contact details available. There is a lack of verification and enforcement activity to ensure compliance with

each of these filing obligations. In the case of filing of ownership information with the RMD, while some activity is carried out to ensure that this information is complete and accurate, there is a lack of enforcement when filings are incomplete. This casts doubt on whether the information held by the RMD can ensure the availability of legal ownership information for domestic companies and relevant foreign companies with nexus to the Cook Islands. **The Cook Islands is recommended to implement effective oversight and enforcement measures to ensure the availability of legal ownership information for domestic and relevant foreign companies.**

International companies and limited liability companies

103. International companies are required to keep at their registered office a share register (ICA, ss. 105 and 106, see paragraph 61). Failure to maintain the share register in accordance with the legislative requirements is an offence and, on conviction, a fine of NZD 500 (EUR 252) will apply (ICA, ss. 105(3) and 219). A NZD 29 (EUR 15) penalty per month applies for a late filing of the annual renewal of an international company's registration, and a NZD 29 (EUR 15) penalty per month applies for a late notification to the Registrar of a change of registered agent or registered office (International Companies (Prescribed Fees) (Amendment) Regulations 2014).

104. Limited liability companies are also required to keep at their registered office a current list of members (LLCA, s. 32(1), see paragraph 64). Failure to comply with any legal requirement imposed by the LLCA is an offence and, on conviction, punishable with a fine not exceeding NZD 10 000 (EUR 5 040) or imprisonment for a term not exceeding one year, or to both (LLCA, s. 78). A NZD 37 (EUR 18) penalty per month applies for a late filing of the annual renewal of a LLCA's registration.

105. The FSC has the legal mandate for supervising compliance with requirements of the ICA and the LLCA. It also has the legal mandate for AML supervision, together with the Financial Intelligence Unit. In practice, and insofar as there is overlap between the obligations on international companies and limited liability companies on the one hand and trustee companies that service them on the other hand (see paragraphs 59 to 66), the compliance activities carried out by the FSC are intended to verify compliance on both sides. The FSC conducts desk-based reviews and onsite inspections of reporting institutions. Most relevantly, these include the seven licensed trustee companies and the four licensed banks. The primary focus of the inspections is on compliance with the FTRA, including that they have complied with their CDD obligations. In the case of inspections conducted on trustee companies, these also cover compliance by their clients and/or the trustee company's provision of services to those clients, for which all international companies and limited liability companies are ultimately in scope.

106. Prior to July 2022, the trustee companies were on an annual cycle of onsite inspections by the FSC, although some of these were carried out virtually in 2020 and 2021 due to the Covid-19 pandemic. From July 2022, the cycle moved to an onsite inspection every two years. During the review period, every trustee company was subject to this activity at least once, and most were reviewed twice.

107. The FSC has provided statistics for the onsite inspections carried out during the review period. On average 20-25 clients are selected for review. The base minimum file review always includes the CDD requirements, include obtaining and verifying identity information for both legal and beneficial owners of the customer, purpose of relationship, documentation of control and management (corporate documents, trust deeds, letters of wishes, application forms), source of wealth and validation of wealth sources. Services provided by a trustee company for a client may include services in connection with one or more relevant companies (or none). The following table shows the number of entities covered in the FSC's inspections during the review period and the number of entities where issues were identified. Both legal and beneficial ownership of the entities is subject to review in these inspections, however the information provided has not separately categorised the issues for those two subjects.

Trustee company client entities subject to inspection during the review period

Type	Entities reviewed	Ownership issues identified
International companies	137	9
Limited liability companies	86	7

108. Issues identified by the FSC in its reviews varied but were most commonly gaps at the lower end of the scale, such as expired identity documentation. The FSC did not consider these issues sufficiently serious to warrant pursuit of penalties, preferring instead to require remediation of gaps by the relevant company. Other than late filing penalties, which can be applied administratively and are in practice automatically applied, penalties for any other non-compliance can only be imposed through conviction by the court. Penalties applied for late filing of annual returns or other documents during the review period amounted to NZD 18 273 (EUR 9 210) on international companies and NZD 10 631 (EUR 5 358) on limited liability companies. The vast majority of these concerned filing one or two months late. Ultimately non-filing by an international company can lead to strike-off, and while the FSC is understood to be active in doing so, no figures are available. Limited liability companies are by operation of law struck off after failing to file for one year, though figures are also not available for this.

109. Overall, the verification activities of the FSC have broad coverage and appear to be adequate. The FSC staff are skilled and knowledgeable, which was also confirmed by private sector representatives.

Nominees

110. Nominee shareholding is allowed in the Cook Islands but the Companies Act, ICA or LLCA do not set any specific obligations on nominees or nominators to inform the relevant company of the existence of the nominee arrangement. Prior to 4 December 2024, there were also no specific obligations on the companies themselves to obtain information on nominees holding interests in the company. That remains the case for the ICA and LLCA, however the Companies Act was amended with effect from 4 December 2024 to add an obligation on domestic companies to:

obtain and maintain sufficient information on any nominee arrangements including the beneficial owner of the nominator (s. 52(2) (aa))

111. As this obligation is not matched by any corresponding obligation on the nominees to inform the company of their status, availability of information with the company is not ensured.

112. Under the AML framework, trustee companies are obliged to conduct CDD on international companies and limited liability companies to identify, verify and maintain information on the customer and any person acting on behalf of a customer (FTRA, s. 25). Customer is defined to mean a person with whom the reporting institution enters into a transaction. Section 56 also imposes an obligation on any person dealing with a reporting institution to disclose their nominee or trustee status to the reporting institution (trustee companies are reporting institutions). A person or reporting institution that breaches section 56 commits an offence and is liable on conviction to a fine up to NZD 250 000 (EUR 126 000) or imprisonment up to five years, or both.

113. A trustee company that acts as a nominee in respect to a shareholding or as a member of the international company or limited liability company does so as part of their services to the client and therefore is in a position to know the nominator that they act for. In practice, a trustee company acting as a nominee is often only temporary at the initial registration of the company and the ownership is transferred to the intended owner soon after the creation of the company.

114. However, a third party could act as a nominee holding an interest in the international company or limited liability company on a more ongoing basis and in these circumstances the third party would not in all cases be under an obligation to disclose their status to the trustee company or the company in which they hold their interest. The third-party nominee shareholder or member of the company will only be

required to disclose their status to the trustee company if that person is also directly “dealing” with the trustee company, which might not be the case. According to the FSC, the trustee company will usually know if a third-party nominee holds an interest in an international company or limited liability company as a result of being closely involved in advising the ultimate client and setting up the structure.

115. The ITA considers the nominee and nominator indistinctly.²⁰ There are requirements for international companies, domestic companies and foreign companies which are resident for tax purposes in the Cook Islands to furnish an annual return of income in the prescribed form, including the full names and addresses of shareholders and, if a shareholder holds their shares as a nominee, trustee or the shareholder is otherwise not the beneficial owner, the company must also provide the full name and address of the beneficial owners of the shares²¹ (Income Tax Act, s. 8, company tax return RM 6). There are no further instructions in the form on how to comply with this. While completing the income tax return may cause the company to provide information on a nominator in respect of a shareholder that is known by the company to be a nominee, there is nothing in the Income Tax Act or other laws of the Cook Islands that would require a nominee to disclose their status as nominee to the company or to provide information on the nominator to the company. Availability of complete information with the RMD on nominee arrangements is therefore not ensured.

116. In summary, some information may be available for each type of company on nominees and their nominators through requirements in the Companies Act, the FTRA and tax law. However, there are no requirements that would comprehensively require nominees to disclose their status to a Cook Islands company and provide information to the company on their nominator, so it is not ensured that the information available will be complete. **The Cook Islands is recommended to ensure that ownership and identity information is available in respect of nominee shareholdings.**

117. As described in the 2015 Report, nominee arrangements are very rare for domestic companies, many of which are small and owned by a husband and wife, and this remains the case. In contrast, nominee arrangements are common in limited liability companies and international companies (see paragraphs 50 and 60).

Availability of legal ownership information in EOIR practice

118. During the review period, the Cook Islands received seven requests for legal ownership information on international companies. The answers were provided on time and the partners were satisfied with the information.

Availability of beneficial ownership information

119. The standard was strengthened in 2016 to require that beneficial ownership information be available on companies. Beneficial ownership information in the Cook Islands is collected primarily through the AML framework. Because this source of information would not necessarily capture all domestic companies, in 2017 the Cook Islands introduced an additional mechanism with the Companies Act requiring companies to obtain and maintain some beneficial ownership information, although the definition

²⁰ ITA, s. 3(3): “Where a nominee of any person holds any shares, nominal capital, paid-up capital or voting power in a company, or has by any other means whatsoever any power of control of a company, or is entitled to a share of profits distributed by a company then, for the purposes of this section, those shares or that capital or that voting power or that power of control or that title to profits as the case may be, shall be deemed to be held by that person, and in every such case that person and the nominee or nominees of that person shall be deemed to be one person.”

²¹ This obligation does not amount to identifying the beneficial owners of the company, as the obligation applies to some shares only and no definition is provided of beneficial owner in this context.

at that time did not meet the standard. The definition was amended towards the end of the current review period and both the former and current definitions are analysed further below.

120. In order to comply with obligations under the Companies Act, domestic companies must obtain and maintain sufficient information to identify their beneficial owners and disclose it to the Registrar of Companies if requested to do so. The tax law does not provide for the availability of beneficial ownership information in the Cook Islands. There is no beneficial ownership register in the Cook Islands. The following table shows a summary of the legal requirements to maintain beneficial ownership information in respect of companies:

Companies covered by legislation regulating beneficial ownership information²²

Type	Company Law	Tax Law	AML Law
Domestic companies	All	None	Some
International companies	None	None	All
Limited Liability Companies	None	None	All
Foreign companies (tax resident)	None	None	All ²³

Company law requirements

121. Prior to 4 December 2024, domestic companies were required to obtain and maintain sufficient information to identify the beneficial owner of each share issued by the company. Companies were not generally required to file this information with the Registrar, they were only required to disclose this information if required to do so in a written notice issued by the Registrar (CA 2017, s. 52(2)). While the Companies Act 2017 required all companies to reregister on a new online system by a deadline ultimately extended to 31 March 2022, this process did not require any information on beneficial owners to be added to the system.

122. Formerly, section 52(3) of the Companies Act defined a beneficial owner as:

the person who ultimately owns or controls the share

123. This definition and related obligation departed from the standard. The Cook Islands legislation did not require domestic companies to keep information about their beneficial ownership but about the beneficial ownership of each share.

124. While the definition of beneficial owner referred to “person”, it was not clear if that meant a natural person or could also be a legal person. There was also no default position where an individual in a senior managerial position would be identified. Individuals having either ultimate ownership or control of the share appeared to be covered; however, persons having ultimate control of the company through means other than ownership would not be identified. It was also not clear whether “ultimately” would be interpreted as meaning any person who controls the share acting directly or indirectly, or acting individually or jointly. The

²² The table shows each type of entity and whether the various rules applicable require availability of information for “all” such entities, “some” or “none”. “All” means that the legislation, whether or not it meets the standard, contains requirements on the availability of ownership information for every entity of this type. “Some” means that an entity will be covered by these requirements if certain conditions are met.

²³ Where a foreign company has a sufficient nexus, then the availability of beneficial ownership information is required to the extent the company has a relationship with an AML-obligated service provider that is relevant for the purposes of EOIR. (Terms of Reference A.1.1 Footnote 9)

beneficial ownership information was therefore not required to be maintained in line with the standard under the company law requirements.²⁴

125. Most importantly, the requirement was not to obtain and maintain information *on the identity of the beneficial owners*, it was to obtain and maintain *sufficient information to identify* the beneficial owners. This falls short of actually identifying the beneficial owners and, even if there might be sufficient information assembled under which it could be done if required, the adequacy of the assembled information is not tested by doing so. Furthermore, there was no specification of identity information on the beneficial owners that should be covered by this – such as name, address, date of birth, etc.

126. The Companies Act was amended with effect from 4 December 2024, so that the requirement is now to obtain and maintain sufficient information to identify the beneficial owners of the company. While the amendment improved the definition of beneficial owners as further discussed below, it did not remove the concern over only requiring sufficient information to identify the beneficial owners instead of clearly requiring that there is a process carried out to actually identify them. It also remains the case that there is no specification of the identity information on the beneficial owners that should be available (for example, name, address, date of birth, other details). These gaps are discussed further at paragraph 136).

127. The definition of beneficial owner was also amended to have the same meaning as “ultimate principal” provided by the FTRA. At the same time, the definition of ultimate principal in the FTRA was amended so that beneficial owner (ultimate principal) now means, for both the Companies Act and the FTRA:

- (1) *...the 1 or more natural persons -*
 - (a) *who exercise ultimate effective control over a legal person or legal arrangement...*
 - (2) *In this section, exercise ultimate effective control includes where ownership or control is exercised through a chain of ownership or by any means of control other than direct control; and as further provided in regulations.*

128. Regulation 6 of the FTRA regulations was also amended to elaborate on the meaning of “ultimate principal” in the Act. The part relevant to ultimate principals of legal persons is as follows:

- (1) *This regulation sets out further detail for identifying ultimate principals who exercise ultimate effective control over a legal person or legal arrangement.*
- (2) (a) *the natural persons who*
 - (i) *ultimately hold directly or indirectly, jointly or otherwise, 25% or more of the shares in the capital or voting rights of the legal person; or*
 - (ii) *are jointly and severally liable for the liabilities, regardless of their percentage of the capital or voting rights in the legal person*
- (b) *if, under subclause (1)(a), no natural person is identified or there are doubts about whether the natural persons identified are ultimate principals, the natural persons who control the legal person by any other means, de facto or de jure*
- (c) *if no natural person is identified under subclause (1)(a) or (b), the natural persons who hold the position of senior managing official.*

²⁴ No ordinance (secondary legislation/by-laws), guidance or case law was provided that would have explained the definition of beneficial owner as provided under the company law applicable prior to 4 December 2024.

(3) A natural person who meets 1 or more of the specified conditions under subclause (2) is deemed to be an ultimate principal unless that person operates solely in the capacity of a professional advisor or professional manager.

(4) If no natural person meets any of the specified conditions under subclause (2) and the trustees of a trust meet one or more of those specified conditions, the trustees of the trust are deemed to be the ultimate principals unless they are exercising ultimate effective control over the activities of the trust solely in the capacity of a professional adviser, professional manager or trustee company.

(5) If no natural person is identified as an ultimate principal under subclauses (2) to (4), any senior managing official is deemed to be the ultimate principal.

129. These amendments have resolved most of the previous deficiencies in the definition of beneficial owner in the Companies Act by ensuring that the relevant persons to be identified are natural persons, the relevant control is over the company and not each share, that control may be direct or indirect, acting jointly with other persons, and that a senior managing official is identified in the event that no other beneficial owners are identified.

130. Some observations may be made on the new definition and cascading approach to identify beneficial owners. Firstly, cross-reference errors appear to have been made in clause (2), by referring to subclause (1)(a) and again subclauses (1)(a) and (b) when no subclauses of clause (1) exist. It is relatively clear that the intention was to refer to subclauses (2)(a) and (b). The relevant Cook Islands' supervisory authority for the FTRA confirms that this was the intention and expects this to be enforceable despite the error.

131. Secondly, clause (2) closely follows the standard and would meet the standard. However, it is subject to clauses (3) to (5) which must also be examined to assess the full outcome.

132. Clause (3) excludes a person who is operating solely in the capacity of professional advisor. Professional advisor is defined in the regulations and includes a lawyer, an accountant or a financial advisor acting in a professional capacity. Clause (3) also excludes professional managers, and these are defined to include liquidators, receivers and officers of the FSC exercising their statutory functions. While these exclusions could be appropriate in relation to persons who would otherwise be in scope under subclauses (2)(a) and (b), the exclusion would not always be appropriate in the event that it became necessary to apply the default mechanism of subclause (2)(c) – the identification of a senior managing official. It is noted that clause (5) reintroduces the requirement to identify senior managing officials if no natural person has been identified under clauses (2) to (4), which should bring back into scope any relevant professional advisor or professional manager that meets the description of being a senior managing official when no other ultimate principals have been identified. It remains that the interplay of the clauses is complex and may lead to difficulties in implementation.

133. If no natural person is identified by clause (2), clause (4) will deem the trustees of a trust to be ultimate principals if they meet any of the conditions in clause (2). It goes on to then exclude a trustee of a trust from being an ultimate principal if they are a professional advisor, professional manager or trustee company. Again, these exclusions could be appropriate in relation to persons otherwise in scope under subclauses (2)(a) and (b), however the exclusion would not always be appropriate in the event that it became necessary to apply the default mechanism of subclause (2)(c) – the identification of a senior managing official. Furthermore, under the client structures and arrangements under which trustee companies in the Cook Islands commonly provide services, it seems very unlikely that no other persons would have been identified as ultimate principals by reason of their roles in relation to the trust or as natural persons to whom the professional advisor, professional manager or trustee company is in substance providing their services. The reference to a trustee company potentially needing the benefit of the exclusion in clause (4) adds some doubt over the intention or operation of the clause, as such entities should never be identified as ultimate principals under the standard as they are not natural persons.

134. No guidance has been issued by the authorities on the operation of these clauses in the new definition for either the Companies Act or the FTRA. A representative of a trustee company indicated that it was not aware of the purpose of clauses (3) and (4) in the new definition and in practice it did not apply these to modify the operation of clause (2). According to the FSC, almost all trustee company business is referred through professional intermediaries and typically there will be a variety of advisors (lawyers, investment advisors, etc.) that may have some role in the structure. The trustee companies are required to identify and verify these intermediaries, however the purpose of clauses (3) and (4) is to ensure that they do not stop at that point and must continue further to the client individual(s) ultimately behind the structure. If they can only identify the professional intermediaries or advisors in their CDD processes (i.e. not the client that is providing the instructions or the assets to the structure) then the FSC expects the reporting institution **not to proceed** at all with the relationship.

135. While the definition of beneficial owner (ultimate principal) now applicable under the Companies Act and the FTRA may be interpreted with a meaning that is in line with the standard, there is some complexity to the exclusions for professional advisors and managers and it would benefit from guidance from the authorities to ensure these do not cause the definition to depart from the standard in practice. The Cook Islands should clarify in guidance the operation of the definition of beneficial owner in relation to professional advisors and managers (see Annex 1).

136. While there is an obligation on a domestic company to obtain and maintain beneficial ownership information, there are several deficiencies that could result in a failure to have available all information that would meet the standard. As mentioned at paragraphs 125 and 126, previous deficiencies around completing the process of identifying the beneficial owners and the lack of specification of the identity details that need to be obtained remain the case and were not resolved by the amendment in December 2024. The Companies Act also does not provide for any mechanism under which the company might compel the provision of information from shareholders or beneficial owners. It does not impose any onus on a shareholder or a beneficial owner to disclose information to the company or to inform the company of any changes. No sanctions are envisaged in case a shareholder or beneficial owner refuses to co-operate with the company. The legal framework therefore lacks mechanisms under which domestic companies can obtain and update beneficial ownership information. Furthermore, even if a company has the ability to comply, no timeframes have been specified within which they must do so. No timeframe was originally given under which companies could transition to compliance under the original requirements introduced in 2017. The amendments effective from 4 December 2024 also did not specify any timeframe within which companies would be required to obtain and maintain any new information to comply with the amended requirements. In this context, the only sanction available if a company fails to comply is an offence provision requiring conviction by the court (see paragraph 151). This has never been tested, and doubts arise over whether a court would sanction a failure when what would constitute a failure (in terms of missing identity information) has not been specified and in any case no deadline for compliance has been provided. In summary, there is an absence of mechanisms under which domestic companies can obtain and update beneficial ownership information and even if it is feasible for a company to do so, a failure to comply may not be enforceable. The deficiency is not mitigated by the AML framework as domestic companies are not required to engage an AML-obliged person in all cases (see paragraph 140). **The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information is available for domestic companies in line with the standard.**

137. No information or guidance has been issued by the Registrar of Companies to inform companies of the new requirements or to provide any transitional period under which they may be permitted to come into compliance. These circumstances and the lack of any monitoring and verification activities by the Registrar of Companies in practice (see paragraph 97), lead to significant doubts on the extent to which domestic companies have implemented the original or revised beneficial ownership information requirements, if at all. **The Cook Islands is recommended to implement effective oversight and**

enforcement measures to ensure the availability of beneficial ownership information for domestic companies.

Anti-money laundering law requirements

138. Registration of international companies and limited liability companies must be conducted through a licensed trustee company in the Cook Islands,²⁵ each of which are reporting institutions under the AML framework (see paragraph 77). The trustee company is required to conduct CDD procedures to identify and verify the beneficial owners (FTRA 2017, ss. 25 to 30) before establishing the relationship (prior to registration of the prospective client entity). Each international company and limited liability company must continue to have an ongoing relationship with a trustee company. Thus, information on beneficial ownership of these companies is required to be kept with the licensed trustee companies.

139. International companies and limited liability companies will rarely if ever have a bank account with the domestic banks. These entities sometimes have a bank account with the international bank operating in the Cook Islands. Banks are therefore at best a secondary source for beneficial ownership information on these entities.

140. For domestic companies, beneficial ownership under the AML framework will be available only if they have an ongoing relationship with an AML-obliged person, for instance a bank. There is no legal obligation that requires or would cause a domestic company to have an ongoing relationship with an AML-obliged person, which means that the AML framework does not provide for a complete source of information on beneficial ownership of domestic companies. The Cook Islands understands that domestic companies would commonly have a bank account, although this is not assured, nor is it assured that such bank accounts would be held with a Cook Islands bank. To date, there has been no requirement to obtain beneficial ownership information on domestic companies for EOI purposes, so there is no experience in practice.

141. Pursuant to FTRA 2017, when dealing with a customer that is not a natural person, reporting institutions are required to do the following:

- identify and verify any “ultimate principal” of the customer
- verify the status of the customer
- obtain sufficient information to understand the customer’s business and its ownership and control structure and
- obtain information concerning the person(s) by whom, and the method by which, binding obligations may be imposed on the customer²⁶ (FTRA 2017, s. 25).

142. The types, kinds or categories of identity information to be obtained or verified for meeting the requirements above and any additional due diligence requirements may be prescribed in Regulations, and the Cook Islands has done so. In the case of a natural person, the identifying information to be obtained includes the full name, residential address, date and place of birth, nationality and an official personal identification number or other unique identifier in a valid official document. In the case of legal persons and legal arrangements, various identification information is also prescribed, and it includes the same identification requirements mentioned for natural persons that are ultimate principals and other natural persons acting on behalf of the legal person or legal arrangement. The primary Act requires, and the

²⁵ Section 9 of the International Companies Act, and section 5 of the Limited Liability Companies Act.

²⁶ This includes the memorandum and articles of association for a company, the partnership agreement, trust deed and foundation rules in the case of partnerships, trusts and foundations respectively. It can also include information that explains the management and control structure of the legal person. It can include mergers and acquisition, organisational chart, internal policies, etc.

Regulations reiterate, that verification of identity and information to be based on documents, data or information issued by a reliable and independent source.

143. A reporting institution that is unable to meet the customer due diligence requirements of the FTRA must terminate the relationship and consider whether to submit a suspicious activity report to the FSC. If the reporting institution reasonably believes that undertaking the customer due diligence or terminating the relationship would tip off the customer, it must submit a suspicious activity report within 24 hours.

144. Reporting institutions are required to maintain up-to-date and current CDD information on their clients (FTRA 2017, s. 32). The retention period is six years from the end of the relationship or the one-off transaction (FTRA 2017, s. 44). A reporting institution must carry out ongoing and effective monitoring of any ongoing business relationship, including the review of information held for the purpose of CDD to ensure that it is up to date and appropriate. The reporting institution must make sure that the extent and frequency of the monitoring appropriately reflect: (i) the type of CDD conducted when the ongoing business relationship with the customer was established, and (ii) the customer's level of risk (FTRA 2017, s. 32(2)(3)). Practice Guidelines issued by the FSC also explain that the reporting institution should take note of any changes in the nature of the relationship with the customer, such as changes in activities, turnover or transactions and when significant, reassess the customer's risk profile and the basis of the ongoing relationship.

145. There is no specified frequency for updating CDD. Practice Guidelines issued by the FSC advise that CDD information must be reviewed periodically, and monitoring frequencies are "suggested" as at least every three years for standard risk customers and annually for high-risk customers. In practice, only some reporting institutions follow this suggestion with a specified default cycle time and some others instead only apply a trigger-based system, or their system is trigger based for some clients. These trigger-based approaches have been considered by the FSC as acceptable under its Guidelines. In the case of trustee companies, CDD in practice is always updated at least annually when preparing the annual returns required to be filed for international companies and limited liability companies. However, representatives of the domestic banks stated that they classify clients in terms of risk as high, medium or low. High risk clients, a category that includes every client with indications of foreign residence, are reviewed on a cycle of 6 to 12 months. Medium and low risk client reviews are trigger based, with re-evaluation triggered by any change in information held on the client that may affect their risk rating. The international bank stated that it has no cycle time for re-assessment of clients based on their risk classification, with re-assessment based on triggers similar to those applied by domestic banks but applied for all clients. An exception to this is for politically exposed persons who are subject to enhanced ongoing monitoring and must be reviewed annually.

146. The definition of "ultimate principal" was amended towards the end of the review period (see paragraph 127), so it is necessary to examine both the previous and the current definitions. Prior to 4 December 2024, the definition of "ultimate principal" was defined as (FTRA 2017, s. 8):

one or more natural persons who ultimately own or effectively control the customer, or on whose behalf a transaction or activity is being conducted and includes:

- (i) in the case of a legal person, other than a company whose securities are listed on a recognised stock exchange, any natural person who ultimately owns or effectively controls (whether through direct or indirect ownership or control, including through bearer share holdings) 25% or more of the shares or voting rights in the legal person;*
- (ii) In the case of any legal person, it includes any natural person who otherwise exercises effective control over the management of the legal person;*

147. Section 8 therefore operated to provide the definition of beneficial owner in the Act, including providing a threshold for ownership or control. It also made it clear that ownership or control may be direct or indirect. While the definition contained the principal elements required by the standard, it was not clear

that control will include a person acting individually or jointly, although this could have been captured by the term “otherwise”. There was a simultaneous approach to the definition of beneficial owner in the case of a legal person which was in line with the standard.

148. However, the definition did not contemplate the identification of the individuals holding a senior managerial position in cases where a beneficial owner cannot be identified. The Companies Act did not compensate for this absence, as it did not require the names of senior managers to be registered with the Registrar. This allowed the possibility that no beneficial owner would be identified in some cases.

149. The definition of ultimate principal in the FTRA and in regulations made under that law was amended with effect from 4 December 2024. For legal persons, this has been analysed in paragraphs 126 to 133 in relation to the use of this definition in the Companies Act and the same observations apply for its application under the FTRA. Specifically, the definition of ultimate principal and cascading method for their identification now applicable under the FTRA may be interpreted in line with the standard, however it would benefit from guidance from the authorities to ensure correct application in practice. The Cook Islands should clarify in guidance the operation of the definition of ultimate principal in relation to professional advisors and managers (see Annex 1). Additionally, as noted in paragraph 136, the amendments did not specify any timeframe within which reporting institutions would be required to redetermine the ultimate principals of account holders or clients under the amended requirements. In practice though, the change in definition of ultimate principal in the FTRA was less substantial than the change in definition of beneficial owner in the Companies Act, and the FSC states that the amendment did not require any change to their pre-existing practices which were in effect already aligned to the amended definition. Representatives of the reporting institutions concurred with this assessment, noting that it was already their practice to identify senior managing officials.

Conclusion

150. The availability of beneficial ownership information for companies other than domestic companies is dependent on and ensured by the AML framework. However, there is no specified frequency for updating beneficial ownership information under the AML framework. In the case of domestic companies, beneficial ownership information is required to be maintained by the companies themselves. This information source is supported by the AML framework as a potential secondary source of information to the extent that a domestic company has a relationship with an AML obliged person. Some beneficial ownership information may also be available under tax law, although those requirements are not in line with the standard. **The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information is available for all relevant legal entities and arrangements in line with the standard.**

Beneficial ownership information – Enforcement measures and oversight

151. If a domestic company fails to obtain and maintain sufficient information to identify the beneficial owner a penalty is applicable to the company and every director, but only if the company fails to provide that information to the Registrar when requested to do so by written notice. In the event of such failure, (i) the company commits an offence and is liable on conviction to a fine not exceeding NZD 10 000 (EUR 5 040), and (ii) every director commits an offence and is liable on conviction to a fine not exceeding NZD 10 000 (EUR 5 040) or to a term of imprisonment not exceeding 12 months, or both (CA 2017, s. 52).

152. The Registrar of Companies, and the Ministry of Justice of which it is part, is generally responsible for Compliance with the Companies Act. There is no requirement to file beneficial ownership information with the Registrar, and so whether companies are complying with their obligation to obtain and maintain information sufficient to identify their beneficial owners would depend on the Registrar requesting this information or otherwise examining the records held by companies. No routine inspections or audits of any

kind were conducted during the review period. No penalty would be applicable in any case if such activities were to be conducted and identify non-compliance. Enforcement would be possible if the Registrar was to formally request these records, however no requests for records relevant to the beneficial ownership subject are known to have been issued during the review period or at any time before or since. The extent to which domestic companies are complying with their obligations under the Companies Act on beneficial owners is therefore unknown.

153. For the AML framework, there are two oversight bodies – the Financial Supervisory Commission (FSC) and the Financial Intelligence Unit (FIU). The FIU was merged with the FSC in 2012. Despite being merged, each body has its own responsibilities and focuses on specific areas. The FSC is responsible for the overall supervision of regulated financial entities and financial services. The FIU's function is to facilitate the prevention, detection, investigation and prosecution of money laundering, the financing of terrorism and other serious offences (any offence with a term of imprisonment of 12 months or more). To do this, the FIU is empowered under the Financial Intelligence Unit Act 2015 (FIUA 2015) to examine their compliance with the FTRA and the Regulations. The FIU may request information from reporting institutions, conduct on-site examinations and provide reports for this purpose.

154. Penalties upon conviction of an offence under the FTRA are (i) in the case of individuals, a fine not exceeding NZD 250 000 (EUR 126 000), or imprisonment for a term not exceeding five years, or both; or (ii) in any other case, a fine not exceeding NZD 1 000 000 (EUR 504 000) and other measures such as revocation of licence if the offender is licensed (FTRA 2017, s. 63).

155. Prior to July 2022, every bank and trustee company had at least one onsite inspection each year, (except for 2020 due to the COVID-19 pandemic when only the three largest trustee companies were inspected). From July 2022, the cycle time remains annual for banks but changed for trustee companies which moved to a two-year inspection cycle. Inspections are primarily onsite and include, among other things, verifying compliance with the FTRA. Compliance with CDD obligations is a key focus. For trustee companies, these are the same inspections as described in paragraphs 105 to 108 that are combined exercises by the FSC to verify compliance by trustee companies with the FTRA, the ICA and the LLCA. As noted in those paragraphs, files on 20-25 clients of a trustee company are selected for review and it can be the case that there are multiple entities in the structure provided for the client. Every entity connected with a client is reviewed and the statistics can be found in the table at paragraph 106.

156. Insofar as banks could be a source of information on beneficial ownership of companies under the AML framework, the FSC's inspections of banks provide assurance over the information they hold. The base minimum file review always includes the CDD requirements related to obtaining and verifying identity information for both legal and beneficial owners of the customer, purpose of relationship, documentation of control and management (corporate documents, trust deeds, letters of wishes, application forms), source of wealth and validation of wealth sources. Between 20 and 25 customers are selected for review, the mix of which will tend to reflect the client base of the bank. The representation of companies and company type in these reviews therefore varies according to the bank's client base. For example, any bank accounts maintained in the Cook Islands for international companies, limited liability companies, international trusts and foundations are concentrated with the international bank, as these generally do not have a relationship with any of the domestic banks. Both legal and beneficial ownership information of a customer is subject to review in these inspections. In terms of the frequency of updating CDD, the FSC reviews found the practices of banks to be as described in paragraph 145 (which it accepted). Files reviewed by the FSC by entity type in supervision of banks are shown in the table below. While some issues were found, the frequency of these was relatively low. The FSC indicated that issues in the international sector usually related to expired identity documents that had not been updated.

Bank account customer entity types subject to review (non-individual accounts)

Type	Entities and arrangements reviewed (1 April 2022 to 31 March 2025)	Ownership issues identified
International companies	18	8 ²⁷
Domestic companies	29	
Limited liability companies	20	9
International trusts	27	4
Foundations	7	0
Domestic trusts	1	0

157. In summary, an appropriate supervisory framework is in place for the AML framework which assures the availability of beneficial ownership information for international companies and limited liability companies. However, the company law framework which is relied upon for the availability of beneficial ownership on domestic companies has had little or no relevant supervision. The AML framework may mitigate this gap, but domestic companies are not required to have a relationship with an AML-obliged person. Tax law may also provide some mitigation, but the monitoring and enforcement of the relevant obligations under tax law also has gaps. **The Cook Islands is recommended to implement effective oversight and enforcement measures to ensure the availability of adequate, accurate and up to date beneficial ownership information for domestic companies.**

Availability of beneficial ownership information in EOIR practice

158. During the review period, the Cook Islands received seven requests for beneficial ownership information on international companies. Information was provided and the partners were satisfied with the information.

A.1.2 Bearer shares

159. Bearer shares are prohibited under the Companies Act and, in the event that any were to be issued, such shares are a nullity (CA, s. 19). Limited liability companies established under the LLCA do not have their capital divided into shares and therefore cannot issue bearer shares.

160. In contrast, international companies are permitted to issue bearer shares under the ICA. Despite this, the FSC runs a policy (in place until such time as the legislation is amended to extinguish bearer shares, see paragraph 164) which prohibits the registration of any company with bearer shares.

161. In 2016 and 2017, the FSC monitored international companies with bearer shares that were managed by licensed trustee companies, reviewing the nature and purpose of both the company and the structures with which they were placed, the records relating to beneficial ownership and bearers, and conducted independent checks on those recorded.

162. The FSC released a policy (non-binding) on 15 November 2017 encouraging the Cook Islands' legal persons to phase out bearer instruments by 1 July 2018 for conversion, redemption or surrender of existing bearer instruments. There were four companies with bearer shares in 2018. Although there is still a provision for issuance of bearer shares in the ICA, the Cook Islands reports that the last company with bearer shares converted these in 2019 and no companies have been registered with bearer shares since then. The FSC reviews the share registers of international companies as part of its inspections of trustee companies and also requires any company to notify it if bearer shares have been issued when renewing their annual certificates.

²⁷ The number of issues found by the FSC with international and domestic companies ownership records was not separately provided between the two types of company, this is a combined figure.

163. In the event that any bearer share was to be issued, section 35A of the ICA requires that it must be delivered to and held by a custodian and the custodian cannot hold the share until it has received satisfactory evidence of the identity of the person for whom they will hold the share in custody.²⁸ The custodian must be a licensed financial institution in the Cook Islands and will therefore be subject to the CDD requirements in the FTRA, which now also add to the requirements of the Regulations issued in 2004.

164. According to the FSC, trustee companies are under an expectation that in the event that any client company issued bearer shares, this would prompt legislation to be put forward to extinguish such shares. Furthermore, the relevant trustee company would be put on an enhanced monitoring program in the interim. There is therefore no appetite among international companies and their trustee companies to reintroduce bearer shares, which has also limited the priority given to amend the law to permanently remove the possibility. In any event, there is currently no impediment to transparency related to bearer shares in the Cook Islands. Nevertheless, it remains legally possible for international companies to issue bearer shares in the Cook Islands. The Cook Islands should ensure that ownership information is available in the event that bearer shares are issued (see Annex 1).

A.1.3 Partnerships

Types of Partnerships

165. The following types of partnerships may be established under the Cook Islands' laws: (i) domestic partnerships; (ii) international partnerships and (iii) limited partnerships. In addition, this section also covers foreign partnerships. None of the forms of partnership is a legal entity separate from the individual partners that comprise the partnership.

166. Partnership law in the Cook Islands for domestic entities is governed primarily by a New Zealand enactment, the Partnership Act 1908 (PA). That Act defines a partnership as "the relation which subsists between persons carrying on a business in common with a view to profit" (PA, s. 4(1)). A partnership is a distinct commercial entity for accounting purposes, with each partner jointly and severally liable for the liabilities of the partnership. These partnerships are sometimes referred to as general partnerships. In practice, about 100 domestic partnerships are commonly operating small businesses owned by and comprised of partners who are local tax residents. The partnerships are usually operating small grocery, food or short-term accommodation businesses.

167. The International Partnership Act 1984 (IPA 1984) provides for the creation of two types of partnerships (see also 2015 Report, paragraph 111):

- i) international partnership – every partner is jointly and severally liable for the liabilities of the partnership (IPA, s. 22)
- ii) limited partnership – every general partner is jointly and severally liable for the liabilities of the partnership, but a limited partner is generally only liable to contribute money or money's worth to the common stock, as capital (IPA, s. 62).

168. At registration, every partner in an international or limited partnership must be non-resident in the Cook Islands. As at 31 March 2025, there were three international partnerships and no limited partnerships in the Cook Islands.

²⁸ Section 35A applies to bearer instruments, which are defined to mean any bearer share, warrant to bearer or any other membership interest transferable by delivery, and any form of bearer security issued by an international company, including bearer debentures, bearer bonds and share warrants to bearer.

Identity Information Requirements

169. The creation of an **international or limited partnership** in the Cook Islands requires registration with the Registrar of Partnerships within the FSC. The registration of these partnerships must be arranged through a trustee company. At registration, one of the partners of an international partnership or limited partnership must be a trustee company or an international company of the kind described at paragraphs 59 to 61. After registration and before commencement of business, details of all partners of limited partnerships (but not international partnerships) must be submitted to the Registrar. Both types of partnership must have a registered office, which must be the registered office in the Cook Islands of the partner that is a trustee company or international company (which, if the latter, will also be the registered office of a trustee company). A trustee company is therefore always engaged at creation and on an ongoing basis for international and limited partnerships and is required to conduct CDD on the partnership and keep this up to date as has been described for companies from paragraph 142.

170. In addition, the conduct of onshore business by an international partnership or limited partnership is governed by the Development Investment Act and is subject to registration with the Business Trade and Investment Board. The information to be filed on registration, and annually thereafter, includes detailed ownership information, with the names, addresses and passport numbers of all legal owners of the shares of the partnership income (Development Investment Act, s. 34 and Regulation 3(d) of the Development Investment Regulations 1996). None of the currently registered international partnerships are carrying on business in the Cook Islands.

171. All accounts and records of an international partnership or limited partnership must be retained for a period of not less than six years following the completion of the transaction to which the records and underlying documentation relate (IPA, s. 7). International partnerships and limited partnerships are not subject to Cook Islands taxation and therefore there are no requirements for them to furnish returns on income (IPA, s. 72). Consequently, no international partnership or limited partnership has reason to register with the RMD or apply for an RMD number, and none have done so.

172. There are no direct registration requirements for **domestic partnerships**. As explained at paragraphs 70 and 71, taxpayers with assessable income generally must file a tax return and administratively a tax return is not processed until an RMD number (tax identification number, ITA s. 218) is issued, which may be seen as fulfilling the function of a registration system. However, there is no comprehensive requirement to apply for an RMD number. In the case of partnerships, a further layer of uncertainty arises in that these legal arrangements are not “taxpayers” as the Cook Islands levies income tax only on the partners and not the partnership. No penalty has been identified in the Income Tax Act that would be available where a partnership fails to apply for an RMD number. Nevertheless, partnerships may apply for an RMD number for various reasons, such as for importing goods, registering for VAT or to meet obligations as an employer.

173. As of January 2026, there were 152 partnerships registered with the RMD, although, following analysis in February 2026, the RMD identified that 71 of these should be deactivated due to conversions to companies or sole traders, cessation or never commencing business. A more up-to-date number is therefore considered to be 81. These would generally be domestic partnerships, although the distinction between domestic and foreign (if any) is not made in the registration. The application form requires each partner to be identified and verified with identity documents specified, such as a passport, a Cook Islands driver’s licence or a birth certificate in the case of individuals, or a certificate of incorporation or trust deed in the case of companies and trusts, respectively.

174. Each partner is separately assessable and liable for the tax payable on their share of the partnership income (ITA, s. 11), and every person chargeable with income tax under the Income Tax Act must furnish a return of income (ITA, ss. 2 and 8). Section 11(1)(b)(i) of the Income Tax Act requires that partners also file a joint return of the income of the partnership, setting forth the shares of each partner

therein, but in practice the RMD does not enforce this and instead is content with the requirement that each partner file details of their partnership income in their individual tax return. In the case of a business jointly carried on by a husband and wife, section 11(2) would generally formalise this arrangement as they are only considered to be in partnership if there is a bona fide deed of partnership. The individual tax return requires the name of the partnership (which could be a trading name) and the partner's share of the net income from the partnership. The identity of the natural person partners in a domestic partnership is therefore required to be provided to the RMD.

175. Each partner themselves will also have the identity of the other partners under the partnership agreement and can be compelled to provide that information to the RMD on request under section 220 of the Income Tax Act (see Element B.1.1).

176. However, if every partner in a domestic partnership is either a company or an individual acting in the role of trustee in respect of their interest in the partnership, neither the company tax return nor the trust tax return requires information on the partnership. It is therefore possible for a domestic partnership to exist and be in compliance with tax requirements (other than the non-enforced requirement to file a tax return for the partnership) without the RMD being informed of its existence or the identity of any of the partners. All domestic partnerships currently registered with the RMD are comprised entirely of individuals. Therefore, given the nature and use of domestic partnerships in the Cook Islands, there is no current gap and the possibility of a gap arising in the future is very low if there is no change in practices. Nevertheless, the Cook Islands should ensure that all domestic partnerships relevant under the standard are identifiable through tax registrations and/or through the filing of tax returns (see Annex 1).

177. To the extent that partnership information is filed in applications for an RMD number or in the tax returns of partners, there is no explicit obligation on the RMD to retain these records for a specified period. However, the time bar limit on standard tax assessments of four years and ten years for criminal matters would be considered. In practice, the RMD keeps all paper records for at least 20 years and electronic records indefinitely.

178. **Foreign partnerships** deriving income in the Cook Islands and being at least one third foreign owned must be registered with the Business Trade and Investment Board and file annual returns containing identity information. The individual partners, including the foreign ones, are also required to file annual tax returns, as the partners are taxable individually on their share of the partnership's income (Income Tax Act, s. 8). The foreign partners are taxable on their share of Cook Islands sourced income. No foreign partnerships are currently registered.

Beneficial ownership

179. The standard requires that information in respect of each beneficial owner of a relevant partnership be available. Where any partner is a company or other entity or arrangement, information on the beneficial owners of that entity or arrangement should be available.

180. There is no obligation on the partnership or a partner to maintain such information. There is also no obligation under the tax law or the partnership law to report information on the beneficial ownership of partnerships, except when the Business Trade and Investment Board is involved. Foreign partnerships carrying on business in the Cook Islands must be registered with the Business Trade and Investment Board and information on the identity of partners is obtained through the approval process to qualify as a foreign enterprise and is updated annually as described in paragraph 69. The application form requires identification of the owners of the business, the number of shares held, and the beneficial owner of the shares (which for partnerships is required to be expressed in terms of their share in the capital and profits of the partnership). The instructions require that in the case of a company or trust being a "beneficial owner", the identity and identification documents are to be provided for the "ultimate beneficiary". While the application form does not refer to partnerships and partners, a due diligence schedule to the application form indicates that each partner in a partnership should complete the schedule. The Development

Investment Act does not define beneficial owner, nor does it specify that the beneficial owners to be identified must be natural persons. While the application form requires a passport page to be provided for an “ultimate beneficiary” when a beneficial owner is a company or trust, there is no further explanation on who this person must be or that more than one is necessary. These requirements therefore do not ensure the availability of beneficial ownership information in line with the standard.

181. The Cook Islands’ AML framework therefore provides the primary basis for the availability of beneficial ownership on partnerships.

182. As described at paragraph 169, no international or limited partnership can be registered unless the Registrar has received a certificate completed by a trustee company, and an ongoing relationship with a trustee company is required. The beneficial ownership information on international partnerships and limited liability partnerships is therefore kept with licensed trustee companies (who are reporting institutions for the purposes of the FTRA).

183. CDD requirements under section 25 of the FTRA 2017 require reporting institutions to identify and verify any ultimate principal of the customer. As none of the types of partnership that can be formed in the Cook Islands have legal personality, the definition of ultimate principals in the case a legal arrangement is applicable for partnerships.

184. Prior to 4 December 2024, the term “ultimate principal” relevant to legal arrangements was defined as (FTRA 2017, s. 8)

one or more natural persons who ultimately own or effectively control the customer, or on whose behalf a transaction or activity is being conducted and includes:

(iii) in the case of a legal arrangement or similar type of arrangement, the trustee, or any natural person who exercises effective control over the legal arrangement including through a chain of control or ownership.

185. The definition was not inconsistent with the standard, although there was no further guidance on how the definition should apply to the different types of partnerships in practice.

186. The FTRA was amended with effect from 4 December 2024 (see paragraph 127 for the new definition). This was supplemented in the FTRA regulations, and the specification relevant to Cook Islands partnerships can be found in subclauses (6) and (7) of Regulation 6:²⁹

(6) ...all of the following natural persons, or natural persons occupying equivalent or similar positions, are deemed to be ultimate principals:

(a) each constituent or settlor

(d) each beneficiary

(e) any other natural persons exercising, directly or indirectly, de facto or de jure, ultimate effective control over the legal arrangement.

(7) If any of the functions of a legal arrangement referred to in subclause (6) are performed by a legal person or legal arrangement, the natural person or persons identified as the ultimate principals of that legal person or legal arrangement are deemed to be the ultimate principals of the legal arrangement.

187. The current requirements in the FTRA for identification of the beneficial owners of partnerships in the Cook Islands are in line with the standard and add clarity.

188. The AML framework ensures the availability of the identity of the partners in, and the beneficial owners of, any international or limited partnership. For domestic and foreign partnerships, this information could be available if there is a relationship with an AML obliged service provider (such as a bank), however

²⁹ Edited to exclude text specific to trusts.

there is no legal requirement for engaging on a continuous basis with such a service provider. Even if an AML obliged service provider in the Cook Islands is engaged, this is likely only to be a bank and there is no specified frequency for which the CDD would need to be updated by these entities to ensure that the information held is current (see paragraph 145). Thus, it is not ensured that beneficial ownership information will always be available under the AML law. **The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information in line with the standard is always available for all relevant partnerships.**

Oversight and Enforcement

189. Compliance with obligations on availability of both identity and beneficial ownership information of partnerships is monitored mainly through AML supervision. The availability of identity information on domestic partnerships is also supervised by the RMD.

190. Registration of international partnerships and limited partnerships must be arranged through a trustee company who, in turn, is subject to FTRA obligations (IPA 1984, ss. 10 and 55). These partnerships must also have an ongoing relationship with a trustee company. Failure to comply with any legal obligations imposed by the IPA is an offence and, on conviction, punishable with a fine not exceeding NZD 10 000 (EUR 5 040) and/or to imprisonment for a term not exceeding one year (IPA 1984, s. 79). The FSC is responsible for compliance with the IPA, and in conjunction with the FIU is also responsible for supervising partnership service providers (the trustee companies) to ensure compliance with all regulatory requirements, including the obligation to obtain and maintain identity information and the retention of these records as required under the FTRA Act 2017. The supervisory activities conducted by the FSC in relation to the compliance of trustee companies with the FTRA and other laws are described at paragraphs 106 and 155.

191. While no international partnerships were specifically selected in the review period for these activities, this was because reviews are based on selection of clients of the trustee companies and it happened that none of the selected clients were connected to the three international partnerships in existence. The reviews nevertheless do adequately test the compliance of each trustee company with their CDD obligations in general under the FTRA.

192. More broadly, as concerns CDD practices of banks with customers that are international or domestic partnerships, specific statistics have not been provided but partnerships and their partners are covered in general by the supervision activities with banks described in paragraphs 156 and 323.

193. The RMD is responsible for the monitoring of availability of identity information on domestic partnerships. Under tax law, a person who fails to file a tax return or gives false information is liable to a fine not exceeding NZD 10 000 (EUR 5 040) and not less than NZD 5 000 (EUR 2 520) (ITA, s. 206).

194. The RMD states that of the 152 partnerships registered for tax purposes (81 considered to be active, see paragraph 172173), only 57 partnerships had one or more of the partners file a tax return or were newly created and therefore were not yet due to file tax returns. The RMD monitors the filing obligations by cross-referencing the filing of income tax returns of partners with the registration of partnerships for VAT and PAYE purposes (pay-as-you-earn withholding tax on salary payment to employees of the partnership). However, it is clear that some of the domestic partnerships registered with the RMD do not have partners filing tax returns that identify or update information on the partnership. The RMD conducted audits on 14 domestic partnerships during the review period, although these focussed on VAT and would have only incidentally considered identity information, if at all. Furthermore, no compliance activities have been identified that would support the RMD's understanding on whether all domestic partnerships have registered in practice. As noted above, the materiality of the gap is low for EOIR purposes.

Availability of partnership information in EOIR practice

195. No EOI requests were received during the review period in respect of partnerships.

A.1.4 Trusts

196. The Cook Islands allows for the creation of common law trusts (domestic trusts) and of international trusts under the International Trusts Act and recognises foreign trusts. The Cook Islands has adopted the equity laws of the United Kingdom and New Zealand, which allow for the creation of trust relationships. There were 111 domestic trusts and no foreign trusts registered with the RMD on 12 February 2026. There were 7 licensed trustee companies administering 2 218 international trusts in July 2025. The population of trusts is stable, as there were 84 domestic trusts and 2 201 international trusts in April 2022, with the same number of licensees.

Identity Information

197. The Cook Islands requires the availability of identity information on the participants in international trusts through the CDD obligations imposed on trustee companies under the international trusts and AML laws, and through tax law in the case of domestic trusts.

198. There are no explicit requirements in statutory law for domestic trusts to obtain and retain information on the identity of parties to the trust, but information may nevertheless be available with the RMD or with the trustee.

199. A common law trust settled in the Cook Islands is generally liable for income tax on assessable income. The Income Tax Act has specific rules for foreign trusts, which are defined to be any trust that at a moment in time has no settlor that has been resident in the Cook Islands since the time that a settlement to the trust was first made. A tax return is required for a domestic or foreign trust if it has income assessable in the Cook Islands in a tax year.

200. The impetus and process for trusts to register with the RMD is the same as described for companies in paragraphs 70 to 71 and for partnerships in paragraph 172 – an application for an RMD number may be filed by the trustee but is not comprehensively required of all relevant trusts. If filed, the application requires the trust deed and identity documentation for the trustee to be provided (but not for any other person such as a settlor, protector or beneficiary).

201. A trustee of a trust with income assessable by the Cook Islands must file an annual tax return for the trust and the prescribed tax return must disclose settlor and beneficiary information. The trust tax return requires identification of the settlor(s), trustee(s) and beneficiaries including their name, RMD number and address, though it is unclear whether this means that every party to the trust must have an RMD number through completing the application and identification process or whether the trustee could compel other parties to the trust to obtain an RMD number if they do not already have such a number. These requirements are imposed by the prescribed form and are not directly specified in the ITA. The form does not require information on any protectors of the trust or further information on the parties to the trust in the event that they are legal entities or legal arrangements.

202. Under common law applicable in the Cook Islands, a trustee has a duty to know the terms of the trust. This includes having documentation relating to or affecting the trust property as it comes under their control. Identity information of settlor and beneficiaries (or the identification of a class of beneficiaries) would normally be known to trustees in order for them to perform their duties. If relevant, any other person with the ability to exert some control may also be expected to be known to the trustee.

203. Trustees are under a general requirement to maintain account information under section 217 of the Income Tax Act, but this would not necessarily extend to records on the structure and parties to the

trust. In the event that a trustee has such information in the Cook Islands, the Collector has the power to access that information under section 219 of the ITA 1997. Section 220 also allows the Collector to compel any person such as a trustee to provide information relevant to the Income tax Act, including for the purpose of giving effect to an international agreement. The effectiveness of this power would depend on whether, as a question of fact, the trustee possesses or controls the information sought.

204. Cook Islands law recognises **foreign trusts** generally. Under section 17 of the Development Investment Act, any foreign enterprise (including domestic and foreign trusts) with more than one third foreign ownership and wishing to invest in or carry on a business in the Cook Islands must register with the BTIB. The information to be filed on registration, and annually thereafter, includes detailed ownership information, such as the names, addresses and passport numbers of all participants to the trust (Development Investment Act, s.34 and Regulations 3(d) and 8 of the Development Investment Regulations). However, foreign trusts with less than one third foreign ownership or foreign trusts investing exclusively abroad would not be subject to such registration requirements. In the case of a foreign trust, a Cook Islands resident may act as a trustee, however, should the foreign trust have a resident trustee and at any point in time a settlor is resident, then the trust must submit a return on world-wide income (ITA 1997, s. 77, as amended by the Income Tax Amendment Act 2017), i.e. the obligation does not apply if no settlor is resident in the Cook Islands.

205. In order to qualify as an **international trust**, a trust (whether settled in the Cook Islands or elsewhere) must be registered on the International Trust Register with the FSC and, on so doing, becomes subject to the provisions of the International Trusts Act 1984 (ITA, s. 15). A trust does not qualify for registration if any beneficiary is domiciled or ordinarily resident in the Cook Islands (ITA, ss. 2 and 22) and in the event that the Registrar reasonably believes that any beneficiary of a registered international trust has subsequently become domiciled or ordinarily resident in the Cook Islands, it may deregister the trust. Only a licensed trustee company may register an international trust. A trustee company is a reporting entity under the Financial Transaction Reporting Act 2017 and therefore subject to the requirements of the Act to maintain identity information on all its trust customers.

206. Licensed trustee companies (and financial institutions) are required to keep CDD information (as outlined above) up to date and monitor any subsequent information to ensure it stays in line with what they understand of the structure and those involved (FTRA 2017, s. 32). Prior to 4 December 2024, the scope of the persons to be identified according to the AML/CFT legislation included the trustee or any natural person exercising ultimate effective control on a trust, including through a chain of control or ownership, but did not explicitly require identification of the settlor and protector. Amendments to the FTRA and its regulations with effect from 4 December 2024 now explicitly specify these among the roles that must be identified in relation to the trust. The requirements to identify participants to the trust are now in line with standard. The CDD procedures must ensure that the reporting institution verifies the identification information using reliable independent source documents (FTRA 2017, s. 25(2)). If a trust service arrangement is terminated with a licensed service provider, the service provider is required to retain records on that trust arrangement for six years.

Availability of beneficial ownership information

207. Requirements related to beneficial ownership information of trusts are mainly found in the FTRA, as the requirements under the tax law do not ensure the availability of complete beneficial ownership information.

208. International trusts must meet the requirements under the relevant international acts, including the requirement that they must have a Cook Islands licensed trustee company as trustee or registered agent. The trustee company (which is a reporting institution for the purposes of the FTRA) must fulfil its AML requirements prior to registering the international trust. The trustee company is required to retain all related records for six years after its relationship with the trust ends.

209. Where a customer is not a natural person, the reporting institution must identify and verify any ultimate principal of the customer and verify the legal status of the customer, using relevant information obtained from reliable independent sources, and obtain sufficient information to understand the nature of the customer's business and control structure. As noted in paragraph 184, "ultimate principal" includes any natural person who exercises effective control over the legal arrangement, including through a chain of control or ownership.

210. The term "ultimate principal" is defined in section 8 of the FTRA. Prior to 4 December 2024, that section defined ultimate principals of a trust to be:

one or more natural persons who ultimately own or effectively control the customer, or on whose behalf a transaction or activity is being conducted and includes:

(iii) in the case of a legal arrangement or similar type of arrangement, the trustee, or any natural person who exercises effective control over the legal arrangement including through a chain of control or ownership.

211. Inconsistent with the standard, the AML definition applicable in the Cook Islands prior to 4 December 2024 only required identification of the trustee or any natural persons exercising ultimate effective control of the trust but did not explicitly require identification of the settlor and protector, and therefore also did not capture any natural persons behind these roles in a trust if held by persons that are not themselves natural persons.

212. The definition of ultimate principal in the FTRA was amended with effect from 4 December 2024 (reproduced at paragraph 127 in this report). The regulations were also amended at the same time to expand upon the meaning and insofar as is relevant for trusts it means:

(6) ...all of the following natural persons, or natural persons occupying equivalent or similar positions, are deemed to be ultimate principals:

(a) each constituent or settlor

(b) each trustee

(c) each protector (if any)

(d) each beneficiary

(e) any other natural persons exercising, directly or indirectly, de facto or de jure, ultimate effective control over the legal arrangement.

(7) If any of the functions of a legal arrangement referred to in subclause (6) are performed by a legal person or legal arrangement, the natural person or persons identified as the ultimate principals of that legal person or legal arrangement are deemed to be the ultimate principals of the legal arrangement.

213. The current definition applicable to trusts is in line with the standard.

214. There is no legal requirement for a domestic trustee of a domestic or foreign trust to have a local bank account, nor is there any other requirement to engage an AML-obliged person. Therefore, in situations where an AML-obliged person has not been engaged, beneficial ownership information would not be available and in situations where an AML-obliged person has been engaged, particularly when the only such engagement is with a bank, beneficial ownership information may not be accurate and up to date due to the lack of specified frequency for updating CDD (see paragraph 145).

215. For domestic trusts, the requirement to keep and report trust information arises only if and when the trustees file annual returns of income and financial reports. Before that, there are no statutory requirements for domestic trusts to obtain and retain information on beneficial ownership. As described in paragraph 201, the trust tax return requires identification of the settlor(s), trustee(s) and beneficiaries including their name, RMD number and address. The Collector has the power to access identity information

held by a trustee; however, it is not assured that further information on beneficial owners will be held or available to the trustee in the event that parties to the trust are legal entities or legal arrangements. Tax law therefore does not ensure that complete beneficial ownership information will be available and in line with the standard.

216. The identification of participants to domestic trusts and foreign trusts with a resident trustee is not ensured when they do not meet some criteria in the Income Tax Act and do not have a relationship with an AML-obliged person.

217. Even if an AML-obliged person in the Cook Islands is engaged (which is not required in all cases), there is no specified frequency for which the CDD would need to be updated to ensure that the information held is current.

218. Thus, it is not ensured that adequate, accurate and up-to-date beneficial ownership information will always be available under tax or AML law. **The Cook Islands is recommended to ensure that adequate, accurate and up-to-date beneficial ownership information in line with the standard is always available for all relevant trusts.**

Oversight and Enforcement

219. The RMD has not had to obtain identity or beneficial ownership information on domestic trusts in practice, however it is likely that the AML framework would be one source of information in the event that it became necessary. In relation to CDD practices of banks with customers that are domestic trusts, the supervision activities with banks described in paragraphs 156 and 320 are indirectly relevant in demonstrating the adequacy of supervision by the FSC, including for trusts generally, although only one domestic trust came up as a bank customer in the file sampling owing to the proportionally small number of these in existence. In any case, the AML framework cannot be a comprehensive source of information on domestic trusts as they are not required to have a relationship with an AML-obliged person.

220. Tax law provides the main source of information on trust participants and potentially for some beneficial ownership information, the latter being subject to the limitations described in paragraph 215. The RMD is responsible for compliance by domestic and foreign trusts with tax law, and the same penalties apply as mentioned in paragraph 193 for non-filing and providing incorrect information. The RMD states that of the 75 trusts registered for tax purposes and that were not deceased estates, only 15 had a tax return filed for the 2024 year. It is clear that many of the trusts registered with the RMD are not filing tax returns that identify or update information on the trust. Furthermore, no compliance activities have been identified that would support the RMD's understanding on whether all relevant trusts have registered in practice or that those trusts that are registered continue to exist in practice (see also paragraph 101 on the RMD's reticence to pursue non-compliance through court action). No audits of any kind were carried out in connection with trusts in the review period.

221. Both the FIU and FSC play a role in the licensing and ongoing monitoring/supervision of trustee companies and their client entities and arrangements to ensure compliance with all regulatory requirements, including the obligation to obtain and maintain legal ownership and identity information and the retention of these records as required under the FTRA 2017, the Trustee Companies Act 2014, International Companies Act 1981-82, International Trusts Act 1984, International Partnerships Act 1984, Limited Liability Companies Act 2008, and Foundations Act 2012.

222. International trusts must register with the Registrar of Trusts and a copy of the trust deed must be provided to the Registrar as part of the registration requirements (ITA, s. 17). A NZD 74 (EUR 38) penalty per month applies for a late filing of the annual renewal of an international trust's registration, calculated according to each month or part thereof that the filing is outstanding (International Trusts (Prescribed Fees) (Amendment) Regulations 2014). The registration and its annual renewal must be arranged through a

trustee company who is subject to FTRA obligations and at least one trustee must be in the Cook Islands (ITA, ss. 2 and 15(1)(a)).

223. Oversight and enforcement by the FSC for identity and beneficial ownership information on trusts are integrated with those described for the AML framework relevant to companies under A.1.1, partnerships under A.1.3 and banks under A.3. Details of international trusts covered by these activities are in the table below. Specific statistics for non-international trusts have not been provided but are covered in general by the activities with banks described in paragraphs 156 and 320.

Trustee company client entities subject to inspection

Type	Trusts reviewed (1 April 2022 to 31 March 2025)	Ownership issues identified
International trusts	176	9

224. Identified issues varied but was most commonly expired identity documentation. No penalties were imposed, although one trustee company was subject to a follow-up inspection.

225. In summary, an appropriate supervisory framework is in place for the AML framework which assures the availability of beneficial ownership information for international trusts. In contrast, supervision of tax law obligations of domestic trusts (which would be relied upon for the availability of beneficial ownership on such trusts) has had inadequate supervision. The AML framework may mitigate this gap, but domestic trusts are not required to have a relationship with an AML-obliged person. **The Cook Islands is recommended to implement effective oversight and enforcement measures to ensure the availability of beneficial ownership information for domestic trusts.**

Availability of trust information in EOIR practice

226. The Cook Islands received seven requests for identity and beneficial ownership information relating to trusts during the review period, all of these relating to international trusts (including three requests related to a trust suspected by the exchange partner of being a Cook Islands international trust, although the trust was ultimately determined not to have any connection with the Cook Islands). Information was provided and the partners were satisfied with the information.

A.1.5 Foundations and incorporated societies

Foundations

227. Cook Islands introduced foundations in 2012 pursuant to the Foundations Act 2012. A foundation receives its initial capital from one or more founders, and, at any time after the creation of the foundation, any other person (known as a dedicator) may transfer assets to the foundation (Foundations Act, s. 14). Founders can be nationals or foreigners. The objects of a foundation may be charitable, non-charitable or both. A foundation's object may be to benefit a person or class of persons, to carry out a specified purpose, or both (Foundations Act, s. 7). A foundation may only directly engage in commercial trading if it is incidental to the attainment of the foundation's objects (Foundations Act, s. 35(3)). A foundation will have a council to administer the foundation's assets and carry out its objects (Foundations Act, s. 22).

228. Foundations are not subject to tax in the Cook Islands and are therefore not required to submit a tax return. However, a foundation must have a trustee company residing in the Cook Islands as its registered agent, and which will provide the foundation's registered office in the Cook Islands (Foundations Act, s. 27). According to the FSC, there are 46 registered foundations in the Cook Islands as of 31 March 2025.

229. The legal framework governing foundations ensures the availability of identity information through the Foundations Act and through the obligations imposed on trustee companies by the FTRA. Information is also updated where a change to the governance of the foundation occurs, and as beneficiaries become entitled to distributions. Foundations are required to keep documents and records at their registered office, including a register showing the names and addresses of the members of its council and all dedicators to the foundation (Foundations Act, s. 42).

230. An application for the creation and registration of a foundation is submitted by a trustee company resident in the Cook Islands (Foundations Act, s. 4) to the Registrar of Foundations, located in the FSC. The application must be accompanied by the foundation instrument, which sets out the name and objects of the foundation, the beneficiaries to benefit from the foundation (if any), and the name and address of the registered agent (Foundations Act, ss. 7 and 8). The trustee company must also submit a declaration that it is in possession of the foundation rules, which includes the rules governing the appointment and functioning of the council, registered agent, enforcer, dedicators and may set out further details as to the method of determining beneficiaries (Foundations Act, ss. 9 to 13). The records are kept at the Registrar of Foundations for at least ten years upon the dissolution of a foundation (Foundations Act, s. 49).

231. There are no requirements on beneficial ownership information under the Foundations Act 2012. However, a foundation must always have a relationship with a trustee company that is an AML-obliged person and therefore AML law is relevant to the availability of beneficial ownership information on foundations.

232. The CDD requirements under section 25 of the FTRA 2017 require a trustee company to identify and verify any ultimate principal of the foundation. The term “ultimate principal” applicable to foundations (as legal entities) prior to 4 December 2024 is described at paragraph 146. It was doubtful whether the AML law requirements of the Cook Islands ensured that information on beneficial owners of foundations would be available in accordance with the standard. While members of the foundation council (and by extension any persons with the authority to represent the foundation) were captured by the requirement to identify any person who controlled the foundation acting directly or indirectly, and acting individually or jointly, the beneficiaries (where applicable) did not appear to be covered.

233. The definition of ultimate principal in the FTRA and its Regulations was amended with effect from 4 December 2024, as described at paragraph 149. In addition, provisions were added to Regulation 6 to clarify the meaning specifically for foundations:

(8) In the case of a foundation, all of the following natural persons are deemed to be ultimate principals:

(a) each founder

(b) each member of the board of the foundation board

(c) each beneficiary

(d) any other natural person who, directly or indirectly, de facto or de jure, exercises ultimate effective control over the foundation.

(9) If any of the functions of a foundation referred to in subclause (8) are performed by a legal person or legal arrangement, the natural person or persons identified as the ultimate principals of that legal person or legal arrangement are deemed to be the ultimate principals of the foundation.

234. The current definition applicable to foundations is in line with the standard.

235. Oversight and enforcement activities by the FSC for legal and beneficial ownership information on foundations are integrated with those described for the AML framework relevant to companies under A.1.1. Trustee company client files on foundations are reviewed for compliance with the FTRA. During the review period, there were 25 foundations reviewed in those activities. No issues with foundations were identified.

Incorporated societies

236. An incorporated society can be created under the Incorporated Societies Act, i.e. any society consisting of not less than 15 persons associated for any lawful but not pecuniary gain (ISA, s. 3). The application for registration is to be made to the Registrar in accordance with the ISA. There were 264 incorporated societies registered with the Registrar of Incorporated Societies (Ministry of Justice) in the Cook Islands as at 6 February 2026.

237. The law provides that persons are not deemed to be associated for pecuniary gain merely because the society itself makes a pecuniary gain, so long as the gain is not divided among or received by any member (ISA, s. 4). This allows for pecuniary gains to be made that are incidental or subsidiary to the overall non-profit purpose of the society, so long as the pecuniary gains are not intended to bring the society into profit overall. If a society were to carry out any act of such a nature that the members would be deemed to be associated for pecuniary gain, the society would be subject to a penalty of NZD 500 (EUR 252), each member who assists or takes part may be penalised NZD 100 (EUR 50) and each such member will be jointly and severally liable for all debts and obligations incurred by the society in consequence of the act. Persons are also not deemed to be associated for pecuniary gain merely because the property of the society may be divided among the members on its dissolution. However, the possibility of any gain remaining is constrained by the overarching requirement that the society is set up and operates for a non-profit purpose throughout its existence. There is no prohibition on incorporated societies operating outside the Cook Islands.

238. Incorporated societies are not directly exempt from tax, however the types of income that such societies might derive (if any) is likely to be exempt, namely income of societies established for religious, charitable, sporting or other community purposes.

239. The application for registration must identify the name, residential and postal address of each subscriber that is an individual. Body corporates are permitted to subscribe and must be identified by name, corporate registration number (if any) and the address of its registered office and postal address must be provided. Membership information does not include beneficial ownership information, and it is not required to be updated with the Registrar. The society must maintain, at its registered office, a register of members that includes their name, address, occupation and the date that they became a member. The registered office must be in the Cook Islands. There is no requirement that members be resident in the Cook Islands. The register is only required to be provided to the Registrar if requested to do so. Annual financial statements are required to be filed with the Registrar, but this does not include member information.

240. Taking into account their nature and purposes, incorporated societies in the Cook Islands are not materially relevant for EOIR purposes given that they are formed at a local level for community purposes.

Availability of identity and beneficial ownership information on foundations and incorporated societies in EOIR practice

241. No EOI requests were received during the review period in respect of foundations or incorporated societies.

A.2 Accounting records

Jurisdictions should ensure that reliable accounting records are kept for all relevant entities and arrangements.

242. The 2015 Report concluded that the legal framework for maintaining reliable accounting records with underlying documentation by all relevant legal persons and arrangements was in place in the Cook Islands but certain aspects of the legal implementation of the element needed improvement. The element was rated Largely Compliant.

243. The Cook Islands was recommended under both the 2015 Report and the 2022 Phase 1 Report to require limited liability companies, international trusts and foundations to keep underlying documentation in respect of all transactions. In addition, both reports concluded that the Cook Islands should ensure that the failure of a foundation to maintain all accounting records and underlying documentation for at least five years be subject to effective penalties. The recommendations remain unaddressed.

244. Further deficiencies have been identified. The accounting records retention requirements are not clear in the case of domestic companies that cease to exist. Under the company law, a liquidator may be engaged and, if so, is only required to maintain the records for a period of at least one year. If a domestic company ceases to exist without the engagement of a liquidator, no person is made responsible for retaining the records under company law or tax law.

245. Supervision of the international sector is relatively robust and sufficiently ensures the availability of reliable accounting records with underlying documentation for companies and arrangements in that sector. Availability in the domestic sector relies on the tax framework and while there is some supervision, it requires improvements. In practice, the requests that the Cook Islands receives are consistently in connection with the international sector. There were no requests made or identified as being in connection with the domestic sector during the review period. However, while requests made or identified as being in connection with the domestic sector have not been received in recent years, if ever, some doubt arises on whether the information would be available in practice if requested.

246. During the review period, the Cook Islands received seven requests with accounting information in the scope of the requests, all related to entities and arrangements in the international sector. No issues were reported by the Cook Islands or its peers in obtaining such information in practice.

247. The conclusions are as follows:

Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

Deficiencies identified/ Underlying Factor	Recommendations
Limited liability companies, international trusts and foundations are not explicitly required to keep all underlying documentation.	The Cook Islands is recommended to ensure that all relevant legal entities and arrangements to keep all underlying documentation in line with the standard.
No penalty exists for failure of a foundation to maintain reliable accounting records for at least five years. The law also does not specify any persons responsible for retaining a foundation's accounting records after the foundation is wound up.	The Cook Islands is recommended to ensure that the failure to maintain all accounting records and underlying documentation of a foundation for at least five years, including after it ceases to exist, is subject to effective enforcement measures.
For domestic companies, it is not clear who would be legally responsible to keep accounting records and underlying documentation when these entities cease to exist. A domestic company's accounting records are required to be kept by a liquidator for one year after the liquidation is completed, but this does not meet the retention period under the standard. Furthermore, a liquidator is not required in all cases of winding up a domestic company. While tax law	The Cook Islands is recommended to ensure that accounting records and underlying documentation be kept for five years after domestic companies cease to exist or cease to be registered in the Cook Islands.

imposes record keeping obligations on domestic companies, it does not specify who would be responsible for retaining these records after a company ceases to exist.

Practical implementation of the standard: Largely Compliant

Deficiencies identified/ Underlying Factor	Recommendation
Assuring compliance with filing by all relevant taxpayers is a necessary prerequisite towards ensuring that financial statements are filed when required and that the scope of active taxpayers required to maintain documentation can be scrutinised. There are significant shortcomings in the Revenue Management Division's monitoring of registrations of taxpayers and ensuring that they file tax returns as required. Furthermore, while the Revenue Management Division has an established tax audit programme and it has provided some information on the extent to which its activities have verified compliance with record keeping requirements under tax law, it has not provided details of compliance found, other than to record that specific penalties for any non-compliance with these obligations have not been imposed. This leads to doubts on the adequacy of enforcement of record keeping obligations in practice.	The Cook Islands is recommended to enhance supervision, including the use of enforcement powers, in respect of compliance with the tax law requirements on companies, partnerships and trusts.

A.2.1 General requirements and A.2.2 Underlying documentation

248. In the Cook Islands, the requirement to keep accounting records in accordance with the standard is ensured by a combination of the company, tax and AML law requirements. The various legal regimes are analysed below.

Company Law

249. The directors of **domestic companies** must ensure that accounting records are kept in compliance with the Companies Act requirements. In particular, the accounting records must:

- correctly record the company's transactions
- at any time, enable the company's financial position to be determined with reasonable accuracy
- enable directors to ensure that within four months after the company's balance date, the financial statements give a true and fair view of the matters, comply with any applicable regulations made under this Act and be dated and signed on behalf of the company by the director(s)
- enable the company's financial statements to be readily and properly audited (regardless of whether the company is actually required to prepare financial statements) (CA 2017, s. 159).

250. The accounting records must contain entries of money received and spent each day and the matters to which the money relates, a record of company's assets and liabilities, a record of all transactions affecting the assets and liabilities, all sales and purchases of goods and services (CA 2017, s. 159(2)). In addition, domestic companies are required to keep all underlying documents of transactions under tax law as long as they carry on business or receive income other than salary or wages (see paragraph 267). Accounting records are not required to be filed with the Registrar.

251. The accounting records must be kept at the registered office of the company or another place in the Cook Islands that is not its registered office, provided the company has given the Registrar a notice of the location of the records within 10 days after the records are first kept there (CA 2017, s. 145(1)(2)). The accounting records must be kept for the current accounting period and for the last seven completed accounting periods of the company. The Registrar may approve by notice in writing to the company a shorter period than seven completed accounting periods (CA 2017, s. 144). There were no such exceptions granted as per March 2026. The Cook Islands authorities state that approval would only be given in exceptional circumstances, such as if a company has ceased operations or is being wound up,

and that approval would not be granted in a way that could compromise regulatory oversight or the availability of accounting information. Nevertheless, the Cook Islands should ensure that any approvals to retain accounting records for less than seven completed accounting periods does not interfere with the availability of accounting information as required by the standard (see Annex 1).

252. A domestic company that has 10 or more shareholders must prepare financial statements (CA 2017, s. 161). A company with less than 10 shareholders may be required by a shareholder to prepare financial statements under certain conditions. If financial statements are required to be prepared, they must be audited by a qualified and independent auditor.

253. **International companies** are required to keep accounts and records relating to:

- all sums of money received and expended by the company
- all sales and purchases of goods by the company
- all assignments of rights or assumption of liabilities by the company
- all transactions of the company affecting the assets or liabilities of the company and
- the assets and liabilities of the company (ICA, s. 113(1)).

254. The keeping of accounts and records must be “sufficient to show and explain the international company’s transactions, which gives a true and accurate record” of the above details, and that “will at any time enable the financial position of an international company to be determined with reasonable accuracy” (ICA, s. 113). The resident secretary of an international company must keep the company records in the Cook Islands for a period of not less than six years following the completion of the transaction to which the records and underlying documentation relate. Thus, the ICA explicitly refers to the requirement to maintain both accounting records and underlying documentation. Financial statements are not required to be audited if members resolve that an auditor not be appointed.

255. A **limited liability company** must keep accounting records that are sufficient to show and explain its transactions, which give a true and accurate record of:

- all sums of money received and expended by the company
- all sales and purchases of goods by the company
- all assignments of rights or assumption of liabilities by the company
- all transactions of the company affecting the assets or liabilities of the company and
- the assets and liabilities of the company (LLCA, s. 31A(1)).

256. All the records must at any time enable the financial position of a limited liability company to be determined with reasonable accuracy.

257. The accounts of a limited liability company must be retained by the resident agent within the Cook Islands either in hard copy or in electronic format with hard copy easily and immediately printable (LLCA, s. 31A(2)). More specifically, the accounts must be kept at the registered office of the limited liability company (which is the business address of the registered agent). Such records are subject to inspection and copying at the reasonable request, and at the expense, of any member. The records must be maintained for six years following dissolution of the company. This is the only time limit specified, and the Cook Islands confirms that records must continue to be retained without time limit so long as the limited liability company continues in existence.

258. Although limited liability companies are required to keep accurate records of expenditures, sales and purchases and all transactions affecting assets and liabilities, as concluded in both the 2015 Report and the 2022 Phase 1 Report, there is no explicit reference to the requirement to maintain all underlying source documentation evidencing these transactions, such as invoices and contracts. **This remains the case.** However, the FSC, from its reviews of trustee companies and clients that are limited liability companies, observes that in practice disbursements from a limited liability companies will normally have a

resolution of the managers, related invoice, remittance details confirmation and instructions for payment for any transactions.

259. **Foreign companies** are required to keep reliable accounting records, including underlying documents, for at least five years (see section on tax law). In practice, accounting records are required to be submitted to the Business Trade and Investment Board (BTIB) when it is considering a new application, in particular to assess the sufficiency of assets and level of borrowing. Financial statements are also required to be filed with the BTIB each year thereafter.

Partnerships, trusts and foundations

260. The International Partnership Amendment Act 2013 (IPA) foresees an obligation to maintain accounting records. International partnerships and limited partnerships must keep accounting records that are sufficient to show and explain the partnership's transactions, which gives a true and accurate record of:

- all sums of money received and expended by the partnership
- all sales and purchases of goods by the partnership
- all assignments of rights or assumption of liabilities by the partnership
- all transactions of the company affecting the assets or liabilities of the partnership and
- the assets and liabilities of the partnership and that will at any time enable the financial position of the partnership to be determined with reasonable accuracy (section 7A).

261. The IPA requires that the accounts and records be retained within the Cook Islands by the trustee company which is the partner or provides the registered office for a partner. Section 7A(4) requires that the accounts and records must be retained within the Cook Islands, for a period of not less than six years following the completion of the transaction to which the records and underlying documentation relate. Thus, the IPA explicitly refers to the requirement to maintain both accounting records and underlying documentation. Any partner of an international partnership, or any general partner of a limited partnership, that fails to take all reasonable steps to secure compliance with this obligation, commits an offence against the IPA (IPA 1984, ss. 7A(3), see para. 288).

262. Foreign partnerships need to be registered with the Business Trade and Investment Board (BTIB), albeit only if foreign partner(s) have more than a one third interest in the capital or profits of the partnership. No partnerships of this kind are currently registered. The individual partners, including the foreign ones, are also required to file annual tax returns, as the partners are taxed individually on their share of the partnership's income (see paragraph 178). No foreign partnerships are currently registered with the RMD. As is the case for foreign companies (see paragraph 259) accounting records must be provided by foreign partnerships when filing applications to the BTIB and annual financial statements filed thereafter.

263. The Trustee Act does not explicitly require the keeping of accounting records. Under the common law, however, there is a general duty on trustees to maintain proper accounts and records, which is linked to the duty to inform beneficiaries.

264. The International Trusts Amendment Act 2013 introduced an obligation on trustees of an international trust to maintain accounting records. The trustee must ensure that there is, at the registered office of the international trust, a true, accurate and current record of:

- income of the trust, whether in cash or kind
- assets held by the trust
- assets made available for use by any beneficiary of the trust
- advances made by the trust
- distributions made

- all transactions of the trust affecting its assets or liabilities and which will at any time enable the financial position of the international trust to be determined with reasonable accuracy (section 27C).

265. Foundations are required to keep financial records at their registered office under the Foundations Act 2012 (s. 42(2)). Foundations must keep financial records which (i) enable the financial position of the foundation to be determined with reasonable accuracy at any time, and (ii) allow financial statements to be prepared (s. 43(1)). The records must be kept for a minimum period of six years (s. 43(4)).

266. The requirements in paragraphs 264 and 265 are broad enough to require records of all sums of money received and expended and the matters in respect of which the receipt and expenditure takes place, all sales and purchases and other transactions, and the assets and liabilities of international trusts and foundations. However, as was found in both the 2015 Report and the 2022 Phase 1 Report, there is no general requirement to maintain underlying documentation evidencing the transactions of international trusts and foundations, such as invoices and contracts. **This remains the case.**

Tax law

267. The Income Tax Act imposes record keeping requirements which apply to “every person carrying on business or receiving income other than salary or wages” (ITA, s. 217(1)). This includes domestic and foreign companies. It also applies to domestic partnerships. These general tax obligations equally apply to resident trustees with respect to income and allowable deductions pertaining to domestic trusts, as well as to beneficiaries of any domestic trust deriving income sourced in the Cook Islands, who are required to furnish annual tax returns (ITA, ss. 2 and 8).

268. The records must be sufficient “to enable that person’s assessable income and allowable deductions to be readily ascertained by the Collector” (ITA, s. 217(1)). In particular, such records include underlying documents such as the asset schedule and “books of account, recording receipts documents of income or expenditure or purchases or sales, and also includes vouchers, invoices, receipts, and such other documents as are necessary to verify the entries in any such books of account and, in the case of an agent, records of all transactions carried out on behalf of that agent’s principal” (ITA, ss. 60(2) and 217(3)). The ledgers and journals must adequately explain each transaction.

269. There is no requirement in the Income Tax Act to maintain these records in the Cook Islands, however it is required under company law (see paragraph 251) albeit that this obligation is to be supervised by a different authority. The tax law is the main source of accounting obligations for domestic and foreign partnerships and trusts. Tax law also requires all partners in relevant partnerships, to annually submit some accounting information to the RMD, see paragraph 271, which provides some immediate availability to the RMD. Finally, a person who fails to keep records commits an offence (ITA, s. 217(4)) and would effectively need to provide such records in the Cook Islands (irrespective of where they were kept and whether they complied with company law) in order to prove their compliance with the tax law.

270. Resident trustees of foreign trusts and beneficiaries of foreign trusts, and partners of foreign partnership deriving income from the Cook Islands are required to furnish annual tax returns (ITA, ss. 2, 8, 11, 80 and 83). Such trustees, partners and beneficiaries are, therefore, required to keep reliable accounting records, including underlying documents, for at least five years.

271. The annual tax return for companies explicitly requires the attachment of a “profit and loss account,” which is understood to mean financial statements (i.e. including a balance sheet). The trust tax return requires “financial statements” to be furnished with the tax return. The RMD actively encourages this filing requirement and is generally able to enforce it when tax returns are filed in paper form or by email. In contrast, returns filed through the online portal may be accepted and processed without financial statements being included. The decision to process a tax return without financial statements is risk based. The RMD estimates that around 80% of company returns include financial statements. There is no

partnership tax return, but each partner required to file a tax return in the Cook Islands is expected to include financial statements of the partnership with their tax return. However, this does not always occur, as the RMD has identified that only 38 of the 57 partnerships with a partner filing a tax return had financial statements attached. Information has not been provided in relation to filing of financial statements with trust returns.

Conclusion

272. In summary, the gap identified in the 2015 Report in relation to requirements by limited liability companies, international trusts and foundations on keeping all underlying documentation remain. **The Cook Islands should require all relevant legal entities and arrangements to keep all underlying documentation in line with the standard.**

Companies and arrangements that cease to exist

273. For companies, partnerships and trusts in the international sector that cease to exist, the obligation to retain accounting records and underlying documentation in line with the standard is imposed on the trustee company in the Cook Islands that had the relationship with the company or arrangement at the time it ceased. Retention requirements in relation to domestic and foreign partnerships and trusts are covered by tax law. However, for domestic companies and foundations, it is not clear who would be legally responsible to keep accounting records and underlying documentation when these entities cease to exist or be registered in the Cook Islands. Details follow below.

International sector

274. Where an international company is struck off, the resident secretary must ensure that the books and papers of the company are retained by a trustee company for a period of six years from the striking off (ICA, s. 197(6)). Re-domiciliation of international companies without winding up is possible, in which case the re-domiciled company is removed from the register, however the resident secretary's obligations, including for record keeping, continue as if the company remained registered (ICA, s. 209(5)).

275. When a limited liability company is dissolved, the resident agent must retain specified records of the limited liability company for six years following the dissolution (LLCA, s. 32(2)). The specified records include accounting records. Re-domiciliation of limited liability companies without dissolution is possible, however the resident agent's obligations, including for record keeping, continue as if the company remained registered (ICA, s. 209(5)).

276. When an international trust is terminated, or the Cook Islands trustee is removed or has resigned, each trustee must ensure that the records in the possession of that trustee are retained by that trustee for a period of six years from the date of termination, removal or resignation as the case may be (International Trusts Amendment Act 2013, s. 4(1B)).

277. In the case of international and limited partnerships, the combined effect of subsection 7A(2), which requires the trustee company that is a partner or provides a registered office for a partner to retain the records, and subsection 7A(4), which requires the records and underlying documentation to be retained in the Cook Islands for six years after the transactions to which they relate (see also paragraph 261), effectively requires the trustee company to retain the records for the required period that continues to run after winding up of the partnership. The IPA does not provide for re-domiciliation of international limited partnerships.

278. For foundations, winding up may involve a liquidator and according to the FSC in practice this is always the case when winding up is voluntary, however it might not be done when the process is involuntary, such as striking off for failing to file an annual return. While the Foundations Act provide for

the possibility of liquidation, it does not impose an obligation on a liquidator to retain records following liquidation. In addition, while the Foundations Act requires the accounting records to be kept at the registered office or at another place notified to the registered agent, the obligation to keep records is imposed on the foundation and not the registered agent. There is therefore no obligation imposed on the registered agent to continue to hold those records after a foundation is wound up. Furthermore, it is possible for foundations to transfer their registration out of the Cook Islands without being wound up, with no person remaining responsible for retaining accounting records in the Cook Islands.

Domestic and foreign entities

279. A secured creditor of a domestic company may, subject to the debt agreement, appoint a receiver to take control of the property of a company (CA, s. 297). If a receiver is appointed, the receiver must at all times keep accounting records that correctly record and explain the receipts, expenditure and other transactions relating to the property in receivership. The receiver must retain the accounting records for not less than seven years after the receivership ends (CA 2017, s. 311).

280. A domestic company in the Cook Islands may be removed from the register due to: (i) liquidation; (ii) request of a shareholder or another authorised person if the company has ceased business; or (iii) failure to file its annual return or to meet other specified requirements. If a domestic company is liquidated, a liquidator is appointed who must keep the company accounts and records for not less than one year after completion of the liquidation (CA 2017, s. 253). In any other case where a domestic company ceases to exist (i.e. not involving a receiver or liquidator), the Companies Act does not specify any person responsible for retaining company records after the company ceases to exist. The Companies Act does not provide for re-domiciliation of domestic companies.

281. Section 217(2) of the Income Tax Act was amended in December 2013 to remove the relief that had been available up to that time from any obligation to maintain accounting records for a period of at least five years in respect of a company which has been wound up and finally dissolved. The previous relief did not appear to have any effect in relation to companies, since the taxpayer (i.e. the company) that ceases to exist can no longer be held liable, and nothing in the Income Tax Act made any other person responsible for the account records and underlying documentation of the company that has ceased to exist. Since no person was liable, the relief had no application, and the removal of the relief was moot. It remains the case that the Income Tax Act does not make any person responsible for the accounting records and underlying documentation of a company that has ceased to exist.

282. Additionally, section 217 provides that a person is not required to retain any records in respect of which the Collector has notified the person, in writing, that retention is not required (ITA, s. 217). However, the Cook Islands authorities advise that at 2 March 2026 this possibility has never been allowed in practice.

283. For domestic companies that have ceased to exist, in summary, the Income Tax Act does not ensure that accounting records or underlying documentation are available, except to the extent that a profit and loss account is held by the tax authority with annual tax returns. The Companies Act also does not ensure the availability of accounting records or underlying documentation in line with the standard, excepting only if a receiver was engaged in winding up the company. Records will be available if a liquidator was engaged, but this is only ensured for one year and falls short of the period required under the standard. This does not meet the standard.

284. The requirements for domestic and foreign partnerships and trusts upon dissolution relies on the tax law (see paragraph 267-270). In the case of partnerships and trusts that cease to exist or cease to have a nexus with the Cook Islands, the record keeping obligations continue with the relevant partner(s) or trustee(s) that had Cook Islands income tax return obligations.

285. In summary, for domestic companies and foundations, it is not clear who would be legally responsible to keep accounting records and underlying documentation when these entities cease to exist

or be registered in the Cook Islands. **The Cook Islands is recommended to ensure that accounting records and underlying documentation be kept for at least five years after domestic companies and foundations cease to exist or cease to be registered in the Cook Islands.**

Oversight and enforcement of requirements to maintain accounting records

286. The international sector is supervised by the FSC, which has an active and well-structured compliance program that covers each type of company and legal arrangement. Supervision in the domestic sector relies on the Registrar of Companies in the Ministry of Justice, which has conducted minimal compliance activity, and tax audits by the RMD, who have not provided any measures of compliance or demonstrated adequate enforcement processes to enforce compliance.

International sector

287. A director of an international company who fails to take all reasonable steps to secure compliance by the company with the requirements of section 113 commits an offence against the ICA and is liable on conviction to a fine of NZD 1 000 (EUR 504) and to imprisonment for six months (ICA, ss. 113(3) and 219(2)). Failure to comply with any legal obligations imposed by the LLCA is an offence and, on conviction, punishable with a fine not exceeding NZD 10 000 (EUR 5 040) or to imprisonment for a term not exceeding one year, or to both (LLCA, s 78).

288. Failure to comply with any legal obligation imposed by the IPA is an offence and, on conviction, punishable by a fine not exceeding NZD 10 000 (EUR 5 040) or imprisonment for a term not exceeding one year, or both (IPA 1984, s. 79).

289. Failure to comply with any legal obligation imposed by the International Trust Act is an offence and, on conviction, punishable by a fine not exceeding NZD 10 000 (EUR 5 040) or imprisonment for a term not exceeding one year, or both (ITA, s. 28).

290. The Foundations Act does not impose a penalty for failure to keep the accounting records as required in sections 42 and 43 of the Foundations Act 2012. It was recommended both in the 2015 Report and the 2022 Phase 1 Report that the Cook Islands amend the appropriate legislation to ensure that failure to maintain all accounting records and underlying documentation for at least five years is subject to effective enforcement measures. **This remains the case.**

291. For international companies and legal arrangements, the supervision lies with the FSC as part of FSC's onsite inspections for trustee companies. Prior to July 2022, all trustee companies had at least one onsite inspection each year, (except for 2020 due to the COVID-19 pandemic when only the three largest trustee companies were inspected). From July 2022, the cycle time changed based on an assessment of risk and trustee companies have been on a two-year inspection cycle since then. Inspections are primarily onsite and include verifying that the trustee company and/or the client has complied with its obligations to maintain and retain accounting information in respect of its clients and their associated entities.

292. The FSC has provided statistics for its compliance activities during the review period on the types of entities and legal arrangements covered in its inspections.

Entities/legal arrangements subject to inspection

Type	Entities and arrangements reviewed	Coverage	Accounting related issues identified
International companies	137	33%	6
Limited liability companies	86	12%	6
International trusts	176	8%	12
Foundations	22	48%	0

293. While the relevant laws do not explicitly require limited liability companies, international trusts and foundations to maintain underlying documentation in support of the accounting records (see paragraph 266) in practice the FSC expects these to be available in the inspections. However, transactions are very infrequent as most entities and arrangements are engaged in relatively passive activities such as holding bank account(s), real estate or shares in non-Cook Islands companies. Typically, there are less than five transactions in an annual period and sometimes there are none. The most common transaction found in records is the payment of fees due to the trustee company for their administration services.

294. Issues found in accounting records vary but were considered by the FSC to be relatively minor. These included missing invoices, an unsigned loan agreement, and failures by a trustee company to do a monthly reconciliation to a bank account (by law if the trust company has authority over any bank account it must do monthly reconciliations of activity on those accounts). There have been no prosecutions for failing to keep records. The FSC has issued remedial action plans and recommendations where minor deficiencies have been found during onsite inspections with appropriate follow up.

295. Oversight and enforcement of accounting record obligations in the international sector are appropriate.

Domestic and foreign entities

296. For domestic companies, in case of failure to take all reasonable steps to secure compliance with the record keeping requirements of section 159 of the Companies Act, each director commits an offence and is liable on conviction to a fine not exceeding NZD 4 000 (EUR 2 016) or to a term of imprisonment not exceeding three months, or both (CA 2017, s. 158). As described in paragraphs 249 to 251, domestic companies do not file financial statements with the Registrar of Companies, thus accounting records are only required to be kept at the company's registered office or some other place in the Cook Islands. During the review period, the Registrar of Companies carried out little to no activities relevant to ensuring compliance by domestic companies with the company law record keeping obligations. In practice, there is reliance on the RMD to ensure accounting records are maintained under tax law and the RMD is more active in this area.

297. Tax audits carried out during the review period have, in some cases, encompassed the requirements to maintain accounting records and underlying documentation under the tax law. Failure to comply with any obligation established by the Income Tax Act (including failing to keep records) is considered an offence, punished by fines ranging from NZD 1 000 (EUR 504) to NZD 10 000 (EUR 5 040) (Income Tax Act, s. 206).

298. In the case of domestic partnerships and trusts, the same sanction for failing to keep records as mentioned for companies is available for each partner and trustee respectively that is required to file a tax return.

299. During the review period, the RMD conducted 397 tax related audits or reviews (i.e. covering 21% of entities registered in the tax database). Precise statistics are not available, however based on a material sample of case records, the RMD estimates that around a third of all cases test the existence and accuracy of financial statements and half of all cases involve review of underlying documentation (whether or not financial statements were available). No further details of the level of compliance have been provided, except to note that no specific record keeping penalties were imposed for any non-compliance (which is likely due more to the difficulties in imposing sanctions as mentioned in paragraph 101 than there being an absence of non-compliance).

300. Although the RMD has an established tax audit programme for taxpayers known to be active or filing tax returns, there is still a need to ensure compliance with tax return filing for all relevant taxpayers, including identifying those who are active. Assuring compliance with filing by all relevant taxpayers is a

prerequisite towards ensuring that financial statements are filed when required and that the scope of active taxpayers required to maintain documentation can be scrutinised. As noted for Element A.1, there are shortcomings in monitoring registrations of taxpayers and ensuring that they file tax returns as required (see paragraphs 101, 194 and 219). It is then also necessary to ensure that record keeping obligations on accounting records that are intended to support the accuracy of those tax returns are enforced. While these matters are covered in many of the tax audits carried out and coverage of taxpayers by these activities is substantial, the Cook Islands has been unable to provide any measures of compliance or demonstrate adequate enforcement processes to enforce compliance. **The Cook Islands is recommended to enhance supervision, including the use of enforcement powers, in respect of compliance with the tax law requirements on companies, partnerships and trusts.**

Availability of accounting information in EOIR practice

301. The Cook Islands received seven requests during the review period where accounting information was in the scope of the request. All requests related to entities and arrangements in the international sector. Six of the requests sought financial statements, bank statements and details of distributions to trust beneficiaries (but no other underlying documentation), and the seventh sought details of distributions to beneficiaries. The answers were provided on time and partners were satisfied with the information.

A.3 Banking Information

Banking information and beneficial ownership information should be available for all account holders.

302. The 2015 Report concluded that the legal and regulatory framework in the Cook Islands requires the availability of banking information to the standard. Identity information on all account-holders and transaction records continues to be made available through anti-money laundering (AML) obligations.

303. Since the 2015 Report, the standard was strengthened in 2016 with an additional requirement of ensuring the availability of beneficial ownership information on all account holders. As discussed in A.1, there were several issues identified with respect to customer due diligence (CDD) requirements under the AML framework as it stood prior to 4 December 2024 which could have affected the availability of beneficial ownership in certain instances. The deficiencies related to identification of beneficial owners of bank accounts were addressed by amendments to the FTRA and its Regulations that came into effect from 4 December 2024. The issue relating to a lack of a specified frequency at which CDD information should be updated existed prior to the amendments and the gap remains. The Cook Islands is recommended to take suitable actions to address the remaining gap in its legal framework.

304. The conclusions are as follows:

Legal and regulatory framework: In place, but certain aspects of the legal implementation of the element need improvement

Deficiencies identified/ Underlying Factor	Recommendations
While the AML framework requires an ongoing and effective monitoring of information held for the purpose of customer due diligence to ensure that it is up to date and appropriate, there is no guidance on the frequency of updates of the beneficial ownership information.	The Cook Islands should ensure that information on beneficial owners of bank accounts is up to date in line with the standard.

Practical implementation of the standard: Largely Compliant

No issues have been identified in the implementation of the existing legal framework on the availability of banking information. However, once the recommendations on the legal framework are addressed, Cook Islands should ensure that the amended framework is applied and enforced in practice.

A.3.1 Record-keeping requirements

305. The Cook Islands has four banks, which are licensed and supervised by the FSC under the provisions of the Banking Act 2011. Three of the banks can be described as domestic banks, whose customers are generally Cook Islands based. One bank may be described as international, as it has a focus on customers with international connections.

Availability of banking information

306. The 2015 Report concluded that Cook Islands' law requires banks to keep records in line with the standard.

307. Banks are subject to the accounting requirements as explained under A.2 and must keep proper accounting records that show and explain their transactions. In addition, under the FTRA, all banks are subject to Anti-Money Laundering (AML) obligations as reporting institutions.

308. As reporting institutions, banks are required to keep records of all transactions for six years from the date the relevant transaction was completed, the end of an ongoing business relationship, or in the absence of any formal end to an ongoing business relationship, the completion of the last transaction in that relationship (FTRA 2017, s. 41(2)). Section 41(1) requires reporting institutions to establish and maintain records including the following information in respect of all transactions:

- a copy of evidence of identity obtained or produced under CDD, or information that enable a copy to be obtained without significant delay (no longer than five working days)
- a record of all isolated transactions and transactions carried out in the course of an ongoing business relationship, including identification information, account files, business correspondence records and the results of any analysis undertaken (including risk assessment)
- such other records that are sufficient to permit the reconstruction of individual transactions and compliance with this Act to a standard that allows a competent authority to investigate and prosecute financial misconduct.

309. In case of a bank insolvency, two alternative courses of action would arise: a court appointed manager may be appointed, or the bank would go into liquidation. Prior to an amendment to the Banking Act in effect from 4 December 2024, the record keeping requirements were therefore transferred to the court-appointed manager or to the liquidator respectively (Banking Act 2011, s. 23). There was no indication on the records retention requirements by a court-appointed manager in the Banking Act. Under company law, a liquidator is only required to maintain the records for a period of at least one year. Therefore, under each of these scenarios the record keeping requirements were insufficient. Section 63 of the Banking Act was amended in December 2024 by adding subsection (3A) which allows the FSC to issue directives upon the winding up of a licensee regarding the retention and access of specified documents to one or more of the following persons for the purpose of ensuring such documents are retained and accessible for a minimum of six years after the completion of the liquidation of a licensee:

- a liquidator or court-appointed manager
- a director or officer of the licensee
- a shareholder of the licensee.

310. The amendment resolves the previous gap. According to the FSC, the amendment to section 63 has codified what was previously established practice. No bank wound up its business in the Cook Islands during the review period. The last occurrence of a bank ceasing business in the Cook Islands was in 2015.

Beneficial ownership information on account holders

311. The standard was strengthened in 2016 to specifically require that beneficial ownership information be available in respect of all account holders.

312. As explained under Element A.1 with regard to the availability of beneficial ownership information for companies under AML law, the FTRA establishes the Cook Islands' AML legal framework. Banks are required, under that framework, to ensure that beneficial ownership information on all of their customers is obtained and verified in accordance with the prescribed CDD measures.

313. A bank, as a reporting institution, must establish, maintain and operate procedures to ensure it conducts CDD before entering into an ongoing business relationship or an isolated transaction with a customer or a person acting on behalf of a customer (FTRA, s. 25). Guidance issued by the FSC confirms that a reporting institution must not proceed with the relationship or transaction if CDD cannot be completed. The retention period is six years from end of relationship or one-off transaction (FTRA 2017, s. 44).

314. A reporting institution may rely on a third party to undertake the CDD required under AML law. The third party must be an AML-obliged person and compliant with Financial Action Task Force regulations (FTRA 2017, s. 34(1)). If a reporting institution relies on a third party to undertake CDD, it must: (i) document the basis for its satisfaction that the requirements³⁰ to rely on third party information have been met except where the third party is a licensed financial institution, and (ii) obtain the necessary information required for the relevant level of CDD before it enters into the ongoing business relationship or isolated transaction, and (iii) ensure that copies of necessary information obtained in relation to the customer will be made available to it from the third party upon request without delay (FTRA 2017, s. 34(3)). The reporting institution relying on the third party to conduct CDD, and not the third party, is responsible for ensuring that CDD is carried out in compliance with the requirements of the FTRA 2017. The requirements when a reporting institution can rely on a third party's performance of the CDD is in line with the standard. In practice, none of the four banks licensed in the Cook Islands use or accept CDD conducted by a third party.

315. Reporting institutions may undertake simplified CDD procedures. The main distinction with the standard CDD procedure is that under the simplified CDD there is no requirement to verify the identity of the ultimate principal. Simplified CDD procedures may be undertaken by reporting institutions when: (i) they are sure that there are no circumstances preventing them to do so (e.g. the case falls under the enhanced CDD or the customer is a legal arrangement for holding personal assets); (ii) the level of risk associated with the person(s) is low; and (iii) they obtain information on the nature and intended purpose of the ongoing business relationship or isolated transaction (FTRA, s. 27(2)). Further, a reporting institution may undertake simplified CDD on a legal person whose securities are listed on a recognised stock

³⁰ A reporting institution may rely on a third party to undertake CDD procedures if the following requirements are met: a) the reporting institution is satisfied that the third party it intends to rely upon is subject to and supervised for compliance with combating money laundering, financing of terrorism and proliferation of weapons of mass destruction consistent with the standards set by the FATF and has adequate measures in place to comply with those requirements; b) the reporting institution takes appropriate steps to identify, assess and understand the financial misconduct risks particular to the jurisdictions that the third party operates in; and c) the third party is able and willing to provide, without delay, upon the reporting institution's request any data, documents or information obtained by the third party with respect to the measures applied on the reporting institution's customer, which the reporting institution would be required or would want to obtain (FTRA, s. 34(2)).

exchange or any other person that may be prescribed (FTRA, s. 27(4)). No other persons have been prescribed.

316. The 2022 Report identified three issues with respect to CDD in the AML framework, which had the potential to affect the availability of beneficial ownership during the review period. First, it was not clear whether the concept of ultimate principal should be interpreted as meaning any person who controls the company acting directly or indirectly and acting individually or jointly. This was addressed by amendments to the FTRA which have been analysed under Element A.1. Second, there was no requirement to identify a person holding a senior managerial position when no individual meets the definition of beneficial owner. This was also addressed by amendments to the FTRA which have been analysed under Element A.1. Third, it was noted that reporting institutions are not explicitly required to identify the beneficial owner of a bank account held by a natural person. However, the FTRA defines a customer to include any person on whose behalf the account or transaction is being conducted, and this would therefore require the reporting institution to conduct due diligence on such a person and not confine its attention only to the person who is nominally the account holder. Other provisions in the FTRA support this requirement, including requirements to take reasonable measures to identify the source of funds, and on an ongoing basis apply appropriate scrutiny over transactions to ensure that they are consistent with the reporting institution's knowledge of the customer, its business and level of risk, and where appropriate the source of funds. It is also an offence for a person to deal with a reporting financial institution in a way that avoids the requirements of the Act to identify and verify the identity of another person. A reporting institution that has reasonable grounds to suspect that a person has failed to disclose their status as a nominee must conduct enhanced due diligence (FTRA, s. 56). Overall, it is considered that these collective requirements oblige a reporting institution to take measures to identify when a nominal customer is acting on behalf of another person and if so, conduct CDD on that other person.

317. Reporting institutions are required to carry out ongoing and effective monitoring of any ongoing business relationship, including review of information held for the purpose of customer due diligence to ensure that it is up to date and appropriate (FTRA, s. 32(2)). However, there is no guidance in the FTRA on the frequency of updates of the beneficial ownership information. The actual practices of the banks are described in paragraph 145, which are based on their own policies and not based on any frequency specified in the AML framework. **The Cook Islands is recommended to ensure that information on beneficial owners of bank account holders is up to date in line with the standard.**

Oversight and enforcement

318. The FSC and FIU conduct joint inspections to monitor compliance of banks with all relevant obligations. Banks must establish and maintain a register that contains a copy of every report submitted to the FIU and all related records. A reporting institution must keep the reports for a period of six years after the date on which the report or the enquiry is made (FTRA 2017, s. 43).

319. Failure to comply with the FTRA obligations is considered an offence and punishable by: (i) in the case of an individual, a fine of up to NZD 250 000 (EUR 126 000) or imprisonment for a term not exceeding five years, or both; (ii) in any other case, a fine of up to NZD 1 000 000 (EUR 504 000) (FTRA 2017, s. 63).

320. The FSC and FIU have a long-standing practice of conducting inspections of every bank annually and this continued throughout the review period. The reviews also continue to be conducted in the manner described in paragraphs 241 and 242 of the 2015 Report and it remains the case that the results indicate a high rate of compliance.

Availability of banking information in EOIR practice

321. The Cook Islands received five requests during the review period where banking information was within the scope of the request. The answers were provided on time, and the partners were satisfied with the responses. See also paragraph 341 on practice seeking information from the four Cook Islands banks.

B Access to information

322. Sections B.1 and B.2 evaluate whether competent authorities have the power to obtain and provide information that is the subject of a request under an EOI arrangement from any person within their territorial jurisdiction who is in possession or control of such information, and whether rights and safeguards are compatible with effective EOI.

B.1 Competent authority's ability to obtain and provide information

Competent authorities should have the power to obtain and provide information that is the subject of a request under an exchange of information arrangement from any person within their territorial jurisdiction who is in possession or control of such information (irrespective of any legal obligation on such person to maintain the secrecy of the information).

323. The 2015 Report concluded that the Competent Authority in the Cook Islands has broad access powers to obtain all types of relevant information, including ownership, accounting and banking information from any person, in order to comply with obligations under Cook Islands' EOI instruments. These access powers can be used regardless of domestic tax interest in the requested information. In case of failure on the part of the information holder to provide the requested information, the Competent Authority has adequate powers to compel the production of information. Finally, secrecy provisions contained in Cook Islands' law are compatible with effective exchange of information.

324. The ability of the Revenue Management Division to obtain information for exchange of information purposes derives from its general access powers under sections 86 and 219 to 222 of the Income Tax Act coupled with the authority provided by the relevant exchange of information agreements. In 2016, sections 219 and 220 were amended to extend the access powers in order to facilitate compliance by the Cook Islands with its obligations to automatically exchange financial account information. In 2017, the Income Tax Act was amended to enhance access to electronic storage media with an obligation to provide reasonable assistance and any basis for authentication and decryption.

325. During the review period, the Cook Islands received seven requests for information (including ownership, accounting and banking information) and the Competent Authority has successfully used its access powers to obtain this information. However, while no issues with access powers have arisen for EOI due to information holders so far always being cooperative, the RMD has not shown a willingness or readiness to escalate its actions to compel the provision of information when there has been a failure to cooperate with information requests for domestic purposes. This is indicative of a risk that the current administrative framework and practice could affect the exercise of access powers to obtain information for EOI purposes in the future.

326. The conclusions are as follows:

Legal and regulatory framework: In place

No material deficiencies have been identified in the legislation of the Cook Islands in relation to access powers of the competent authority.

Practical Implementation of the standard: Compliant

Deficiencies identified / Underlying Factor	Recommendations
While sanctions are available in case of a failure to comply with the Competent Authority's access powers to obtain information, these require prosecution and conviction by the Court. The possibility of engaging the Court to compel provision of information is also available either as the main course of action or if an information holder initially fails to cooperate with a notice from the Competent Authority. Under the administrative structure supporting the Competent Authority throughout the review period, recourse to the Court has not been possible. To date this has not affected inward requests for EOI, as information holders have been consistently cooperative. However, it did affect EOI in relation to one outgoing request during the review period. A risk therefore remains that the current administrative framework and practice could affect the exercise of access powers to obtain information for EOI purposes in the future.	The Cook Islands is recommended to ensure that appropriate enforcement actions, including sanctions, are taken in cases of non-compliance or delays by information holders.

B.1.1 Ownership, identity and banking information and B.1.2 Accounting records

327. The competent authority designated under the Cook Islands' EOI agreements is the Collector of Inland Revenue who belongs to the Revenue Management Division (RMD), or an authorised representative of the Collector.

328. Subsection 219(1) of the Income Tax Amendment Act 2011 sets out the Competent Authority's access powers as follows:

Notwithstanding anything to the contrary in any other Act, including without limitation Sections 227 and 249 of the International Companies Act 1981-82, Section 23 of the International Trusts Act 1984, the Foundations Act 2012, the Captive Insurance Act 2013 and Section 72 of the Limited Liability Companies Act 2008, the Collector or any officer of the Department authorised in that behalf shall at all times have full and free access to records for the purpose of inspecting such books or documents, whether in the custody or under the control of a public officer or a body corporate or any other person, for the purposes of inspecting any records which the Collector or the officer of the Department considers necessary, relevant, or likely to provide information, for the purposes of (a) collecting any tax or duty which the Collector is authorised to collect; (b) giving effect to agreements described in [section 86]³¹ or giving effect to Part VIA.³²

329. This subsection ensures that the Competent Authority has access powers in respect of any information held by "a public officer or a body corporate or any other person" who is believed to be in possession or control of that information. The powers apply whether or not the information is required to be kept pursuant to an explicit legal obligation. Also, the power to obtain information extends to any person and any third parties, such as accounting firms. This is expressly provided under section 220(1) of the Income Tax Act which further enhances section 219:

Every person (including any officer employed in or in connection with any department of the Government or by any public authority, and any other public officer) shall, if required by the Collector or by any officer of the

³¹ In the Income Tax (Automatic Exchange of Financial Account Information and Other Matters) Amendment Act 2016, the reference is made to section 186. The Cook Islands confirmed that section 86 is the placement reference that should be used in the 2016 Amendment Act and communicated this drafting error to competent authorities.

³² Section 86 authorises the entry into international agreements for relief from double taxation and the exchange of information, i.e. DTCs. Part VIA refers to the "Implementation of arrangements to exchange tax information or provide other mutual assistance in tax matters" and thus covers bilateral TIEAs, the Multilateral Convention and the Multilateral Competent Authority Agreement on Automatic Exchange of Financial Account Information.

Department authorised in that behalf, furnish in writing any information and produce any records which the Collector or officer considers necessary or relevant for any purpose relating to the enforcement of this Act (including giving effect to agreements described in section 86 or giving effect to Part VIA) or any other Act administered by the Collector, and which may be in the knowledge, possession, or control of that person.

330. Section 220(1) was amended in 2017 by inserting the following subsections:

(1A) If a person fails to furnish information or produce records as required under subsection 1, the Collector or an authorised officer may seize any electronic information storage media on which the information or records are stored and retain the media for as long as is necessary to copy the information or records.

(1B) A person whose electronic information storage media has been seized under subsection 1A must provide reasonable assistance to enable the Collector or authorised officer to access the information or records stored on the media, including the entering of the password or other basis of authentication for access to the media, or providing decryption information necessary to decrypt data on the media.

331. Storage media was extended to include portable devices such as computers, phones, cameras and storage media and other facilities such as cloud storage (Income Tax Amendment Act 2017, ss. 22 to 24).

332. Section 220(2) of the ITA further provides that “information in writing which may be required under this section shall include lists of shareholders of companies, with the amount of capital contributed by and dividends paid to each shareholder, copies of balance sheets and of profit and loss accounts, and other accounts and statements of assets and liabilities of any person”.

333. The ITA provides the Collector with comprehensive information gathering powers. They are very wide and not limited to persons who are required to maintain this information.

Accessing information generally

334. After receiving a valid EOI request, the process for accessing information is as follows. The Collector or his/her authorised representative determines whether the information is already in the possession of the RMD by accessing RMD records, which could be the case for individuals, domestic companies and domestic trusts if subject to Cook Islands tax, but is not likely to be the case for international companies and trusts and limited liability companies or persons related to them, which are more frequently the subject of EOI requests from partners. If the information is not already in the possession of the RMD, an official request for information under section 220 of the Income Tax Act is issued. The RMD has a template it uses for this purpose, which states that the information request is pursuant to section 220 of the Income Tax Act. The request may be done electronically (Income Tax Amendment Act 2017, s. 26). A response is usually due within 14 days from the day after the date of the RMD request (being the allotted time for the requested party to challenge the request in the High Court) and a reminder is set for the due date for the response.

335. With respect to domestic companies, the RMD may also use its access powers to obtain information from the Ministry of Justice (Registrar of Companies) on where ownership information is maintained (see paragraph 5855). As the Ministry is located a short walk from the RMD, and the relevant staff and their authorities are well known to one another, this is actioned by way of instant on-site request under section 220, which does not require a notice in writing.

336. Having due regard to the facts and circumstances of the case, the Collector issues requests to the persons most likely to have this information under their possession or control. Depending on the nature of the request, the information may be held by the Financial Supervisory Commission (FSC) or by the trustee company acting for an international entity or arrangement (for instance ownership and identity information). In the latter case, the FSC provides the RMD with the identity of the relevant trustee company if not already known to the RMD. Once the relevant trustee company has been identified, a new official notice for information under section 220 is issued by the RMD to the trustee company.

337. Up until 2022, the notice identified that it was being made under an international agreement and named the agreement. The procedure changed from 2023 so that the default practice is that the request does not give any indication of an EOI purpose and states only that information is being requested pursuant to the general power in section 220 of the Income Tax Act. There is an exception to this generic approach, if the request is for information or documents that would only be relevant to prior years beyond the standard domestic statutory limitation on amending tax returns, which is four years from the end of the year in which an assessment was made. There was one such case in the review period. In this case, it was considered necessary, in order to demonstrate that the power is being exercised lawfully, to identify that it was made under the relevant agreement and not for a domestic purpose subject to a shorter timeframe. While the preference would be to only name the Multilateral Convention without naming the jurisdiction, in the particular case in question the request was made under a TIEA and that TIEA was named (consequently also including the name of the jurisdiction). As the exception is limited to circumstances where it is necessary to exercise the power, it is in line with the standard.

Accessing identity, legal and beneficial ownership information

338. Information held by the Registrar of domestic companies relating to legal ownership may be made available to the Collector through use of the general access powers described above. The Collector may also use the general powers to access the legal and beneficial ownership information held by the company itself and service providers that are AML-obliged persons.

339. In the case of international companies, trusts and limited liability companies, legal and beneficial ownership must be held by trustee companies who are AML-obliged persons and the same general access powers are applicable in the same manner. The AML secrecy provisions in Cook Islands legislation are overridden by the access powers in the Income Tax Act (ss. 219 and 220), which are explicitly stated to apply despite anything to the contrary in any other Act, and furthermore are also stated to be available for the purposes of giving effect to any international agreements under section 86. Therefore, notwithstanding anything to the contrary in the AML legislation, the RMD must have access for the purposes of collecting any tax or giving effect to EOIR agreements.

340. The scope of all seven requests in the review period included trusts believed to be Cook Islands international trusts, either identifying the trusts or identifying individuals with a request for information on the trusts potentially related to the individuals. Therefore, all seven requests required checks for the existence of identity, legal and beneficial information, although such information could not always be provided when connections were not found. When obtaining identity, legal and beneficial ownership information during the review period, the RMD relied on the trustee companies, who provided information promptly. In the case of a series of three requests from an exchange partner, the partner named a trust suspected of potentially being a Cook Islands international trust, with the later two requests naming additional individuals suspected to be connected to that trust. When the FSC was unable to identify any such trust in the trust register or that the individuals were connected to any Cook Islands trust, the RMD took the further step of conducting a secondary check with the banks who also provided information promptly (confirming no client relationships with the trust or the individuals). The partner was advised of the outcome of these investigations and has raised no concerns.

Accessing banking and accounting information

341. The powers of the Collector are also sufficient to effectively access banking and accounting information. The Cook Islands authorities added that they can access information even if only the bank account number is known to the requesting jurisdiction, or only a name is provided. If the EOI request has not identified a specific bank, a notice would generally be sent to all four banks. However, if the contextual information behind the request indicates that the international bank is the most likely bank with relevant

information, a request may be sent to that bank first and further requests to the three domestic banks might only be sent if the first request obtains no result.

342. Five requests were received for banking information during the period. In practice, Cook Islands' banks are very responsive to requests from the RMD and provided information within the requested timeframe, which is 7 to 21 days depending on the circumstances.

343. Seven requests included accounting information within the scope of the request, and the information was obtained from trustee companies in a timely manner.

B.1.3 Use of information gathering measures absent domestic tax interest

344. The concept of "domestic tax interest" describes a situation where a contracting party can only provide information to another contracting party if it has an interest in the requested information for its tax purposes. The standard requires a jurisdiction to be able to use its information gathering powers, notwithstanding that it may not need the information for its tax purposes.

345. The Cook Islands has no domestic tax interest limitation with respect to its information gathering powers. The broad access powers provided to the Collector can be used to obtain and provide information for the express purpose of giving effect to Cook Islands' EOI agreements (Income Tax Act, ss. 86, 219 and 220). In practice, the Cook Islands successfully used its access powers during the review period to obtain information on or relevant to individuals, entities and legal arrangements where there was no domestic tax interest.

B.1.4 Effective enforcement provisions to compel the production of information

346. The Cook Islands has enforcement provisions, including monetary penalties and search and seizure powers, to compel the production of information (refer to the 2015 Report, paragraphs 264 to 268).

347. The Collector has the authority to enter premises without going through any special process, except for private premises (Income Tax Act, s. 219(1B)). Private premises may only be entered with the consent of the occupier or pursuant to a warrant. A Judge of the High Court is authorised to provide the Collector with an access warrant, on written application made under oath, if the judge is satisfied that the Collector's request is valid (Income Tax Act, s. 219(3)).

348. The Collector may also apply to a Judge of the High Court for the Court to hold an inquiry for the purpose of obtaining any information required for the purposes of administering or enforcing the Income Tax Act, including giving effect to international agreements (Income Tax Act, s. 221). If such an inquiry is approved, the Judge may summon and examine under oath any relevant person. The Judge has jurisdiction and authority over a witness as it would under a civil action in its ordinary jurisdiction, and a summoned witness has the same rights and liabilities as they would in such a civil action.

349. In 2017, the penalty for failure to provide information for EOI purposes on request of the Collector was increased from NZD 1 000 (EUR 504) to NZD 10 000 (EUR 5 040). Under section 206 of the Income Tax Act, this fine is imposed on every person who commits one of the following offences:

- refuses or fails to furnish any return or information as and when required by this Act, or any regulation made under this Act, or by the Collector
- wilfully or negligently makes any false return, or gives false information, or misleads or attempts to mislead the Collector or any other liability to taxation
- refuses or fails without lawful jurisdiction to duly attend and give evidence to the person, or to produce any book or paper required
- obstructs any officer acting in the discharge of the officer's duties or in the exercise of the officer's powers under this Act

- commits any other breach of this Act for which no other penalty is expressly provided or
- aids, abets, or incites any other person to commit any offence against this Act or against any regulation made under this Act.

350. In addition, every person who commits an offence in relation to sections 219 to 222 of the Income Tax Act, for which no other penalty is prescribed, is liable on conviction to a fine not exceeding NZD 10 000 (EUR 5 040) (Income Tax Act, s. 223, Income Tax Amendment Act 2017, s. 25). An Amendment to the Income Tax Act (Automatic Exchange of Financial Account Information and Other Matters) in 2016 further introduced the penalties for non-compliance with the regulations under specific Part VIA on the “Implementation of arrangements to exchange tax information or provide other mutual assistance in tax matters” as fines not exceeding NZD 10 000 (EUR 5 040) for an individual and not exceeding NZD 100 000 (EUR 50 400) for a body corporate (Income Tax (Automatic Exchange of Financial Account Information and Other Matters) Amendment Act 2016, s. 6).

351. A certificate in writing signed by the Collector certifying that a person refused or failed to furnish any return or information as and when required by the Act or by the Collector will, in the absence of proof to the contrary, be accepted as sufficient evidence in any proceedings against this person (Income Tax Act, s. 206(3)). All proceedings for offences against the Income Tax Act must be taken by way of prosecution in the High Court (Income Tax Act, s. 207).

352. During the review period, there were no EOI cases where an information holder failed to cooperate with a request for information in relation to EOI requests. No escalated action, such as prosecution or engagement with the Court, occurred, whether for EOI or domestic access purposes and no records of such action are known to exist for any years since the Income Tax Act was enacted in 1997. The usual information sources for EOI requests are government authorities and a small pool of financial institutions and trustee companies who have a long history of cooperation with the RMD. As a small jurisdiction that also has a small taxpayer base, its taxpayers are generally found to be cooperative when access powers are used for domestic purposes, so that the RMD has largely had no cause to escalate enforcement action to obtain information. However, one recent instance of the exercise of access powers for domestic purposes raises a potential concern over practice.

353. In October 2023, a request was made for information for domestic purposes, which only received a partial response. Two reminders were issued, followed by a further formal notice in November 2023 under section 220 of the Income Tax Act. No response was received to this notice, so a letter advising breach was issued in January 2024. No further action has been taken with the taxpayer. Instead, the RMD opted to pursue the information through a request to a partner jurisdiction with which the Cook Islands taxpayer had connections including to relevant related parties (also see Element C.5.2 in relation to this outgoing request, paragraph 437). The absence of any administrative penalty in the legal framework and the necessity to go to court in the Cook Islands to prosecute or to otherwise obtain judicial assistance have been cited as practical factors in the decision made, including not having an in-house legal practitioner in the RMD to engage with the court. While this case was exceptional and did not relate to an inward EOI request, and EOI related information sources have a history of being cooperative, there are a range of other types of relatively common non-compliance with tax obligations in the Cook Islands that can only be sanctioned by prosecution in court and the same administrative impediments have meant that in practice the RMD has not prosecuted any taxpayer for many years. There is therefore a clear risk that the current administrative framework and practice could affect the exercise of access powers to obtain information for EOI purposes in the future, in case of non-cooperation of an information holder. **The Cook Islands is recommended to ensure that appropriate enforcement actions, including sanctions, are taken in cases of non-compliance or delays by information holders.**

B.1.5 Secrecy provisions

354. The 2015 Report found that there were no secrecy provisions which would prevent the Cook Islands' Competent Authority from obtaining information (refer to paragraph 269). There are various secrecy provisions in Cook Islands legislation,³³ but these are overridden by the Income Tax Act (ss. 86, 219 and 220). The Income Tax Amendment Act 2011 specifically overrides any obligation to secrecy that may be imposed by any other Act (Income Tax Act, s. 86(5)). There have been no material changes to the relevant legal framework since that report.

Bank secrecy

355. Under the Banking Act 2011, "no person shall disclose information relating to the banking business of a licensee or of a depositor or other customer of the licensee" (Banking Act, s. 54). However, exceptions apply. In particular, disclosure is permitted for the purpose of discharging any duty, performing any function or exercising any power under the Banking Act or any other act (Banking Act, s. 54(2)(b)). Therefore, banking secrecy is no impediment to access powers of the Competent Authority.

356. No issues were raised by peers in connection with bank secrecy and neither the banking representatives nor the Cook Islands authorities met at the onsite visit identified any issues in practice. Banks provided information in all cases requested.

Professional secrecy

357. Attorney-client privilege exists in the Cook Islands under the Code of Ethics set out in the Schedule to the Law Practitioners Act 1993-94. Section 6 provides that "any oral or written communication between practitioners shall be accorded confidentiality, unless agreed otherwise by a client, or *as may be required by law*". Furthermore, section 18 establishes that "a practitioner should never disclose, unless lawfully ordered to do so by the Court or *as required by law*, what has been communicated to him in his capacity as a practitioner, even after he has ceased to be the client's counsel. This duty extends to his partners, to practitioners assisting him and to his employees". (*emphasis added*).

358. As found in the 2015 Report, the scope of these restrictions is in line with the standard. Privilege is not an impediment to the exercise of access powers of the Competent Authority, particularly given the combined effect of the Income Tax Act and the Cook Islands' TIEAs and the Multilateral Convention on Mutual Administrative Assistance in Tax Matters, whereby the Income Tax Act overrides legal privilege, but only so far as is necessary for the Cook Islands to meet its obligations under these international agreements (Income Tax Act, s. 86(1)). The limits on information which must be exchanged under the Cook Islands' TIEAs mirror those provided for in the OECD Model TIEA and the Multilateral Convention. Accordingly, communications between a client and an attorney or other admitted legal representative are only privileged to the extent that the attorney or other legal representative acts in his or her capacity as an attorney or other legal representative. Therefore, the attorney-client privilege in the Cook Islands is no impediment to access powers of the Competent Authority.

359. In practice, it was not necessary for the Cook Islands Competent Authority to rely on legal professionals or accountants as a source of information for EOI purposes during the review period. The RMD has no record of ever using legal professionals as an information source, neither for EOI or for domestic purposes. Given this historical lack of relevance as information sources, specialist legal practitioners did not attend the onsite visit, however some of the trustee company personnel are from the

³³ International Companies Act (ss. 227 and 249), International Trusts Act (s. 23), Limited Liability Companies Act (s. 72), Foundations Act, International Partnership Act (s. 74), Financial Transaction Reporting Act (s. 33), Financial Supervisory Commission Act 2003 (s. 31), Financial Services Development Authority Act 2009 (s. 24), the Captive Insurance Act 2013.

legal profession and the trustee companies expressed no divergence in views from the RMD on the application of legal privilege described above. In any case, no claims for any legal privilege were made by trustee companies during the review period and there was no recollection of any such claims ever being made in the past.

B.2 Notification requirements, rights and safeguards

The rights and safeguards (e.g. notification, appeal rights) that apply to persons in the requested jurisdiction should be compatible with effective exchange of information.

360. The 2015 Report found that there were no issues regarding prior notification requirements or appeal rights. The legal framework was determined to be in place and its implementation Compliant with the standard. This continues to be the case.

361. The conclusions are as follows:

Legal and regulatory framework: In place

The rights and safeguards that apply to persons in the Cook Islands are compatible with effective exchange of information.

Practical implementation of the standard: Compliant

The application of the rights and safeguards in the Cook Islands is compatible with effective exchange of information.

B.2.1 Rights and safeguards should not unduly prevent or delay effective exchange of information

Notification of the information holder

362. There are no general legal requirements for the Cook Islands' RMD to inform a person subject to a request for information of the existence of the exchange of information request prior to or after exchange. Likewise, the RMD is not obliged to inform the taxpayer concerned prior to or after contacting third parties to obtain information.

363. In practice, where information is held by another government authority (such as the Financial Supervisory Commission), the taxpayer would not be notified.

364. For all information holders, including non-government information holders, since 2022 the notices to provide information generally only quote the access power being used under the Income Tax Act, which is the same power as is applicable to obtain information for domestic purposes (but see paragraph 337 for the single exception). When, as is usual, no EOI agreement is mentioned, there are no other details in the notice that would directly lead the recipient to conclude that the notice is for EOI purposes. However, the RMD understands that trustee companies would nevertheless usually intuit that a notice is highly likely to be for EOI purposes as their clients are not generally of interest to the RMD for domestic tax purposes. Whether this intuition always leads to the trustee company informing the client is not known, however the RMD understands that they would usually inform their client, and no law prevents them from doing so. The RMD also understands that practices are different with the banks, with each of the four banks confirming that they do not inform the client when notices for information are received from the RMD.

365. None of the requests for information received by the Cook Islands in the review period asked that the Cook Islands refrain from notifying the taxpayer. In the event that a partner did include this request in the future and the information needed to be obtained from a trustee company, the Cook Islands Competent Authority advises that it would communicate with the requesting jurisdiction explaining the circumstances above and ask whether it still wished to proceed with the request in the circumstances. The requirement for RMD staff to do this is included in the EOI Manual.

Appeal rights

366. If a person or a public authority who receives a notice from the Collector believes that the notice is improper, he/she may apply to the High Court to have the notice discharged or varied within 14 days from the date of receipt (Income Tax Act, s. 220(4)). A notice may be considered to be improper where the Collector does not have a legal basis for obtaining the information, for example because the notice for information is not in conformity with the terms of a relevant international agreement (but see paragraphs 336 and 362 on whether the person would know or suspect that a notice was made under such terms).

367. On hearing such application, the Court may discharge the notice or make such variation to it as it thinks fit. If the Court decides that the notice is proper, the person or public authority may not appeal this decision. In practice, no appeal has ever taken place in relation to any notice, whether for domestic or EOI purposes.

368. The rights and safeguards (e.g. notification, appeal rights) that apply to persons in the Cook Islands are compatible with the requirement to ensure effective exchange of information.

C Exchange of information

369. Sections C.1 to C.5 evaluate the effectiveness of the Cook Islands' network of EOI mechanisms – whether these EOI mechanisms provide for exchange of the right scope of information, cover all of the Cook Islands' relevant partners, whether there were adequate provisions to ensure the confidentiality of information received, whether the Cook Islands' network of EOI mechanisms respects the rights and safeguards of taxpayers and whether the Cook Islands can provide the information requested in an effective manner.

C.1 Exchange of information mechanisms

Exchange of information mechanisms should provide for effective exchange of information.

370. The 2015 Report identified that the Cook Islands has a network of EOI agreements that allow for EOI on request in accordance with the international standard, resulting in a determination of the legal framework as “in place” and rated as Compliant.

371. In 2015, the Cook Islands' EOI network covered 17 jurisdictions. The Cook Islands signed the Multilateral Convention on Mutual Administrative Assistance in Tax Matters (the Multilateral Convention) on 28 October 2016, which entered into force on 1 September 2017. The EOI network now covers 151 jurisdictions through the Multilateral Convention and 20 TIEAs (i.e. 3 new TIEAs compared to the 2015 Report, with Belgium, Canada and the Czech Republic; see Annex 2). All TIEA partners are also covered by the Multilateral Convention, therefore all EOI relationships of the Cook Islands meet the standard.

372. The Cook Islands legal framework does not present any issue that would compromise the effective exchange of information or otherwise frustrate the application of these EOI mechanisms.

373. The legal basis on which EOI requests took place between the Cook Islands and partners over the review period was a Tax Information Exchange Agreement (TIEA) for one partner and the Multilateral Convention for three partners.

374. The conclusions are as follows:

Legal and regulatory framework: In place

No material deficiencies have been identified in the EOI mechanisms of the Cook Islands.

Practical implementation of the standard: Compliant

No issues have been identified that would affect EOIR in practice.

Other forms of exchange of information

375. In addition to exchange of information on request, the Cook Islands is also involved in automatic exchange of financial account information. The first non-reciprocal exchanges took place in September 2018 and reciprocal exchanges started as from 2019. There is no use of spontaneous exchanges.

C.1.1 Standard of foreseeable relevance

376. The 2015 Report concluded the Cook Islands' TIEAs allowed for exchange of information in accordance with the standard of foreseeable relevance. This is also the case for the three TIEAs signed since that report, as well as for the Multilateral Convention.

Clarifications and foreseeable relevance in practice

377. The peer input received for the current review did not raise any concerns with the Cook Islands' interpretation or practices with foreseeable relevance of requests made by peers. The Cook Islands confirmed that the RMD verifies all information to establish the foreseeable relevance of incoming and outgoing requests. There is a manual giving guidance by referring to Article 26 of the Model Taxation Convention and its Commentary on fishing and foreseeable relevance. The Cook Islands require incoming EOI requests to include background information, including an explanation of the tax purpose for which the information is requested, the type of investigations carried out by the requesting authority and a description of the efforts made by the requesting jurisdiction to obtain the information domestically. The Cook Islands sought clarification on three requests received during the review period, specifically in an effort to identify whether a trust was a Cook Islands trust, ultimately determining and communicating to the partner that the trust had no connection to the Cook Islands.

Group requests

378. The Cook Islands' EOI agreements and domestic law do not contain language prohibiting group requests. The EOI Manual of the Cook Islands interprets them as allowing the provision of information requested pursuant to group requests and refers to Article 26 of the Model Taxation Convention and its commentaries.

379. The Cook Islands did not receive any group requests during the period under review. The EOI Manual includes a section on the "Foreseeable Relevance of Group Requests". This section explains that the standard of foreseeable relevance can be met in respect of a group of taxpayers that are not individually identified, if the requesting jurisdiction provides: (i) a detailed description of the group and the facts and circumstances that led to the request, (ii) an explanation of the applicable law and why there is reason to believe that the taxpayers in the group have been non-compliant with that law, and (iii) an explanation of how the requested information would assist in determining compliance by the taxpayers in the group. The EOI Manual also usefully explains that a third party could have contributed to the non-compliance of the taxpayers in the group. This procedure is aligned to the OECD Commentary to Model Article 26. EOI staff demonstrated awareness of the concepts and would be expected to refresh their understanding through reference to the Manual in the event that a group request is received. The Cook Islands made three group requests in the review period, which were accepted and actioned by the partner, demonstrating familiarity in the Cook Islands with the requirements of group requests.

C.1.2 Provide for exchange of information in respect of all persons

380. All TIEAs signed by the Cook Islands contain a provision concerning jurisdictional scope which is equivalent to Article 2 of the OECD Model TIEA and which conforms to the international standard. The Multilateral Convention also allows for exchange of information in respect of all persons.

381. The Cook Islands states that it did not receive any request for information during the review period with respect to persons who were not residents either of the Cook Islands or the requesting jurisdiction. The Cook Islands EOI Manual states that foreseeably relevant covers information in respect of all persons and is not limited to persons resident in the jurisdiction. No peers raised issues on this subject.

C.1.3 Obligation to exchange all types of information

382. All TIEAs signed by the Cook Islands contain a provision similar to Article 5(4) of the OECD Model TIEA, which ensures that the requested jurisdiction shall not decline to supply the information requested solely because it is held by a financial institution, nominee or person acting in an agency or a fiduciary capacity, or because it relates to ownership interests in a person. The Multilateral Convention also foresees the obligation to exchange all types of information.

383. Over the review period, the Cook Islands exchanged multiple types of information, including legal and beneficial ownership, banking and accounting information. It did not decline any requests for any reason. The EOI Manual does not provide for declining a request for any reason that would be inconsistent with its obligation to exchange all types of information. Peers did not raise any concerns in this regard in the inputs provided.

C.1.4 Absence of domestic tax interest

384. The concept of “domestic tax interest” describes a situation where a contracting party can only provide information to another contracting party if it has an interest in the requested information for its own tax purposes. An inability to provide information based on a domestic tax interest requirement is not consistent with the standard.

385. All TIEAs concluded by the Cook Islands contain a provision similar to Article 5(2) of the OECD Model TIEA, which allows information to be obtained and exchanged notwithstanding it is not required for a domestic tax purpose. The Multilateral Convention also allows for exchange of information regardless of a domestic tax interest.

386. Commonly, EOI requests received by the Cook Islands relate to information with which it has no domestic tax interest, and this was the case for all seven requests received in the review period. The Cook Islands provided responses in all cases and peers did not raise any concerns in this regard in the inputs provided.

C.1.5 and C.1.6 Civil and criminal tax matters

387. The Cook Islands’ network of agreements provides for exchange in both civil and criminal matters, with no dual criminality restriction. In practice, four of the requests received in the review period related to criminal tax matters and these were accepted and actioned by the Cook Islands without regard to any dual criminality condition.

C.1.7 Provide information in specific form requested

388. The Cook Islands’ agreements have no restrictions that would prevent it from providing information in a specific form.

389. The Collector has not been requested to provide information in a particular form during the review period but does not foresee difficulties in providing information in a requested form, for example as a sworn affidavit.

C.1. 8 and C.1.9 Signed agreements should be in force and be given effect through domestic law

390. All the EOI instruments of the Cook Islands are in force.

391. The Cook Islands has in place domestic legislation necessary to give effect to the terms of its EOI instruments, as described in paragraphs 315-319 in the 2015 Report. The following table summarises outcomes of the analysis under element C.1 in respect of the Cook Islands' EOI mechanisms.

EOI mechanisms

Total EOI relationships, including bilateral and multilateral or regional mechanisms		151
In force		144
In line with the standard		144
Not in line with the standard		0
Signed but not in force		7*
In line with the standard		7
Not in line with the standard		0
Total bilateral EOI relationships not supplemented with multilateral or regional mechanisms		0

Note: *The Multilateral Convention is not in force in Algeria, Côte d'Ivoire, Gabon, Honduras, Togo, the United States and Zimbabwe.

C.2 Exchange of information mechanisms with all relevant partners

The jurisdiction's network of information exchange should cover all relevant partners, meaning those jurisdictions who are interested in entering into an information exchange arrangement.

392. The 2015 Report recommended the Cook Islands to continue expanding its EOI network. The Cook Islands signed the Multilateral Convention on 28 October 2016 and ratified it on 29 May 2017 with entry into force date on 1 September 2017. The Cook Islands' EOI network now covers 151 jurisdictions through a combination of 20 TIEAs and the Multilateral Convention.

393. No Global Forum members indicated, in the preparation of this report that the Cook Islands refused to negotiate or sign an EOI instrument with it. As the standard ultimately requires that jurisdictions establish an EOI relationship up to the standard with all partners who are interested in entering into such relationship, the Cook Islands confirms that it will continue to conclude EOI agreements with any new relevant partner who would so require.

394. The conclusions are as follows:

Legal and regulatory framework: In place

The network of information exchange mechanisms of the Cook Islands covers all relevant partners.

Practical implementation of the standard: Compliant

The network of information exchange mechanisms of the Cook Islands covers all relevant partners.

C.3 Confidentiality

The jurisdiction's information exchange mechanisms should have adequate provisions to ensure the confidentiality of information received.

395. The 2015 Report concluded that the confidentiality provisions in the Cook Islands' EOI instruments and domestic laws were in line with the standard. This continues to be the case.

396. The Cook Islands has policies and organisational procedures that ensure the compliance with confidentiality requirements in practice.

397. The conclusions are as follows:

Legal and regulatory framework: In place

No material deficiencies have been identified in the EOI mechanisms and legislation of the Cook Islands concerning confidentiality of information received.

Practical implementation of the standard: Compliant

No material deficiencies have been identified and the confidentiality of information exchange is effective.

C.3.1 Information received: disclosure, use and safeguards

398. All of the Cook Islands' EOI instruments have secrecy provisions ensuring the confidentiality of information exchanged and limiting the disclosure and use of information received. In addition, section 86(1) of the Income Tax Act, as amended, provides that EOI provisions have effect "according to their tenor" notwithstanding anything to the contrary in any enactment. This means that the provisions pertaining to confidentiality of information form part of the body of Cook Islands domestic law. The Income Tax Act expressly provides that the above secrecy provisions shall not prevent the Collector from disclosing such information "as is required to be disclosed" under EOIR instruments (Income Tax Act, s. 86(5)).

399. The confidentiality provisions of the Cook Islands' EOIR instruments are backed up by the general secrecy provisions in section 7 of the Income Tax Act: The Collector and every officer shall not communicate any matters relating to the Income Tax Act to any person, except for the purpose of giving effect to this Act or any other enactment imposing taxes or duties payable to the Crown. In 2017, an Income Tax Amendment Act was introduced to enhance the secrecy provisions to expressly prevent the unauthorised disclosure of information held under EOI instruments with other jurisdictions and increase penalty for contravening the secrecy provision from NZD 500 (EUR 252) to NZD 5 000 (EUR 2 520) (Income Tax Amendment Act 2017, s. 5). A prison sentence of not more than six months can also be imposed in accordance with the same provision in case of breach of confidentiality. The Cook Islands confirmed that the secrecy provisions continue to apply after the cessation of employment.

400. The Cook Islands has an Official Information Act 2008³⁴ that allows the disclosure of the communications between jurisdictions to persons who request for such disclosure, unless disclosure would prejudice the entrusting of information to the Government of Cook Islands on a basis of confidence by the government of any other country or an agency of such a government or by any international organisation (Official Information Act, s. 6). The Cook Islands authorities have never received a request for disclosure

³⁴ Under section 5 of the Official Information Act 2008, a person has rights to access information relating to himself unless there is a good reason to withhold it under section 6.

of information received pursuant to a TIEA or the Multilateral Convention but are confident that the exception of section 6 would apply. In addition, section 7 of the Income Tax Act specifies that information can be communicated only for the purpose of giving effect to this Act or any other enactment imposing taxes or duties payable to the Crown. The Official Information Act does not impose taxes or duties payable to the Crown. In practice, freedom of information requests received in the domestic tax context have been refused where appropriate, including where a request was not made in good faith.

401. The Terms of Reference, as amended in 2016, clarified that although it remains the rule that information exchanged cannot be used for purposes other than tax purposes, an exception applies where the EOI agreement provides that the information may be used for such other purposes under the laws of both contracting parties and the competent authority supplying the information authorises the use of information for purposes other than tax purposes. The Cook Islands' Competent Authority is restricted from granting authorisation to use the information for other purposes, also when a requesting partner seeks the Cook Islands' consent, by the section 7 of the Official Information Act 2008 maintaining secrecy provisions which has effect on the Competent Authorities' ability to authorise requests for non-tax purposes. In general, use of information for non-tax purposes is not permitted in the Cook Islands pursuant to section 7(1) of the Income Tax Act 1997. There are no other domestic legal provisions giving effect to use of information for non-tax purposes. In practice, the Cook Islands reported that over the review period no requesting partner sought the Cook Islands' consent to utilise the information for non-tax purposes. One request of this nature was made by a partner in an earlier year (before the current review period), which was declined by the Cook Islands.

C.3.2 Confidentiality of other information

402. The confidentiality provisions in the Cook Islands' EOI instruments and domestic law do not draw a distinction between information received in response to requests and information forming part of the requests themselves. All other information, such as background documents, communications between the requesting and the requested authorities and within the tax authorities, are treated confidentially.

403. EOI data is treated separately from the rest of the tax data and stored securely in the Collector's office. Requests received from partners are not provided to other RMD staff or information holders when seeking requested information. Templates used by the EOI unit for the purposes of obtaining information from taxpayers, banks and other third parties are consistent with distilling from an exchange partner's request the minimum information necessary to action the request. In general, nothing in the templates or notices sent in practice identifies that the request for information relates to an EOI request, and the access powers quoted are the same as used for domestic purposes. In the exceptional scenario described in paragraph 337 where it is necessary to identify the international agreement that is relevant to the information notice, that minimum information is provided and nothing more.

Confidentiality in practice

404. The Cook Islands' policies and procedures relevant to confidentiality for EOI are a combination of government wide requirements and specific policies and procedures developed by the RMD for internal use.

Human resources

405. The Cook Island's government has centralised human resource management in the Corporate Service Department, which conducts background checks of prospective government employees. In accordance with the Government Recruitment Policy Shortlisted, applicants must declare any criminal convictions or pending criminal court proceedings. Furthermore, the policy requires the recruitment panel to conduct verifications of information provided by the applicant in terms of references, education and

previous employment. For contractors, the Contracting for Services Policy requires the RMD to perform due diligence of prospective contractors as a part of the procurement process. The due diligence requires relevant references from previous or current clients. Background checks, including criminal background checks, are conducted in proportion to the nature of the project being contracted out and the risk level.

406. The Corporate Services Department also has oversight responsibility for training governmental employees, including RMD employees. In addition to “on-the-job” continuous training, training material is provided via an online repository and includes subjects related to information security. All staff members receive emails with notification of any changes in policies or security obligations. New employees are subject to an induction training which includes coverage of confidentiality requirements, conflict and general information security requirements. Subsequently, managers are responsible for assessing staff’s knowledge of and adherence to information security requirements as a part of the regular performance reviews and may assign specific training to employees when the need is identified. The EOI unit participates in various events provided by the Global Forum on aspects of information exchange and information security.

Physical and IT security measures

407. Access past the public area of the RMD office is restricted. Visitors that need access to other areas must be registered with the RMD employee responsible for the visit. Visitors sign a visitor log and are required to carry visitor passes. Visitors are escorted at all times. The same applies to building maintenance staff and contractors. There are surveillance cameras strategically placed outside and inside RMD’s building with active monitoring during office hours.

408. Access to the dedicated area where the secure perimeter is housed is strictly controlled and only EOI unit staff members have access to it. Entrance to the area is guarded by surveillance cameras and electronic keypads. The Collector’s office where EOIR documentation is stored and the office of the Senior Tax Auditor which is a part of the secure perimeter are locked and only the Collector and the Senior Tax Auditor have access to the keys.

409. Access rights to governmental systems and applications, including EOI records, are role based, and access needs are identified during the onboarding process and must be approved by relevant managers. Privileged access rights must be approved by the Collector. The provisioning, change and de-provisioning of accesses are tracked. All access rights are reviewed regularly by the Collector of the RMD and the ICT Division. All users are unique and authenticate themselves with a username and password. Passwords are automatically set to renew every three months and there are adequate requirements for their complexity.

Identification and storage of exchanged information

410. If a partner’s information request or a response to a Cook Island’s request is paper based, each page is clearly stamped with a message to denote its status under an international agreement and with a warning that its use and disclosure is subject to that agreement. Paper documents are stored in a lockable cabinet located within the secure perimeter, accessible only to the Competent Authority and authorized personnel. For electronic EOI records, a designated locked folder is used specifically for international tax, accessible only to the Competent Authority and EOI unit staff. If not already digitally watermarked by the partner, the Cook Islands adds a watermark to show the treaty status of the document. Upon expiry and when deemed necessary, physical documents are disposed of in accordance with the RMD Disposal of Property Policy – either incinerated or burned under direct supervision by a designated staff member, ensuring complete destruction.

Breach monitoring and response

411. There is a Security Incident and Event Management tool in place where logs are gathered and automatically analysed with built-in use cases that generate alerts based on those definitions. It collects logs from workstations via the Endpoint Detection and Response, from firewalls, web servers, email servers, and office applications. An oath of secrecy is signed by all staff and there is an obligation for them to maintain and report to the Collector any potential breaches of secrecy. All internal and external emails can be monitored at the instruction of the Collector. The ICT Division procures external audit services from consulting companies to cover IT audits, and a complete IT audit (organisational and technical) of the RMD was recently conducted and the secure perimeter was in scope for that audit.

412. In practice, the RMD advises that there have been no instances where information received by the Competent Authority has been improperly disclosed. The Cook Islands' peers have not raised any issues regarding confidentiality during the period of review.

C.4 Rights and safeguards of taxpayers and third parties

The information exchange mechanisms should respect the rights and safeguards of taxpayers and third parties.

413. The standard allows requested parties not to supply information in response to a request in certain identified situations where an issue of trade, business or other legitimate secret arises.

414. Pursuant to all of the Cook Islands' EOI instruments, the contracting parties are not obliged to provide information which would disclose any trade, business, industrial, commercial or professional secret or trade process, or information the disclosure of which would be contrary to public policy. The 2015 Report concluded that the Cook Islands' legal framework and practices concerning rights and safeguards of taxpayers and third parties was in line with the standard.

415. Communication between an attorney or other legal representative and a client are only privileged to the extent that the attorney or other legal representative acts in his or her capacity as an attorney or other legal representative. Where attorney-client privilege is more broadly defined, it does not provide valid grounds on which to decline a request for exchange of information (see also element B.1.5).

416. The EOI instruments of the Cook Islands meet the standard for the protection and rights of taxpayers and third parties.

417. The Cook Islands authorities advised that there have been no practical difficulties experienced in responding to EOI requests due to the application of rights and safeguards in the Cook Islands and peers raised no concerns for the period under review.

418. The conclusions are as follows:

Legal and regulatory framework: In place

No material deficiencies have been identified in the information exchange mechanisms of the Cook Islands in respect of the rights and safeguards of taxpayers and third parties.

Practical implementation of the standard: Compliant

No material deficiencies have been identified in respect of the rights and safeguards of taxpayers and third parties.

C.5 Requesting and providing information in an effective manner

The jurisdiction should request and provide information under its network of agreements in an effective manner.

419. The 2015 Report issued a “Largely Compliant” rating for Element C.5 and did not identify specific issues or legal restrictions on the ability of the Cook Islands’ Competent Authority to provide information in an effective manner. At that time, the volume of requests received was small (five in the review period). While the 2015 Report found that resources and organisational processes for EOI were adequate so far, a recommendation was made that the Cook Islands continue to monitor the practical implementation, particularly in case of any significant changes in volumes of EOI requests.

420. Since 2015, the volume of inward EOI requests to the Cook Islands has scarcely increased (seven in the current review period) and remains relatively low. In the current review period the outward volume was relatively low at six in total, which was in line with volumes in prior years, and is therefore unlikely to have strained the capacity of the assigned resources. As described later in this section, the resources and organisational processes in place are considered to be sufficient for current and foreseeable future volumes of EOI requests. The Cook Islands is now rated Compliant with Element C.5 of the standard.

421. The conclusions are as follows:

Legal and regulatory framework

This element involves issues of practice. Accordingly, no determination has been made.

Practical implementation of the standard: Compliant

No material deficiencies have been identified in exchange of information in practice.

C.5.1 Timeliness of responses to requests for information

422. In order for EOI to be effective, it needs to be provided in a timeframe that allows tax authorities to apply the information to the relevant cases. If a response is provided but only after a significant lapse of time, the information may no longer be of use to the requesting authorities. This is particularly important in the context of international co-operation as cases in this area must be of sufficient importance to warrant making a request.

423. There are no legal restrictions on the ability of the Cook Islands’ Competent Authority to respond to requests within 90 days of receipt by providing the information requested or by providing an update on the status of the request.

424. During the review period from 1 April 2022 to 31 March 2025, the Cook Islands received seven requests for information,³⁵ coming from four exchange partners. Experience over many years has shown that the main exchange partners are Australia, New Zealand and the United Kingdom, although in the current review period partners included Argentina and Lithuania.

³⁵ The Cook Islands counts each request with multiple taxpayers as one request, i.e. if a partner jurisdiction is requesting information about four persons in one request, the Cook Islands counts this as one request. If a further request is made that relates to a previous request, the Cook Islands may count this as a new request but only if it relates to persons not identified in the original request.

425. Two requests were received in each of the years ending 31 March 2023 and 31 March 2024, and three requests were received in the year ending 31 March 2025. Two requests took slightly longer than 90 days to be responded to, a further three took longer but still within 180 days, and the remaining two were answered within one year. No requests were declined or withdrawn.

426. The information sought in the requests generally related to trusts and persons – individuals or companies – believed to be connected to trusts, with the types of information requested relating to legal ownership and beneficial ownership information (all seven cases), accounting information (all seven cases) and banking information (five cases). Additionally, other types of information were requested in five cases.

427. The information requested is generally not held by the tax administration and so must be obtained from third parties, commonly from banks and the trustee companies. Banks are very responsive and reply quickly. Trustee companies tend to take longer, with the average time to respond to requests in the review period being 28 days. All requests took longer than 90 days to provide a complete response to the partners. The Cook Islands explained that two were only slightly beyond 90 days, one was due to additional efforts by the Cook Islands in seeking records relating to a struck off company even though this was beyond the minimum six-year retention period, and three requests required follow up with the partner to clarify identity information. Reasons have not been provided in one case.

428. These partners were satisfied with the responses and raised no concerns, other than one partner mentioning that it did not receive a status update within 90 days for a request that was actioned between 91 and 180 days of it making the request.

Status updates and communication with partners

429. The standard requires jurisdictions to provide an update on the status of requests when they are unable to respond to a request within 90 days. The provision of status updates is documented in the Cook Islands' EOI manual and electronic calendar reminders are set to ensure these are not missed. Where information is not readily available, the Cook Islands must inform the treaty partner that the information is being sought, within 90 days from receipt of the request.

430. One partner reported not having received a status update. The Cook Islands states that a status update was prepared to be sent to the partner within the required timeframe and in accordance with its procedures, however through an oversight was not sent. This may be a one-off case given that EOI staff demonstrated that they are conversant with the requirements and that procedures are documented, and it is also noted that the full response to the request was sent to the partner soon after the 90 days from the receipt of the original request.

C.5.2 Organisational processes and resources

Organisation of the competent authority

431. The Competent Authority for EOI purposes is the Collector of the RMD, which is a division of the Ministry of Finance and Economic Management. The RMD is the tax and customs collection authority for the Cook Islands. Two additional personnel (out of 35 staff in the RMD in total) are allocated the responsibility for EOI matters (both EOIR and AEOL), being a Tax Examiner and a Senior Tax Auditor, who report directly to the Collector. A third person with several years' experience in EOI and other international tax matters is also available as an advisor. The details of the Competent Authority are identifiable on the tax section of the Ministry of Finance and Economic Management website, and with the Global Forum. Updates as to contact details of the EOI unit are provided to most frequent EOI partners, usually by telephone conferences.

432. The Collector attends Global Forum meetings as well as EOI training sessions. One of the two EOI staff has attended in person and online workshops hosted by the Global Forum and the Asian Development Bank that have covered EOI, and both EOI staff are engaged in on-the-job training guided by the advisor.

Procedure to handle incoming requests

433. Procedures for handling EOI requests are set out in a step-by-step guide developed by the Collector. Where relevant, the Global Forum model manual on EOI has also been consulted and templates from that manual have been adapted for use when the need has arisen. Staff demonstrated some familiarity with the manual as well as an ability to apply those generic procedures to the Cook Islands appropriately, although as at December 2025 it had not been tailored as a complete Cook Islands specific manual. To ensure full business continuity in case of change of staff, the Cook Islands should complete the necessary adjustments of the model manual to make a Cook Island specific manual (see Annex 1).

434. All EOI requests are sent to, or by, the Collector. The Collector is closely involved in EOI matters, which is facilitated by the direct reporting of EOI staff to her. While the EOI staff carry out the administrative steps in actioning requests in accordance with documented procedures, including checking that documents and information obtained properly responds to a request, the low volumes of requests also allow the Collector to be closely engaged in ensuring the adequacy of information gathered. A spreadsheet-based register is used to track requests, with shared (and restricted) electronic calendars and folders also used by the responsible staff facilitating management of request cases.

435. The 2015 Report concluded that the Cook Islands had committed resources and had in place organisational processes for exchange of information that appeared to be adequate for dealing with incoming EOI requests. Since the Cook Islands had received relatively few requests during that review period, it was recommended to continue to monitor the practical implementation of the organisational processes of the EOI unit, in particular taking account of any significant changes to the volume of incoming EOI requests, to ensure that they are sufficient for effective EOI in practice. Since 2015, the volume of inward EOI requests to the Cook Islands has not materially increased (seven in the current review period) so remains relatively low in absolute terms. The number of outward requests during the current review period was also relatively low at six in total. This is despite the scope of exchange partners covered by exchange agreements substantially increasing due to the Cook Islands becoming a party to the Multilateral Convention. As the volumes have been relatively stable over the long term, the resources and organisational processes in place are considered to be sufficient for current and foreseeable future volumes of EOI requests.³⁶

Outgoing requests

436. The 2016 Terms of Reference includes an additional requirement to ensure the quality of requests made by assessed jurisdictions. Over the review period, the Cook Islands made six outbound EOI requests, three of which were group requests. No requests for clarification were made by the relevant partners. Outbound requests are coordinated through the EOI unit, with documented procedures included in the EOI manual, and a template is used by both the tax auditor wishing to make the request and the EOI staff that evaluate the appropriateness of the request before sending it.

437. One outward request may not have been fully appropriate in the circumstances or at least may have been prematurely made before all reasonable domestic measures had been pursued, see also paragraph 353. This request related to information that had been formally requested from a Cook Islands

³⁶ Additional evidence that the volumes of requests have remained low and relatively stable over the long term is that in the three-year period ending 31 March 2021, nine requests were received by the Cook Islands, and it sent three requests.

taxpayer, for which the taxpayer had failed to cooperate. Under the Income Tax Act, the Cook Islands could have taken steps to seek assistance from the High Court to obtain the requested information. However, the RMD opted not to escalate action through these domestic judicial procedures, instead it only sought such information from an exchange partner whose taxpayer was a contractual counterparty with, and a related party of, the Cook Islands taxpayer. Under the standard, a jurisdiction should generally take all reasonable measures to obtain information domestically before seeking it from an exchange partner. Whether or not those domestic measures could have been disproportionately difficult is not known as they have never been used. However, the Cook Islands authority assures that it is an isolated case caused by staff unfamiliar with the requirements at the time. The EOI Manual has since been updated with instructions for staff on measures to be taken before making a request of an exchange partner. The Cook Islands should ensure that it only makes requests for information from partners when it has taken all reasonable steps to obtain that information domestically (see Annex 1).

C.5.3 Unreasonable, disproportionate or unduly restrictive conditions for EOI

438. There are no factors or issues identified in the Cook Islands that could unreasonably, disproportionately or unduly restrict effective EOI.

Annex 1. List of in-text recommendations

The Global Forum may identify issues that have not had and are unlikely in the current circumstances to have more than a negligible impact on EOIR in practice. Nevertheless, the circumstances may change, and the relevance of the issue may increase. In these cases, a recommendation may be made; however, it should not be placed in the same box as more substantive recommendations. Rather, these recommendations can be stated in the text of the report. A list of such recommendations is reproduced below for convenience.

- **Element A.1**
 - The Cook Islands should clarify in guidance the operation of the definition of beneficial owner in relation to professional advisors and managers (paragraphs 134 and 149).
 - The Cook Islands should ensure that ownership information is available in the event that bearer shares are issued (paragraph 162).
 - Identity information on partners in domestic partnerships is required to be available under tax law, however there is a very narrow circumstance where this might not be the case if all partners are entities or legal arrangements. The Cook Islands should ensure that all domestic partnerships relevant under the standard are identifiable through tax registrations and/or through the filing of tax returns (paragraph 176).
- **Element A.2**
 - The Cook Islands should ensure that any approvals to retain accounting records for less than seven completed accounting periods does not interfere with the availability of accounting information as required by the standard (see paragraph 251).
- **Element C.5**
 - To ensure full business continuity in case of change of staff, the Cook Islands should complete the necessary adjustments of the model manual to make a Cook Islands specific manual (paragraph 433).
 - The Cook Islands should ensure that it only makes requests for information from partners when it has taken all reasonable steps to obtain that information domestically (paragraph 437).

Annex 2. List of Cook Islands' EOI mechanisms

Bilateral international agreements for the exchange of information

	EOI PARTNER	Type of agreement	Signature	Entry into force
1.	Australia	TIEA	27-Oct-09	02-Sept-11
2.	Belgium	TIEA	8-Sept-15	18-Dec-15
3.	Canada	TIEA	15-Jun-15	16-Dec-17
4.	Czech Republic	TIEA	24-Feb-15	10-May-16
5.	Denmark	TIEA	16-Dec-09	02-Oct-11
6.	Faroe Islands	TIEA	16-Dec-09	12-Nov-13
7.	Finland	TIEA	16-Dec-09	02-Oct-11
8.	France	TIEA	15-Sep-10	16-Oct-11
9.	Germany	TIEA	03-Apr-12	11-Dec-13
10.	Greenland	TIEA	16-Dec-09	10-Jan-13
11.	Iceland	TIEA	16-Dec-09	25-Jun-12
12.	Ireland	TIEA	08-Dec-09	02-Sep-11
13.	Italy	TIEA	17-May-11	17-Feb-15
14.	Korea	TIEA	31-May-11	05-Mar-12
15.	Mexico	TIEA	22-Nov-10	02-Mar-12
16.	Netherlands	TIEA	23-Oct-09	07-Sep-11
17.	New Zealand	TIEA	09-Jul-09	13-Dec-11
18.	Norway	TIEA	16-Dec-09	06-Oct-11
19.	South Africa	TIEA	25-Oct-13	08-Jan-15
20.	Sweden	TIEA	16-Dec-09	06-Oct-11

Convention on Mutual Administrative Assistance in Tax Matters (as amended)

The Convention on Mutual Administrative Assistance in Tax Matters was developed jointly by the OECD and the Council of Europe in 1988 and amended in 2010 (the Multilateral Convention).³⁷ The Multilateral Convention is the most comprehensive multilateral instrument available for all forms of tax cooperation to tackle tax evasion and avoidance, a top priority for all jurisdictions.

The original 1988 Convention was amended to respond to the call of the G20 at its April 2009 London Summit to align it to the standard on exchange of information on request and to open it to all countries, in particular to ensure that developing countries could benefit from the new more transparent environment. The Multilateral Convention was opened for signature on 1 June 2011.

The Multilateral Convention was signed by the Cook Islands on 28 October 2016 and entered into force on 1 September 2017. The Cook Islands can exchange information with all other Parties to the Multilateral Convention.

³⁷ The amendments to the 1988 Convention were embodied into two separate instruments achieving the same purpose: the amended Convention (the Multilateral Convention) which integrates the amendments into a consolidated text, and the Protocol amending the 1988 Convention which sets out the amendments separately.

The Multilateral Convention is in force in respect of the following jurisdictions: Albania, Andorra, Anguilla (extension by the United Kingdom), Antigua and Barbuda, Argentina, Armenia, Aruba (extension by the Netherlands), Australia, Austria, Azerbaijan, Bahamas, Bahrain, Barbados, Belgium, Belize, Benin, Bermuda (extension by the United Kingdom), Bosnia and Herzegovina, Botswana, Brazil, British Virgin Islands (extension by the United Kingdom), Brunei Darussalam, Bulgaria, Burkina Faso, Cabo Verde, Cameroon, Canada, Cayman Islands (extension by the United Kingdom), Chile, China (People's Republic of), Colombia, Cook Islands, Costa Rica, Croatia, Curaçao (extension by the Netherlands), Cyprus,³⁸ Czech Republic, Denmark, Dominica, Dominican Republic, Ecuador, El Salvador, Estonia, Eswatini, Faroe Islands (extension by Denmark), Fiji, Finland, France, Georgia, Germany, Ghana, Gibraltar (extension by the United Kingdom), Greece, Greenland (extension by Denmark), Grenada, Guatemala, Guernsey (extension by the United Kingdom), Hong Kong (China) (extension by China), Hungary, Iceland, India, Indonesia, Ireland, Isle of Man (extension by the United Kingdom), Israel, Italy, Jamaica, Japan, Jersey (extension by the United Kingdom), Jordan, Kazakhstan, Korea, Kuwait, Latvia, Liberia, Lebanon, Liechtenstein, Lithuania, Luxembourg, Macau (China) (extension by China), Madagascar, Malaysia, Maldives, Malta, Marshall Islands, Mauritania, Mauritius, Mexico, Moldova, Monaco, Mongolia, Montenegro, Montserrat (extension by the United Kingdom), Morocco, Namibia, Nauru, Netherlands, New Zealand, Nigeria, Niue, Republic of North Macedonia, Norway, Oman, Pakistan, Panama, Papua New Guinea, Paraguay, Peru, Philippines, Poland, Portugal, Qatar, Romania, Russia, Rwanda, Saint Kitts and Nevis, Saint Lucia, Saint Vincent and the Grenadines, Samoa, San Marino, Saudi Arabia, Senegal, Serbia, Seychelles, Singapore, Sint Maarten (extension by the Netherlands), Slovak Republic, Slovenia, South Africa, Spain, Sweden, Switzerland, Thailand, Trinidad and Tobago, Tunisia, Türkiye, Turks and Caicos Islands (extension by the United Kingdom), Uganda, Ukraine, United Arab Emirates, United Kingdom, Uruguay, Vanuatu and Viet Nam.

In addition, the Multilateral Convention was signed by the following jurisdictions, where it is not yet in force: Algeria, Côte d'Ivoire, Gabon, Honduras, Togo, United States (the original 1988 Convention is in force since 1 April 1995, the amending Protocol was signed on 27 April 2010) and Zimbabwe.

³⁸ Note by Türkiye: The information in this document with reference to "Cyprus" relates to the southern part of the Island. There is no single authority representing both Turkish and Greek Cypriot people on the Island. Türkiye recognises the Turkish Republic of Northern Cyprus (TRNC). Until a lasting and equitable solution is found within the context of the United Nations, Türkiye shall preserve its position concerning the "Cyprus issue".

Note by all the European Union Member States of the OECD and the European Union: The Republic of Cyprus is recognised by all members of the United Nations with the exception of Türkiye. The information in this document relates to the area under the effective control of the Government of the Republic of Cyprus.

Annex 3. Methodology for the review

The Cook Islands underwent a combined review (Phase 1 and Phase 2) of its legal and regulatory framework and the implementation of the framework in practice in 2015. The 2015 Review was conducted according to the terms of reference approved by the Global Forum in February 2010 and the Methodology used in the first round of reviews.

This second-round peer review is based on the 2016 Terms of Reference and has been conducted in accordance with the 2016 Methodology for peer reviews and non-member reviews, as approved by the Global Forum in October 2015 and amended in 2020 and 2021, and the Schedule of Reviews.

The Round 2 review of the Cook Islands was launched in September 2021. Due to the COVID-19 pandemic, the onsite visit that was scheduled to take place in December 2021 could not take place. Consequently, the review of the Cook Islands has been conducted in two phases, with a desk-based Phase 1 review leading to the adoption in August 2022 of the report assessing the legal and regulatory framework of the Cook Islands against the 2016 Terms of Reference (Phase 1 report). The subsequent scheduling of the Phase 2 review with an onsite visit then took account of the limited experience of the Cook Islands in exchange of information, with the visit ultimately taking place in November 2025. The present review complements the first report with an assessment of the practical implementation of the standard, including in respect of exchange of information requests received and sent during the review period from 1 April 2022 to 31 March 2025. Changes made to the legal framework since the Phase 1 review as at 6 May 2022 have also been assessed.

The evaluation is based on information available to the assessment team including the exchange of information arrangements signed, laws and regulations in force or effective as at 7 May 2026, Cook Islands' responses to the EOIR questionnaire, inputs from partner jurisdictions, as well as information provided by the Cook Islands' authorities during the on-site visit that took place from 24 to 26 November 2025 in Avarua, Cook Islands. As the Cook Islands has limited experience in exchange of information on request, the review of this jurisdiction was conducted in two phases, in accordance with the new section V of the Methodology, as amended in 2021. Information on each of the Cook Islands' reviews is listed below.

Summary of reviews

Review	Assessment team	Period under review	Legal framework as of	Date of adoption by Global Forum
Round 1 Phase 1	Mr Oscar Echenique Quintana (Mexico); Mr Bevon Sinclair (Jamaica); Ms Renata Fontana (Global Forum Secretariat)	Not applicable	April 2012	June 2012
Round 1 Phase 2	Mr Diego Marvan Mas (Mexico); Mr Jon Swerdlow (United Kingdom); Mr Mikkel Thunnissen and Ms Melissa Dejong (Global Forum Secretariat)	1 July 2010 – 30 June 2013	December 2014	March 2015
Round 2 Phase 1	Mr Hiroyuki Nakamichi (Japan); Ms Nangalama Phioner (Uganda); Ms Kuralay Baisalbayeva (Global Forum Secretariat)	Not applicable	6 May 2022	5 August 2022
Round 2 Phase 2	Mr Koichi Machigashira (Japan); Ms Phioner Nangalama (Uganda); Mr Ricky Herbert	1 April 2022 to 31 March 2025	7 May 2026	23 July 2026

List of laws, regulations and other materials received

Bank of the Cook Islands Act 2003

Banking Act 2011

Captive Insurance Act 2013

Companies Act 1970-71 and Companies Act 2017

Financial Transactions Reporting Act 2004 (FTRA) and Financial Transactions Reporting Amendment Act 2013

Foundations Act 2012 and Foundations Amendment Act 2013

Income Tax Act 1997

Income Tax Amendment Act 2011; Income Tax Amendment Act 2013; Income Tax Amendment Act 2017

Income Tax (Automatic Exchange of Financial Account Information and Other Matters) Amendment Act 2016

Income Tax (Company Residence) Amendment Act 2021

Insurance Act 2008

International Companies Act 1981-82 (ICA) and International Companies Amendment Act 2013

International Companies (Evidence of Identity) Regulations 2004

International Partnership Act 1984 (IPA)

International Partnership Amendment Act 2013

International Trusts Act 1984 (ITA) and International Trusts Amendment Act 2013

Limited Liability Companies Act 2008 (LLCA) and Limited Liability Companies Amendment Act 2013

Mutual Assistance in Criminal Matters Act 2003

Trustee Companies Act 2014

Value Added Tax Act 1997

Authorities interviewed during on-site visit

- Business Trade and Investment Board
- Financial Supervisory Commission/Financial Intelligence Unit
- Ministry of Justice
- Representatives from the banking and trust company sectors
- Revenue Management Division

Annex 4. Cook Islands' response to the review report³⁹

In response to the review report, the Cook Islands wishes to convey its sincere appreciation to the assessment team – Ricky Herbert, Koichi Machigashira, and Phioner Nangalama – and to the Secretariat for their constructive engagement and steadfast support throughout this phase of the review process. The Cook Islands reaffirms its commitment to addressing Elements A.1, A.2, and A.3 in accordance with the recommendations provided. We further extend our heartfelt gratitude for the invaluable technical assistance provided by Hakim Hamadi, Colin Yan, and Ana Rodriguez, whose professionalism, expertise, and dedication have been deeply appreciated.

³⁹ This Annex presents the jurisdiction's response to the review report and shall not be deemed to represent the Global Forum's views.

GLOBAL FORUM ON TRANSPARENCY AND EXCHANGE OF INFORMATION FOR TAX PURPOSES

Peer Review on Transparency and Exchange of Information on Request

COOK ISLANDS 2026 (Second Round)

The Global Forum on Transparency and Exchange of Information for Tax Purposes is a multilateral framework within which over 170 jurisdictions participate on an equal footing.

The Global Forum monitors and peer reviews the implementation of the international standards on transparency and exchange of information on request (EOIR) and on automatic exchange of information. The EOIR provides for international exchange on request of information foreseeably relevant to the administration or enforcement of the tax laws of a requesting party. All Global Forum members have agreed to have their implementation of the EOIR standard assessed by peer review. In addition, non-members that are relevant to the Global Forum's work are also subject to review. The legal and regulatory framework of each jurisdiction is assessed, as is the implementation of that framework in practice. The final result is an overall rating of the compliance of the jurisdiction with the standard.

The first round of reviews was conducted from 2010 to 2016. A second round of reviews started in 2016. Peer reviews are generally conducted in one go, but they can be conducted in two separate reviews, with a Phase 1 reviewing the legal framework, followed by a Phase 2 focussing on practice. Reviews are phased when jurisdictions have limited EOIR experience or in exceptional circumstances, such as the COVID-19 pandemic. The review reports are published and assessed jurisdictions are expected to follow up on any recommendations made. The ultimate goal is to help jurisdictions to effectively implement the standard of transparency and exchange of information on request for tax purposes.

This peer review report analyses the practical implementation of the standard on transparency and exchange of information on request (EOIR) for the Cook Islands, as part of the second round of reviews conducted by the Global Forum since 2016.